

Max Financial Services Ltd. (MFSL)

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Call: Jun 2023

May 19, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on May 15, 2023 post declaration of Audited Financial Results of the Company for the financial year ended March 31, 2023 is enclosed.

The same is also being uploaded on website of the Company at
<https://www.maxfinancialservices.com/wp-content/uploads/2023/05/MFSL-Earnings-Call-Transcript-Q4FY23-.pdf>

You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

V. Krishnan
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 16

Max Financial Services Limited
Q4 FY '23 Earnings Conference Call
May 15, 2023

Moderator : Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q4 FY '23 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer for Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, Mr. Singh.

Amrit Singh: Thank you. Good morning, everyone, and welcome to our earnings call for the quarter ended March 2023. Our results were made available on our website and as well on the Stock Exchange on Friday.

I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance. I will request Prashant to share the key developments of the last quarter and hand this call to Prashant.

Prashant Tripathy : Good morning, everybody. Thank you, Amrit. I'm pleased to welcome all of you to today's earnings call. I would like to provide you with an update on the performance of Max Life Insurance and our strategic initiatives that we discuss every quarter. Before I jump into the performance of last quarter and last year, I would like to give you some overview on how Max Life Insurance have performed over the last few years.

Max Life Insurance has consistently established a strong market presence since its inception. Upon reflecting on the last 5 years, we have achieved robust results across all aspects of our business. Our sales have grown at a CAGR of 13% surpassing the industry average growth of 10%. Our proprietary channels have experienced an impressive CAGR of 21%, while bancassurance has grown at 11%. Over the course of 5 years, we have tripled our retail protection businesses, while maintaining a leadership position in online protection. Furthermore, our assets under management have grown at a

strong CAGR of 19%, demonstrating our sound investment philosophy.

At Max Life, we believe in striking a balance between our sales performance and value creation resulting in consistently favourable financial outcomes. In the past 5 years, our operating embedded value has grown at a CAGR of 20% and the value of new business has grown at a CAGR of 24%. This emphasizes our commitment to delivering value to our stakeholders.

Our success is not only evident in our ability to effectively reach our customers, but also the trust they have placed in our company. This is exemplified by our claims paid ratio of 99.34% at the end of FY '22, which is the highest in the industry. Additionally, we assess our performance in terms of customer experience using the globally recognized NPS metric. Over the past 4 years, our company's NPS has

Page 2 of 16

improved by 17 points. The steady improvement in our brand consideration score further highlights the strength of our brand within the industry.

We have continuously pursued innovation and introduced pioneering business models. Our proprietary channels are prim

examples of our commitment to pushing boundaries and staying ahead of the curve. Moreover, our industry-leading product offerings has positioned us as a leader in the market with Axis Bank becoming our promotor, our partnership with them has further strengthened our distribution capability. Against this backdrop, let us now shift our focus to the significant developments we have witnessed in our key strategic areas over the last year.

1. Predictable and Sustainable growth by building distribution

Building on our legacy of consistent performance, we entered this fiscal year with ambitious goal and a strong determination to drive further growth. The new business premium witnessed a growth of 13% to reach INR8,960 crore for the year. The APE growth for both financial year and quarter 4 stood at 12% and 38%, respectively. This growth was primarily fuelled by our investments in various initiatives across proprietary channels, yielding positive outcomes with them experiencing a strong annual growth of 43% and quarter 4 growth of 90%.

Online Sales : We have maintained our leadership position in the online market for protection and have successfully expanded the savings business this year. As a result, our online business has witnessed a strong growth of 44% in FY '23. Also, our online savings portfolio has grown exponentially, increasing 5 times over FY '22.

Offline: The offline proprietary have displayed strong growth of 43% encompassing both agency and direct channels. We introduced simplified and competitive value propositions during the year to structurally enhance the performance of our advisers. This initiative has yielded fruitful outcomes, evident in the growth of our top advisers by 50% year-on-year and advisor activation increasing by 10%.

Direct channels : Our direct channel have exhibited a noteworthy growth 36% year-on-year. This growth can be attributed to manpower additions, along with improvement in activation and productivity through strengthened governance and the implementation of new business models.

Our bank channels APE have declined by 2 % for the full year. However, in quarter 4, banks demonstrated a growth of 13%, showing signs of revival. It gives me immense satisfaction to see that despite the challenges posed by the open architecture model for the year. We have demonstrated our execution prowess by maintaining our counter share in the bancassurance channel over a 15-month period in Axis Bank at around 70%. Now that open architecture is already settled, we expect that our growth will be consistent with the growth of the bank itself.

Our investment philosophy continues to bolster our distribution as we open up alternate verticals to reach wider customer base in banks. Additionally, we made strategic investments in proprietary

Page 3 of 16

channels establishing 50 new offices to enhance our presence. Furthermore, we are striking new partnerships with banks and brokers.

I would like to announce that we have entered into two new distribution partnerships with -- DCB and Capital Small Finance Bank since our last update. With this, we have signed up 4 banks, which are DCB, Tamilnad Mercantile Bank, Ujjivan and Capital Small Finance Bank and 6 brokers in FY '23.

Overall, these achievements highlight our commitment to driving growth across different channels and reinforcing our position in the market.

2. Product innovation to drive margins :

One of our focus areas at Max Life Insurance is to continually innovate the value proposition of our product offerings to our customers. Throughout the year, we successfully navigated the heightened competitive intensity by introducing new products and variants and expanding into new categories. This resulted in an expansion on Y-o-Y new business margins from 27.4% in FY '22 to 31.2% in FY '23 and 28% growth in value of new business.

We launched a range of products a

cross various categories during the year. Our new non-participating savings product, Smart Wealth Advantage Guarantee (SWAG), achieved a significant milestone by scaling INR1,000 crores in sales in shortest time ever. Additionally, we introduced the "Smart Fixed Return Digital" online savings product, which improved our online sales penetration and contributed

to a notable growth in online saving sales.

On the individual APE basis, our product mix for FY '23 consisted of 14% participating (PAR) products, 51% non-participating savings products, 29% Unit Linked Insurance Plans (ULIPs) and 6% protection in products. In Q4, our product mix was PAR 11%, non-PAR 60%, ULIPs 24% and protection 6%. The product mix in Q4 was skewed towards non-PAR due to the one-time impact of tax-related changes announced in the budget. However, we anticipate the product mix to normalize in the next fiscal year.

We maintained a strong belief in the long-term potential of protection and retirement opportunities. In Q4 FY '23, retail protection witnessed a sequential growth of 50%, as a result of our product intervention throughout the year. Our retirement business achieved a growth of approximately 300% on an APE basis in FY '23. We have enhanced our annuity offering by launching a new limited pay annuity variant and extending the early ages to attract new customers. Max Life Pension Fund Management commenced operations in the second half of the year and has garnered an asset under management of approximately INR143 crores, as of 31st March 2023.

3. Customer obsession across the value chain :

At Max Life Insurance, our unwavering commitment is to provide significant value propositions to our customers and continuously enhance their overall experience. Over the course of last 12 months for the period of FY '23, we observed an improvement of 3 points in our overall company and NPS scores, increasing from 49 in March 2022 to 52 in March 2023.

Page 4 of 16

We take immense pride in maintaining our position, as a market leader in terms of 13th-month persistency for the number of policies. This remarkable achievement underscores the trust and loyalty our policyholders have at Max Life. When it comes to premium persistency, our 13-month persistency rate for regular/limited pay premium stood at 84%, while the 61-month persistency rate reached 51% for the period ending March 2023.

Furthermore, Max Life Insurance was honoured with the prestigious rank of #2 in customer loyalty according to Hansa Research, which is external research. This recognition is a testament to the trust and satisfaction our customers place in us, highlighting our ability to foster enduring relationships with our policyholders.

4: Digitization for efficiency and intelligence :

I would like to share that during FY '23, we undertook numerous initiatives to transition into a fully digital organization and pioneer industry first digital process. To strengthen our sales force and ensure superior execution. We swiftly digitized sales governance and lead management processes. To enhance the onboarding experience. We harnessed the power of AI and automation, resulting in increased velocity measured through the paid to applied ratio. We introduced profile-based medical and pension grades, as well as KYC waivers for existing customers, enabling frictionless underwriting and instant issuance.

We also achieved greater ability in our new product development cycle, reducing new pricing changes to just 2 days, which earlier used to take more than 2 weeks. Additionally, our deep integration with Axis Bank and Yes Bank marketplace ensures a seamless experience for our bank partners with real-time policy status available for both banks and Max Life Insurance representatives. Leveraging AI, we implemented an underwriting governance AI model to maintain underwriting limits and uphold superior risk profile.

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In order to enhance customer service, we created a new unified platform to deliver a standardized online payment checkout experience across all customer journeys. This platform minimizes redirection during the payment processes, leading to an increase in overall payment success rate by about 7% for online actions. We revamped our customer service portal, ensuring a seamless customer experience and providing the same to our customer support. The introduction of QR codes for customer servicing has facilitated frictionless do-it-yourself digital transaction. By automating and digitizing point-of-sale processes, we have increased straight through processing rates.

Continuing our focus on agility, cost efficiency and scalability, we transformed our IT infrastructure to cloud native apps and services. Currently about 56% of our entire IT infrastructure operates on the cloud, which is 10% more than last year, enabling us to achieve greater flexibility and scalability. These initiatives highlight our commitment to embracing digital transformation and leveraging cutting-edge technologies to deliver enhanced experiences to our customers, while improving operational efficiency.

Page 5 of 16

Lastly, we are excited to mention about some of the key notable recognitions, which Max Life Insurance received through the year. Max Life was recognized, as one of the best BFSI brands by Economic Times in FY '23. Max Life also earned recognition for Excellence in Financial Reporting by Institute of Chartered Accountants for its annual report and was also awarded the Celent Model Insurance Award for 2023 for its digital initiatives in data analytics and AI. Max Life is also awarded Excellence in driving distribution through digital at the FICCI Insurance Industry Awards for 2022. In summary, we effectively navigated the year by achieving remarkable growth in our proprietary channels, while simultaneously maintaining our counter share in our bancassurance partner. This

success can be attributed to our focused strategy regarding product offerings and enhancing the value proposition for our customers. As we move into FY '24, we remain absolutely optimistic about sending this positive momentum.

I'm now going to hand it over to Amrit, who is going to share some updates about our financial performance.

Amrit Singh: Thank you, Prashant. Moving to some key summary financial metrics.

- Consolidated revenues, excluding investment income stood at INR24,940 crores, a growth of 13% in FY '23. The consolidated PAT was INR452 crores, up by 42%.
- Max Life renewal premium grew by 13% to INR16,382 crores, and gross premium grew by 13% to INR25,342 crores.

The value of new business written over the period, stood at INR1,949 crores versus INR1,528 crores for the previous year, representing year-on-year growth of 28%. The new business margin improved from 27.4% to 31.2% in 12M FY '23. For quarter 4, FY '23, the VNB was INR770, a growth of 31%

- Embedded value, as at 31st March 2023 is INR16,263 crores and operating RoEV of 22.1%.
- The policyholder opex to GWP was at 14.2%.
- Max Life FY'23 profit before tax is INR505 crores, an improvement of 21%, profit after tax is INR435 crores.
- Max Life solvency ratio stands at 190% and the AUM at end of 31st March 2023 is ~INR1.23 lakh crores, a year-over-year growth of 14%.

To conclude, we remain confident in our ability to leverage our strength and deliver sustainable value to our shareholders and customers. We remain committed to the purpose of inspiring people to increase the value of their life.

We are now happy to take any questions that you may have, and I will now hand over to the moderator to open the floor for Q&A. Thank you.

Page 6 of 16

Moderator: Thank you. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh : I mean, very, very strong performance for Q4. First question

is on the growth outlook for FY '24

considering the base effect, whatever happened, the tax system changes that had happened and your own channel, the proprietary and banking, their dynamics, if you can please help to understand how the growth will look like in FY '24 for you? Any colour sort of like on your channel, on your product mix in that part?

And the second question is, I mean, of course, it will be on the process, but as far as the 7% stake transfer in Max Life to Axis and Citi are concerned, I mean where are we in terms of the process of getting the valuation done, approaching the regulator any kind of broader time lines that will give when and how the progress will be made. So, these are my 2 questions.

Prashant Tripathy : Avinash Ji, thank you very much. Good morning to you. Firstly, the question on growth rate, very valid question and very pertinent. It becomes even more relevant in the context of artificial growth that came in quarter 4, especially in the month of March. But I'd like to highlight all of you that we have an advantage in terms of base effect considering that we were going to open architecture for a large part of FY '22, '23, and that advantage is going to kick in. And hence, we expect the FY '24 growth could be a double-digit growth, reasonably good growth, and it has a higher growth than what we saw in FY '23. So that's on growth expectations. We remain bullish, and we remain optimistic, and we are preparing for the robust growth for the year FY '24.

On your question on further investment of 7% by Axis Bank, of course, Axis Bank has prepared and seek all the approvals within their own systems and especially around capital that is required. And that process is on, and quite hopeful that the transaction will take place in the financial FY '24. To tell you exactly, which quarter or date right now is a bit difficult, and we will just wait and come back to you when that plan and the date timeline is frozen. However, suffice it to say that they have shown the commitment and that announcement definitely. So, it's only a matter of time when it happens.

The valuation will become relevant only at the time of transaction. So really, we will do the -- that valuation at the point when Axis Bank is ready to take investment. So overall, from the growth perspective, we remain bullish as well, as we should expect this transaction take place in the financial year FY '24.

Avinash Singh : And just quickly, one now, Tata AIA sort of got by the virtue of merger of Citi and Axis, Tata AIA is present at least in Citi. Now does that kind of -- is there a sort of an understanding how this is going because I mean, so ideally there were 3 players, now you have a reservation for this and at least in Citi branches, with Citi customer, Tata AIA gets entry. So does this changes any kind of a competitive dynamics in your channel or it is like that, okay, they are going to stay with as it is where, I mean, the Citi branches, Citi customers.

Prashant Tripathy : Yes. Avinash Ji, that's a very good question. And I think the relationship with Citi bank and Tata AIA is just going to continue the way it continued earlier. With respect to competition, I think, Axis bank is an open architecture platform, so from that perspective, we have competition. And I would like to

Page 7 of 16

very confidently share that we stood that competition quite effectively by maintaining a large part of counter share at the bank.

I think at a very high level, Axis Bank is our promoter, and hence, we should expect that Max Life Insurance will continue to enjoy the large share of their counter in the range of about 65% to 70% very optimistically for -- even if additional competition were to be added. So at a very high level, I think as management, we remain bullish on growth at Axis Bank.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee

jee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: I wanted to ask on the double-digit growth guidance, would this be on the actual numbers that we have clocked in FY '23? Or should we think of this double-digit growth on the base adjusting for the additional sales that came from the taxation related product sales in the fourth quarter? So that is one question.

Second, on the margin side, sir, what I wanted to understand is that this quarter, as I see the product mix has moved favourably in the direction of non-PAR. And despite that, there has been a sequential fall in the margin. So, what changed between the last quarter and this quarter? Was there some additional cost that was baked into the cost structure that resulted in this fall? Or is there something else to look in to? And if you could also give some colour on the VNB walk, which I think is not there in the presentation. So, between FY '22 and '23, what were the various factors that move the margins that would be very helpful?

And thirdly -- one quick question if I could add in terms of the banca channel, I was trying to gauge how the growth would be in terms of say the banks other than Axis Bank. So, if you could give some colour on -- or some quantitative metrics, which would help us to understand the growth in this channel.

Prashant Tripathy : Thank you, Swarnabh Ji. I think I will let Amrit answer the VNB question, but at a very high level, I think a lot of people had questions around the growth on total or adjusted. So, the double-digit growth number that I spoke about is on the total basis. And why I remain optimistic is? Again, just to repeat. For the first 9 months of the year, we had challenges of open architecture, which artificially created a favourable base for us. Next year, we are going to take advantage of that base effect. And hence, the double-digit growth rate should be on the total basis, not on adjusted basis.

I'm sure in this group, there will be many people, who will have questions about what would have been our growth rate adjusting for the extra sales that we got. So just to clarify and answer this question for everybody. We got about between INR300 -350 crores of additional sales because the one-off effect over and above the run rate of greater than 5 lakh policy. So, if we were to adjust for those extra sales that we got, our growth rate, which we're reporting 12% would be in the range of about 6 -7%. So, we've got about 5 -6% of extra sales because of that one-off.

Page 8 of 16

Responding to your question on why the VNB is lower, just to clarify, because it comes from non-PAR, a large part of non-PAR, and you would have seen our non-PAR percentage go up. On large ticket sizes, one expects a lower margin, and hence, we made appropriate assumptions for the large ticket sizes. The large ticket size, margins are lower than smaller ticket prices. So that's the reason why you would see a reduction in overall margin for the quarter.

I'm going to hand it over to Amrit to talk about the VNB growth, but as far as I remember, we have the VNB walk. Amrit, do you want to take that question?

Amrit Singh: Thanks, Prashant. I think Prashant, you've answered Swarnabh's question, which was around why the sequential quarter, the margins look lower than how it was. So, one is the high-ticket case size margins, which actually have been considered. Second, also, this is a full year of run rate spend, which is building up. We have been indicating that we are investing towards our distribution capability and capacity creation. So that cost, as it builds up some drag, which has got created. And thirdly, when the launch happened in quarter 3 of our new product, the SWAG product that Prashant spoke of, there were certain variant mix that existed in the first few months, which normalized. So, a little bit of variant mix drag also has come to the margin.

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And from a walk perspective, it's largely related over a year-to-year period. It is related to mix of the non-PAR portion, which has actually helped improve the margin profiles.

Moderator: Swarnabh, may I request you to unmute your line from your side, please.

Swarnabh Mukherjee: Yes, , Amrit Ji, that answers my question. I was looking at it from more quarterly standpoint, and I think Prashant Ji, already highlighted that. And if you could address the question on the banca channel.

Amrit Singh: So, I think on banca, 2 things. One, as Prashant mentioned in his opening remarks, we have signed of partnerships with 4 banks and over 6 brokers. So, this is incremental volume for us, as we look to kind of gain counter share at some of these places. With our existing counter share banks, which is Axis and Yes. Our endeavour will be to maintain and hold on to our counter shares. And as the bank growth rate kicks in, the consequent growth rate to Max Life will start occurring paying as well.

Swarnabh Mukherjee: So, I wanted to understand, sir, if you could highlight any growth numbers for the non-Axis channels, so that we can gauge the performance of this?

Amrit Singh: I think right now, we're starting from a 0 base in some of those partnership relationships, where

anything that you'll add on a small base will look like a very large growth number. Our intention would be to gain as much counter share given our capabilities and products that we have demonstrated in bancassurance channel. So, I'll leave it at that.

Swarnabh Mukherjee : And I just wanted to know if you were maintaining your product mix guidance and margin guidance, which you had mentioned previously, or should we see some kind of uplift to that for the company?

Page 9 of 16

Amrit Singh: So, I think firstly, as the high-ticket sale happened in the month of March, it did swing the proportion on non -PAR on a higher side. And we do expect a moderation on that to happen, which would mean that the long -term guidances that we have been given around margins, which is a reduction in margin profiles will happen. I think the way you should see it is that the bias and focus is towards driving growth and regaining market share. And for towards that, there will be an investment, which has happened and will continue to happen, which, along with some moderation of the non -PAR mix will mean a drag on the margins.

Swarnabh Mukherjee : Got it sir, very helpful. I'll come back in the queue. Thank you so much.

Amrit Singh: Thank you.

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha : Yes. Thank you for the opportunity. Amrit, the question, which I had was that the economic variance number at around INR1,040 crores, which is almost 7.4% -- 7.5% of the opening EV seems to be very high compared to our EV sensitivity to the interest rates, what we tell is around one odd percentage even for equity, it is relatively low. So, sir, just wanted to understand what led to such a high economic variance number given our sensitivity table doesn't suggest being so. Sir, and if you can break down this economic variance number, is it because of equity or bonds or there is something kind of a one-off in it?

Amrit Singh: Yes. I think a great question, Sanketh, and thanks for pointing it out. You'll understand that EV sensitivity is an assumption of a parallel shift in 1% across the yield curve, whereas the non -operating variance is actual shift, which happens. And obviously, the reality was that simulated shift is slightly different, and that's how it looks different. And that's probably the disconnect that you're feeding in your mind. But out of this INR1,000 -odd crores of non -operating variance, almost INR900 crores plus is coming out of interest rate movements. And that also is the short end of the movement, which has happened

in the month of March.

Sanketh Godha : Okay. But there is no gap in the hedging, right? So that led to that...

Amrit Singh: No. Again, we continue to run our hedging program, as we have been running. And you know, that this is transitory in nature given we are hold to maturity. These are the market movement, which will keep coming. And some of these variance that you'll see is all transitory.

Sanketh Godha : No because the number divergence was decently big. And the second one was that in the non-PAR book, which is around 48% of the total APE for FY '23, you just highlighted the growth number for annuity around 300% year -on-year. But if you can break down this 48% into pure non -PAR and annuity that will be useful because we understand that the non-annuity portion of the non -PAR might see a mix change, but how you see this annuity portion to play out and that mix you expect to pay out in '24, as a margin buffer?

Page 10 of 16

Amrit Singh: Annuity continues to remain an area of focus in the overall umbrella of retirement focus that we are building, as an organization. And you would have noticed that our annuity mix, which was around about 1% last year has moved to now around 5% in the overall mix. So, in the 48%, I think, you are referring to including GCL, 48%, around 5% is annuity mix. And we will continue driving annuity business in future as well.

Sanketh Godha : And the last one, 31.2%, I think Swarnabh has asked that question, the 31.2% is the margin in the current year, and you highlighted that non -PAR will come off a better margin, should take a moderation. I mean, should we assume that it is going to back to like 26%, 27% kind of a number? Or do you think at least it could be better than that in '24, what are product mix it takes as a shape?

Amrit Singh: Yes. I think it should remain, we have been indicating 27 -28%, as stable margin to price, so you should consider in that range.

Moderator: The next question is from the line of Nitin Aggarwal from Motilal Oswal.

Nitin Aggarwal: Congratulations on good results. One question around the promoter holding, like this quarter, we are seeing some reduction in promoter shareholding. So how do we see that? And any thoughts there, therefore around the promoter structure going forward?

Prashant Tripathy : Yes. I think it's something is on the private side and for the promoter continues to remain committed towards this business, and some moderation, some reduction has been done. But overall, there is long -term intent and kind of continue doing the business remains consistent.

Nitin Aggarwal: Just on the margin one clarification, will first quarter, again, we will see a seasonal decline in margins?

Amrit Singh : We always report our margins from a quarter -to-quarter basis and cost actual to build up of cost. And largely, the sale of the first quarter is far lesser than the sale of the consequent quarter and the cost is equally loaded. That natural impact always plays out. So, this is not unique to us. And this has predominantly been like this for many years. So, our first quarter margins always will come up

despite the product mix, it's largely due to the fact that the spend is actually uniform across the quarters and which creates a drag.

Nitin Aggarwal: And on the solvency ratio now we have seen a 10 % drop this quarter. How do you see that? Will this transaction also aid solvency issues that it gets completed and how much this should be?

Prashant Tripathy : So, I think firstly on solvency, you would have noticed that the regulator did provide additional mechanisms of capital as well, which has given for insurance company, an additional buffer of up to 50% of the networth , 25%, as an additional debt that can be taken. But in addition to that, now from an Axis perspective, I think , both primary and secondary options are in consideration, and we will announce it when Axis

actually completes its internal processes or when and at what time they want to opt 7%.

Page 11 of 16

Nitin Aggarwal: And lastly, Amrit, on this INR300 crore s one-off sales that Prashant talked about. So does this only include a ticket size above IN R5 lakhs because there will be customers, who might have bought lower ticket size, and then because of the tax rate changes, and then, we look to add additional amount later on, so they may not have crossed the INR5 lakh threshold this month, March. So how are you looking at that?

Amrit Singh: So, it's computed on the 5 lakh trend line only. This is past trend line to current trend line, whatever has incrementally come off. Prashant indicated that range.

Nitin Aggarwal: So, it's only about INR5 lakh, this INR300 crores number.

Amrit Singh: That's right. In the traditional policies, the P AR and non -PAR design .

Moderator: Next question is from the line of Neeraj Toshniwal from UBS Securities.

Neeraj Toshniwal : So, basically question is on outlook on retail protection given there has been some come back in Q4 in terms of absolute amount at least. So how do we see retail protection playing out in FY '24?

Amrit Singh : I think the large part of this construction also happened because of supply side challenges that we went through post COVID and rightfully so. And a lot of efforts internally has gone in, firstly, reducing the supply side challenges that exist, so the constraint that exist, at the same time, also augmenting using tech and analytics our underwriting capabilities. I think the way we are set up and what all progress that we have made both in underwriting function, the product design elements of it and upfront aspect in sourcing, we feel that now 2 years of low base has set up actually us for growth in the Retail Protection segment. We do expect protection business to start growing from this point onwards.

Neeraj Toshniwal : Maybe any colour on numbers, I mean, how much whole percentage we are looking for or how much we can build in ?

Amrit Singh: I think , these are very difficult numbers to kind of give specific if you get into each segment and products and things like that. But I think on protection, anything less than 20% is not at all aspiration. So, we will try to drive to 20% plus on the protection business.

Neeraj Toshniwal : And any change in commission pay out post EOM guidelines been witnessed or how in industry is nearing given after April, do you see anything changing materially on ground, but will take time to kind of get adjusted to new normal?

Amrit Singh: I think what you need to understand, Neeraj, that first, there is an overall EOM framework , where the regulator has an expectation of working towards driving efficiencies in the business, which then get passed on to the consumers. And hence, on a EOM perspective there needs to be optimization, which are willing to pay undertaking. And then, under that EOM limits, there are elements of commission.

Tactically, there will be certain segments and certain players there and also certain types of distributors, depending upon how our internal cost structures and variable structures are. There could

Page 12 of 16

be certain changes in commission, which can happen. But I think it will take some time for the dust to settle off, how things evolve, and we will continuously keep working on this.

Neeraj Toshniwal : And hopping on the same question again on the banca and proprietary growth, so given banca, we had a low base obviously, we have an advantage, but are we really seeing growth coming from Axis coming back basically, the problem was that the Axis bank is still growing slower than the other bank services if I compare with the peers. So how Axis is kind of coming back and what kind of commitment they are showing getting into FY '24? And what kind of growth you can expect will happen?

Prashant Tripathy : I will take th

at, Amrit. I mean, Axis Bank definitely is a very aspirational bank. They have big plans on their growth and insurance definitely is their large part of the fee income. So, it will be wrong for me to say that Axis will continue to be lower than the industry, I'm sure they will bounce back, and they will do industry consistent growth rates . So, let's keep you at that level. We are very optimistic.

Neeraj Toshniwal : Any growth numbers, we can factor that?

Prashant Tripathy : I think I did share with you the growth number that we're aspiring at a total company level and maybe it's not gone down to every channel level I think it will be collective . Amalgamation of growth that will come from bank, as well as our own channel, which will contribute to a strong double -digit growth in the Max Life Insurance.

Neeraj Toshniwal : Are we investing more into the proprietary channel? Or are we done ?

Prashant Tripathy : We will continue to make investments in our own channels, something that is going to continue. For example, in FY '24, we are seeking approval to open new branches in the proprietary channel within the agency. We are making investments to grow our headcount in the direct channel. We will be making further investments in building our e-commerce channels. We are also experimenting with new models that we could grow looking at various subchannels within the large channels. We will continue to make that investment. But equally, we are making investments in the bank channels also in terms of ramping up our presence, more headcount, looking at alternative verticals within banks. So, I think growth is going to be a key, and we will do whatever it takes both in bank channels, as well as proprietary channels. So, there is going to be an all-round focus on growth.

Moderator: Next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : A couple of data keeping questions. First is, can you share the share of Axis Bank for FY '23 in terms of APE?

Prashant Tripathy : Amrit, we won't take that question. I don't have the exact number.

Amrit Singh: Yes. I think we have been individual partner level leaders; we have been not sharing, Nidhesh, keeping the partner sensitivity in consideration. But our counter share, I'll reiterate stays at 70% in Axis Bank.

Page 13 of 16

Nidhesh Jain : Second is that the INR300 crore s, INR350 crore s number that you mentioned is for the month of March, right?

Amrit Singh: Yes. All of it. The January and February did not see any fire-sale effect. So, most of the fire-sale effect kind of peaked out in the last 2 weeks of March. And this number that we have given you is for the month of March.

Nidhesh Jain : And lastly, there have been a lot of changes, which are proposed in Insurance Amendment Bill, which leads to composite licensing, opening of agency channel, and I think that the bancassurance channel has also opened up for now 9 partners. So, how do we think about these changes? And how should we place ourselves favourably changes over the next 2 years to 3 years?

Prashant Tripathy : I think I'll take that question. The open architecture, Nidhesh, as you know, is more contextual for bancassurance partners from 3 to 9. And as far as Max Life Insurance is concerned, all the counters, where we operate, we have an open architecture situation. And the good part is our performance has been robust. We've been able to maintain our counter share.

I think as we look ahead, a company like Max Life Insurance has more to gain out of open architecture. So, we look at this particular thing quite favourably and it is going to present itself in form of more opportunity to Max Life Insurance. So, we have nothing much to lose from it.

As far as the agency channels, concerned, agent open architecture is something, which has not been discussed. However, the market is that sense is quite open,

and we have been operating quite

effectively and been quite enthused with the growth that we're seeing in our channels in agency. So overall, I see the regulations to be more favourable for the overall industry in specific for Max Life Insurance. Hence, our plans are quite progressive for the next.

Nidhesh Jain : And sir, any thoughts on composite licensing?

Prashant Tripathy : There is a possibility that it can get introduced, as a part of the act. And on behalf of Max Life Insurance, we are actively working in this space and if any such flexibility is available to us, especially in the context of contiguous businesses like health, we will look at that quite favourably with agility and we will try to work out.

Nidhesh Jain : And sir, lastly, and for next year onwards sir, how should we think about product mix. So non-PAR share will reduce, but how much of that will be taken up by PAR, specific ally?

Prashant Tripathy : So, like I have always believed in a balanced product mix. And at the same time, we have to be consistent with market also, really standing away from the market becomes a bit difficult. My sense is that the non-PAR got favour because of tax regulations, as well as impact on overall share market for an extended period of time. As we move into FY '24 and beyond, I think you will see a rebalance from PAR and non-PAR will go to participating, as well as to some part of units. So, from that perspective, the product mix will get more rebalanced, and hence, you should expect the 48% to fall and come more in the range of closer to 40% over the next couple of years.

Page 14 of 16

Moderator: Next question is from the line of Nischint Chawathe from Kotak Securities. Please go ahead.

Nischint Chawathe : If I look at the proprietary channel, it's been at around 27%, 28% for the last few years, excluding FY '23, I believe there was some one-off or exception in the last month. So, what would probably be this number in FY '23? And where do you really expect this to go? I mean probably we can speak FY '23, but where do you really expect this to go in '24, '25. I believe in FY '18 as well, we've kind of made some investments to sort of beef up this channel. But despite that for the next 4 years, the ratio of this trend has been similar?

Prashant Tripathy : Yes. Nischint, thank you. The mix adjustment is a combination of both things, I think artificially the bancassurance growth had an impact because the open architectures went down. And at the same time, we made investments, and we saw significant success through the proprietary channel. So, a dual impact on faster growth than normal last year. I mean, if you look at our run rate of growth in

proprietary channel, it will be in the range of about 20%. Last year, it was 43%. At the same time, our average banca growth will be in the range of 15%, 20%, last year, it was flat. So, a combined effect of both actually has led to proprietary channels gaining more and more share of the overall pie.

As a strategic measure, we are trying to rebalance our channel mix, and ideally, we would like to go past 40% of our whole channel contribution, as soon as possible, right. I know that it will not be possible to do it very, very quickly. But over next couple of years, from two years to three years, we'd like to have our own channel contribution go past 40%. That's the direction we are working. Hence, our plan to grow proprietary channel faster than partnerships channel is something that is important to us, and you will see us move in that direction.

Nischint Chawathe : And would you call out overruns on this account separately, I think you did that in the past and that's probably kind of taking the margins to 27% and maybe a combination of non-PAR.

Prashant Tripathy : It does, actually. But once you achieved the scale, the impact on overruns is not very high. For example, you would not have seen us do real

bad on margins this year. So, I think our overall

guidance to remain in a respectable margin range, in the range of 27-29%, that range as well as trying to grow our proprietary channels that they achieve scale, as well as more than 40% share in the short term. And when I say short term, I think 18-24 months that kind of period is an imperative for Max Life Insurance. We are working in that direction.

Nischint Chawathe : Just one last question. If I look at the growth in back book surplus for the last 3-4 years, I think it's just at around 10% odd CAGR, probably appears to be a little bit on the lower side. So, would you have any comment on this? And does this kind of trajectory pick up? And what could be the drivers?

Prashant Tripathy : I'll let Amrit and Ashish respond to that question, Amrit?

Amrit Singh: So, Nischint, actually last year was in the back book, there were some adjustments around COVID, which impacted the momentum of growth. And if you see this year and in normalized for it, the back book has continued to grow at around 20% levels. Actually, go to 45%, but adjusting for the COVID elements of it, which reduced the base last year, the growth is around 20%. I try to understand the

Page 15 of 16

question that you're looking on longer trends, and you made this comment around 10%. We'll have to look into that data, and we'll respond to you offline.

Moderator: Next question is from the line of Madhukar Ladha from Nuvama Institutional Equities. Please go ahead.

Madhukar Ladha : Sir, in the context of tax changes and so much of prebuying that has probably happened. If I look at the banca channel, that's still only grown about 12.5% year-over-year and that's also given that the base was normalized. So last year, you were at 70% counter share. This year also, you were at 70% counter share. Last year, you also had the Omicron impact. So given all this, it seems that the growth in this year, at least from the banca channel has still been a little bit subdued this quarter, and you're also now guiding for double-digit growth. So, it's almost not possible without the banca channel firing up. So, what makes you confident now that in FY '24, this will happen. What sort of problems are we going to overcome? What is going to change now? Can you highlight that a little bit?

Prashant Tripathy : Yes. I mean, firstly, your observation that the bank should also grow at a double-digit growth rate for Max Life Insurance to grow a double-digit growth rate is bang on. And it is our expectation that our banks will grow at double-digit growth rate.

Now, what gives you more confidence is 2 things, the impact of the open architecture actually is out of our base, in the entire of last year, we actually struggled at least for the first 9 months, we struggled with the impact of open architecture, that was the reality. And it is quite mathematical in nature, and overall pie goes down.

I think as we move into the next year, the optimism actually comes from the institutions, who are our partners, Axis Bank and Yes Bank, who have the track record of delivering better than market average for a continued period of time or over the long run. So, I think some of that does give us confidence and I'm pleasingly sure that it's going to come back up. But at the same time, the success that we've seen in proprietary channels and the investments that we have made will also come back to add to it, and so that's where the confidence comes from.

To your question on some of the demands already being met from early buying, I think, India is a very large country and very large tailing, tools, etcetera, last year. And like I mentioned to you, we got about INR300 crores, INR350 crores of additional sales because of early buying, so to say, our large ticket sizes. As we move into the next year, I mean, from the overall context of doing 7,000 or 8,000 sales, INR350 crores number

is not a very large number.

So, I think my sense is insurance is very fundamental. It is a trusted instrument for savings and investments in the lens of protection. It will continue to be seen more favourably by investors and savers more so in the context of all the work that the regulator is doing and trying to make it more attractive. So that's where the entire confidence, Madhukar is coming from, and I'm very hopeful that it will move in that direction.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Page 16 of 16

Sanketh Godha : Just want to c onfirm again, is it -- given Tata has a global tie up with Citi, is it automatically means that Tata will get access to entire Axis B ank branches? Or it is just open to the Citi branches, what Axis has acquired?

Prashant Tripathy : For the time being, the s econd one.

Moderator: Thank you very much. I now hand the conference over to Mr. Prashant Tripathy for closing comments.

Prashant Tri pathy : Thank you, ladies and gentlemen, for being on our call. We look forward to most of interactions. Wish you all a plea sant day. Thank you.

Moderator: Thank you very much. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us. You may now d isconnect your lines. Thank you.

Call: Aug 2023

August 17, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL
Dear Sir/Madam,

Sub: Regulation 30: Transcript of Investors & Analysts Conference Call
Dear Sir/Madam,

Transcript of Investors & Analysts Conference Call held on August 10, 2023 post declaration of Un-audited Financial Results of the Company for the quarter ended June 30, 2023 is enclosed.

The same has also been uploaded on website of the Company at
<https://www.maxfinancialservices.com/static/uploads/financials/pdf/25d0844436143917fb114b09affa3a7.pdf>
You are requested to take the above on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 14

Max Financial Services Limited
Q1 FY '24 Earnings Conference Call
August 10, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited's Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you. And over to you, sir.

Amrit Singh: Thank you. Good morning, everyone, and welcome to the earnings call of Max Financial Services for the quarter ended June 2023. Results have been made available on our website, as well on the stock exchanges, last evening. I am joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

Let me start with the recent development on Axis Bank transactions. We would like to inform you that pursuant to the approval of Max Financial and Max Life board, Axis Bank will be infusing INR 1,612 crore by subscribing to equity shares of Max Life at fair market value determined basis DCF methodology. Axis Bank has already received requisite approvals from RBI for infusion of this capital into Max Life.

Post subscription to the preferential issues of shares, Axis entity shall collectively hold 19.02% equity share capital of Max Life. Axis will also have an additional right to acquire 0.98% stake of Max Life from MFSL. The proposed transaction is subject to receipt of shareholders' approval; and regulatory approvals from IRDAI, PFRDA and CCI.

This capital infusion will help Max Life to support its future growth ambition. And it will also help

augment the capital position of Max Life, thereby, improving our solvency margins. On the allotment of the said shares to Axis Bank, the shareholding held by Max Financial in Max Life will stand reduced to 80.98% from the current levels of 87%. The additional capital infusion by Axis Bank in Max Life highlights their commitment towards building a stronger franchise.

With this update, I will request Prashant to share the key business developments during this quarter.

Prashant Tripathy: Thank you, Amrit. Good morning, everyone.

Page 2 of 14

1. Predictable & Sustainable growth by building distribution :

As a part of our ongoing effort to enhance our distribution capabilities, we successfully on-boarded six new partners during the first quarter of FY '24. Notably, we established partnership with South Indian Bank and five additional brokers and corporate agents and in the following quarters, business from them will begin. We are working in a very programmed manner to expedite and enhance our

presence on those counters.

In quarter 1, our new business premium experienced a noteworthy 25% growth. And total APE grew by 10%.

Our prop channels achieved substantial growth, with APE (Annualised Premium Equivalent) increasing by 23%. This growth was primarily driven by impressive performance in both online and off-line proprietary channels.

Online : Our online market leadership in protection products is maintained, and we achieved successful market share expansion in the savings business, resulting in a 44% growth in our e-commerce business.

Off-line: Our offline proprietary channels demonstrated robust growth of 18%. The agency channel growth fuelled by new agent activations and adviser recruitments. Furthermore, our direct customer acquisition channels growth was attributable to the launch of new cross-sell channel and increased manpower. Overall, in both online and off-line space, we saw very robust growth.

However, our bank channels' APE experienced a 2% decline in quarter 1.

Looking ahead, we have planned a series of significant investments in FY '24 to bolster our proprietary channels, including the establishment of 100 new offices, among other initiatives, which have to be established this year. Overall, our unwavering commitment remains to drive growth across diverse channels and reinforce our prominent position in the market. You would have seen from the July numbers which were published yesterday that the growth has further enhanced. And the momentum has accelerated in the month of July.

2. Product innovation to drive margins:

Continuing our journey of innovation and our commitment to offering a wide range of choices to our customers, we are very pleased to introduce a new Participating (PAR) product, SWAG Par, which has already achieved remarkable success within just 30 days of its launch. This product not only enhanced our product suite but also brought a fresh balance to our product mix in quarter 1. You would have seen that the product mix has been rebalanced more in favour of par, which was our desire.

Furthermore, we have made adjustments to consumer benefits across our product categories, resulting in improved outcomes for all the stakeholders. These efforts have contributed to a reasonable expansion on year-on-year (YoY) new business margin increasing by about 110 basis points from 21.1% in the first quarter of FY '23 to 22.2% in the first quarter of FY '24. And thus, it has given a 16% growth to our value of new business.

Breaking down the individual APE basis for FY '24, our product mix comprised 20% participating (PAR), 41% non-participating savings products, 29% unit-linked insurance Plans (ULIPs) and 10%

Page 3 of 14

protection products. Our strong belief in long-term potential protection and retirement opportunities has driven 36% growth in retail protection segment and 260% growth in the annuity segment during the first quarter of FY '24.

Additionally, Max Life Pension has achieved an impressive asset under management of approximately INR 293 crore as of June 30, 2023. And we are one of the fastest growing in terms of assets built up in the new pension fund management companies which have been set up.

3. Customer obsession across the value chain:

At Max Life, our unwavering commitment lies in providing our customers with significant value proposition and continuously striving to enhance their overall experience. Our best-in-class claims paid ratio of 99.51% in FY '23 is a testimony to our focus towards Customer Obsession. And we are very proud that we have done a great job when the real moment of truth comes in the lives of our policyholders.

During quarter 1 of FY '24, we also witnessed a one point improvement in our overall company Net Promoter Score (NPS), which increased from 52 in March 2023 to 53 in June 2023.

Moreover, Max Life proudly maintains i

ts position as the market leader in 13th month persistency for the number of policies. Max Life Insurance is ranked number 1 in 13th month persistency, number 2 in 25th month persistency and is number 3 in 61st month's persistency on number of policy basis. In specific terms, our 13th month persistency in terms of Regular /Limited pay premium stood at 84%. And our 61st month persistency was at 51% for the period ending June 2023. This accomplishment highlights the trust and loyalty our policyholders have in Max Life.

4. Digitization for efficiency and intelligence:

Our comprehensive digital sales transformation has been successfully integrated across all our channels. We have fully launched the mSMART sales management and activity-monitoring tool for all the channels, aligning the revised processes with channel-specific metrics to drive tangible business outcomes. We are making an attempt to make our sales channels more digitized, more metricized and we are trying to look at the choreography across all our channels and further success that we are seeing especially in our proprietary channels are also because of the work that we have been doing towards digitizing the sales monitoring process in our prop channels.

To enrich the onboarding experience, business insurance is now enabled on our onboarding systems, facilitating a fully digitized application and issuance process. Furthermore, we have expedited the onboarding journey of the National Pension System (NPS) by integrating Permanent Retirement Account Number (PRAN), and we have introduced Account Aggregator as a valid surrogate for income documentation for salaried customers.

In our pursuit of elevating customer service standards, we introduced a seamless customer-driven journey through the digital living certifications. Our commitment to improving services for non-resident Indians is evident through the implementation of FATCA and NEFT enablement on our website.

In our continuous effort to extend coverage for auto financial underwriting within the self-employed segment, we incorporated an AI engine. This integration includes the utilization of financial surrogates derived from bureau or third-party data and account aggregators. These initiatives underscore our dedication to embracing digital transformation and harnessing cutting-edge

Page 4 of 14

technologies to deliver heightened experience for our valued customers, all this while enhancing operational efficiency.

To summarize, we are working on successfully concluding a series of regulatory and operational steps to fructify the Axis transaction. In addition, our productive investment in proprietary channels will serve to reinforce our confidence in upcoming phase of growth. By every passing month, we have witnessed that the performance of the organization in terms of growth is increasing. And we are very optimistic as well as confident about quarter 2 and for the rest of the year.

With this, I will hand it over to Amrit, who will provide an update on our financial performance.

Amrit Singh: So moving on to the key financial metrics for quarter 1.

- Consolidated revenue for MFSL excluding investment income was at INR 4,730 crore, a growth of 19% in quarter 1 FY24. Consolidated PAT stands at INR 101 crore, up 48%;
- Renewal premium for Max Life has grown by 15% to INR 3,014 crore. Gross premium has grown by 19% to INR 4,871 crore;
- Value of new business (VNB) for the period was at INR 247 crore versus INR 213 crore for last year, resulting a growth of 16%. The NBMs have improved at 22.2% in Q1 FY24, as compared to 21.1% in Q1 FY23;
- Embedded value for Max Life at the end of 30th June 2023 stands at INR 16,938 crore, thereby an operating RoEV of 14%;
- Policyholder opex-to-GWP stands at 17.4%;
- Max Life's stand-alone pre-tax profit is at INR 103 crore, an improvement of 14%. P

rofit

after tax is around INR 89 crore;

- Our solvency ratio for Max Life stands at 188%. And AUM (Asset Under Management) as on 30th June 2023 is ~INR 1.29 lakh crore, YoY growth of 21%;

To conclude, we remain confident in our ability to leverage and strength and deliver sustainable value to our shareholders and customers. We also remain committed to our purpose of inspiring people to increase value of their lives.

We are now happy to take any questions that you may have, and I will now hand over to the moderator to open the floor for Q &A. Thank you.

Moderator: We'll take the first question from the line of Avinash Singh from Emkay Global.

Avinash Singh: Two questions. The first one is like this change of plan. So nearly 1,600 crore capital infusion, that kind of increases your solvency margins to nearly say, 230 percent. So I mean, this change of arrangement would have some thought process behind it, so if you can just sort of provide some color on your growth plan, say, for over the next 3, 4 years.

Because this is a substantial, like, 40% augmentation to your solvency margin. So what kind of a

growth plan do you have in mind over the 3, 4 years? And secondly, if I go into your margins, of course, there have been marginal increase in protection, but overall margins continue to hold well. And in fact it has consistently come better than what sort of a typical you have guided. So you tried to sort of a moderate margin expectation for quite some time, but in the end, margins have come better. So I mean, what sort of a margin trajectory do you see, particularly once this activity is also consummated? Where of course, we are mindful of the fact that Axis will eventually be more than what was the plan, say the older plan. So if at all there is some kind of a change in the contours of the pay out and all. So if you can provide again a medium-term guidance on the margin part?

Prashant Tripathy: Avinashji, like always, very sharp questions. Let me address them one by one. You're right. Our solvency margin is going to go up by 39%, which will give us good capital in the business which is required for growth. We have very aspirational plans for future, which we have been repeating again and again.

We have specific plans to drive growth and growth upwards of 20%. We have plans to become dominant in two areas, protection; as well as retirement and, within that, annuity. And as you know, these product categories require capital because the initial requirement of capital on both these products is higher than the savings plans.

For this to happen, we do require capital as a business. And we actually raised this with our shareholders. And shareholders kindly agreed that, rather than doing a secondary, this will be a primary where the capital will come to Max Life Insurance. It's really a positive step for our growth and we are very optimistic that this capital which is coming to our business will be good for driving our growth for at least next 18 to 24 months. So that gives us good capital for growth.

Coming to your second question. Yes, while the margin is a little higher than how it was last year, I must highlight to you that this deal has no bearing on the operational performance of the organization. We already have a very aligned view on how we want to drive business. We're working to a plan. We will continue to drive the business the way it was envisaged. And the guidance on margin actually stays, which I gave at the beginning of the year, that we should look at margins for the full year lower than how it was last year.

We have given guidance of between 27% to 28%. I also highlighted quite clearly that, at least for this year, there'll be a bias towards driving growth, as against maximizing the margin. We will, of course, be very mindful of the margin, but we are making investments in driving prop channels. We are

opening offices. We are buffering up capacity. We've deployed more people on bancassurance. We acquired many customers, where we will be deploying our own people.

So there's an all-around work taking place towards driving growth and hence, the guidance on margin actually stays. Having said that, the attempt towards optimizing the margin will always be there. We will work towards reaching the levels that is not negative or generally positive. So those will be the attempts, but for the time being, my guidance actually stays.

Avinash Singh: Yes. So quickly, just one quick follow-up. So I mean, of course, in a backdrop of also that March was abnormally high, this 20% kind of growth guidance, does it hold for this FY as well? Or like because, I mean, this FY is coming from a different March base, so this 20%, of course, growth guidance medium-term I understand. For FY '24, keep it, and is something different, or like on adjustment?

Prashant Tripathy: No, Avinash. You are absolutely right. This 20% growth target or growth aspiration is for medium term which is about three to four years. However, this year is, in that sense unusual because we have a very large March base. Our attempt is to hit a double-digit kind of growth rate for the year, for the full year. And by every passing month, we are getting more and more confident as the numbers improve. For this quarter, which is the quarter which is ongoing, our target will be to hit a number which is plus 20%. We are reasonably confident we'll be able to do that.

Moderator: We'll take the next question from the line of Madhukar Ladha from Nuvama Wealth Management.

Page 6 of 14

Madhukar Ladha: Yes. So just wanted to get a sense of how the Axis channel is doing. At least, first quarter, it seemed to be a little subdued, so what are we seeing from there? And what do you think should be our expectation for this year, for the balance 9 months?

Prashant Tripathy: Yes, your observation is correct. And it is highlighted in our representation also that the growth from Axis channel for the quarter was subdued. It was not on account of we significantly losing counter share or anything like that. The counter itself witnessed slow growth or sluggish growth predominantly because we were dealing with a very large base effect. As every month passes, you will witness yourself that the performance on Axis channel will start to improve. I'm very optimistic that will start to happen, starting this month. So we remain optimistic.

Axis contributes at this point of time anywhere between 51% to 56% or 57% of our sales and it is imperative that we do well on that counter. Having said that, some of the changes that you see which have been made yesterday underscore the commitment of Axis Bank towards Max Life Insurance and its desire to drive the business up. We are very closely now working alongside the management team of Axis Bank. We have great support from the m, so I remain absolutely optimistic about the growth prospects, but yes, so 3 or 4 months were a bit sluggish.

Madhukar Ladha: Right. And on the margin front. So if you look at it on a year-over-year basis, annuity, and non-par share increase in the mix has been almost about 1,100 basis points, protection has also increased,

but still our margins have grown only about 150 basis points. I know that we expect to increase investments in these channels and the banca in the proprietary channels, but I would have expected a slightly higher improvement in margins given such a big change in product mix. So your comments on that.

Amrit Singh: Madhukar, this is Amrit. Thanks for that question. Your observation is correct, Madhukar. I think the mix has improved and you would have expected a higher margin expansion, but there are two underlying factors which is causing this. One is the new initiatives and all the new capacity that we have been installing over

the last 6 to 8 months and given our reporting mechanism is of actual costs and absolute costs for the quarter and the fact that this quarter is low on sales, there is a drag which that particular thing kind of creates on overall margin profile. And that's a fairly substantial drag. There is another element of the drag which is more to do with underlying variants and mixes and also the curve's movement during the quarter, which has had some bearing on the margin profile of each of the categories, but we have taken pricing actions around correcting some of these things and that will get corrected. With respect to opex, some part of that drag will remain and that's also the reason for us guiding a lower margin profile, but as the year matures and sales volume picks up, the operating leverage will play out.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just firstly, on this non-par bit, what is the kind of pricing action that you just alluded to that you would have taken with how and what kind of action you would have taken in this quarter or post or in 2Q so far. And also I would like to understand on the same, continuing on the non-par piece, as to what is the kind of demand on the ground and the category of 5 lakh plus. How has that changed in the new tax regime? That will be my first question.

Amrit Singh: On your second question. There is no impact that we have seen, so far, with respect to the mix of greater than 5 lakh business, the traditional business, which was impacted by tax regulations, that mix has remained largely similar to how it was last year, in the same quarter, though these bases are smaller.

Page 7 of 14

So but on the small base right now we haven't really seen any impact coming through which is material. Coming to the actions that we have taken on non-par, these are generally a reduction in IRR of the products, which are in line with how the interest curves move. So these actions are on those lines where we have been correcting over the past now a few months actually progressively the IRR, making it more in line with the interest movements.

Prayesh Jain: And the other question was on the banca channel again, while you mentioned that you haven't lost any share on the Axis Bank front. But how are the other banks kind of, your other partners, performing? And how do you, kind of see the ramp-up from the banca channel going ahead? And just, I'll just slip in one more. It's on the protection bit, wherein, what's kind of driving the retail protection demand? And what kind of growth do you envisage for the full year?

Prashant Tripathy: All right, I'll take that. On the banca front, our two largest counters saw open architecture over last 12 to 15 months. And mathematically speaking, that's why you saw our growth being impacted, but in both our counters, large counters, Axis Bank and YES Bank, the open architecture has stabilized. The number of players who had to come on the counter have come and hopefully, from here on, the growth that the bank will achieve, I think, we will be able to mirror the growth. So we will witness good growth. So it won't happen that the bank grows and we don't grow, because open architecture, etcetera, which is in a way a very positive thing, but of course, it was a painful process over last 12 to 15 months that we had to go through. We are acquiring new banks, and I'm very optimistic about it.

So far, we have signed up five small- to medium-sized banks over last 7 to 8 months, Tamilnad Mercantile Bank, Ujjivan Small Finance Bank. We signed it up with DCB. We have signed with Capital SFB and we have signed up with South Indian Bank. And on two of the counters we already started to work, we are seeing reasonable traction, though the sizes are small, but I think these are relationships for

or future.

And as every quarter passes, we will have more and more share coming on those on them, so I remain quite optimistic about our ability to grow. At the same time, we also signed up with 10 of the largest brokers, two or three large corporate agents. There is big effort which is taking place towards securing more and more counters. And hopefully, through all of them, you, we will start to witness growth come through.

So I think my narrative will be the tough phase on banca seems to be coming to an end. And I think, with the momentum that we are seeing on proprietary channel, with our banks firing, I think Max Life Insurance' performance on new sales will continuously improve.

On your question on protection. We saw 36% growth. This is better than how we were expecting at the beginning of the year and it has two reasons to it. I think the biggest reason is base. During COVID, before COVID, that entire phase, we saw good demand from customers and that was being driven by the pandemic. Once the pandemic got over, the demand stabilized for a couple of years,

but starting this year, we started to see that the demand has picked up. The search queries have gone up. More and more numbers and a number of people are coming, trying to buy protection. So that's the demand side, also on supply side. We worked on buffering up capacity in underwriting, looking at which segments we want to work on, renegotiating and onboarding a new reinsurance partner. Some of the flexibilities that we are seeking are available in terms of the sum assured that we can offer that the type of customers we could go to, the number of cities that we could go to, all that starting to help.

So there has been work on demand side or improvement on demand side as well as on supply side. As a result of this, it has picked up. And it's not just Max Life. We have seen that across all industry,

Page 8 of 14

our brokers, etcetera, so overall good news. And we are a prominent player in terms of penetration.

We are number 1 as a percentage of sales. We are number 1 and I'm quite optimistic that this

growth trajectory will continue to remain high as we traverse through the year.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: I have one simple basic question: why Axis has stopped at 19% instead of 20%, why that optionality of not picking up to 20% in one go. Any reason to understand that point why 1 percentage of left over? That's my first question. And then I have two questions on the operational side and maybe I'll ask afterwards.

Prashant Tripathy: I think the reason for that is the approval that was sought and the volume that was sought of INR 1,612 crore and, honestly, whatever is the valuation that has come. So it's a mathematical outcome.

There was no intentional effort actually to keep it at 19% and not 20%. So it was dependent on the valuation. And the valuation has come to, whatever, INR113, because of which, the reverse solve is about 7%. So that's what they are going to take. The objective definitely is to go up to 20% as soon as possible. So we are moving sequenced. And there is no agenda here, honestly.

Sanketh Godha: Got you. And sir, this 1 percentage will be more, this 1 percentage will be more and more like primary again. Or it most likely will be a secondary one?

Prashant Tripathy: It is expected to be secondary, not primary.

Sanketh Godha: Okay, perfect. And second question is regarding the opportunity size that you might have assessed, these new relationships South Indian Bank, UCB, Ujjivan, Tamilnad Mercantile Bank and new broker relationships, what that you have got into. I mean internally you might have assessed what this size in APE terms could be for you. So just wanted to understand, potentially if it plays out as per your plan, how much these relationships can contribute to your top line and give

in these all channels are

open -architecture channels. So I just wanted to see, understand the delta what you can expect coming from new relationships.

Prashant Tripathy: So these are strategic relationships and they're built over a period of time, so honestly, I'm not giving any huge forecast about this year in terms of how much sales they will deliver. Of course, the sales will be moderate this year, but I am very optimistic that these are strategic partnerships and they will build over a period of time. So over next three to four years, all the new accounts, new banks, new brokers, new corporate agents that we're signing up, we will try to hit a 4-digit number in terms of sales coming from them every year.

Sanketh Godha: Okay. And so in 3 years, I can expect it to be closer to 4-digit percentage. That's the way I should understand?

Prashant Tripathy: So four years time, I mean close to 6%, 7%, my sense.

Sanketh Godha: Okay, got it. And the last one is on two data keeping questions. One, on EV. How much of economic variance contributed to the 20% growth? That's point number one. What is the economic variance number sitting in the EV part? And second, on annuity part, the growth is very extraordinary, so we just wanted to understand. This is more driven by individual business or group business. And do you think that, that number is sustainable? Because if it is led by group, how lumpy it is in the current quarter?

Amrit Singh: So on operating variance in the EV, I think that was your first question. That's around INR133 crores

Sanketh Godha: Economic variance, Amrit.

Page 9 of 14

Amrit Singh: Yes. That's largely economic variance only, INR133 crore.

Sanketh Godha: Okay. And on annuity?

Amrit Singh: Annuity. So look. I think we have established a full retirement machinery, which actually entails us now tapping into corporates, tapping in to retail individuals, tapping into National Pension System (NPS), ecosystem. And we use product chassis of individual annuities and group annuities. So though the growth as from a categorization perspective is driven by group annuities, but the reality is that it is actually very granular.

Even in a corporate annuity kind of a program, you have to go and meet that individual or influence that individual who is retiring and whose superannuation corpus is now becoming available for annuity to be sold, so I would actually advise you to look at annuity collectively rather than segregating it into individual and group. Because it is not that lumpy in its nature because of the way we have kind of orchestrated assets. There will be certain deals which will come our way once in a while where it should be large in its size and ticket.

Sanketh Godha: Yes. The reason I was asking this question, Amrit, was that if it is more group annuity, that typically the product what you will be selling will be immediate annuity, which I believe will have a lower margin profile compared to a deferred one. So just wanted to understand. This group annuity is better than the company average or may be at par or lower than the company average?

Amrit Singh: So it is the margin profile is slightly lower. You are right, but I mean it's actually there's a need for the consumer. Various different tools are available to sell for it at the end of it, such a strong growth of 260% in APE that we have demonstrated. This is all VNB accretive and anyway, this profile is also margin accretive.

Moderator: The next question is from the line of Adarsh from CLSA.

Adarsh: Question is on when you look through this particular deal, right, that Axis has got more control in terms of appointing Board members. Now how should like would as management now be very comfortable with the fact that market has been thinking of wallet share losses further because you have more partnerships in Axis. So does this make you feel very comfortable

le about wallet share now
in Axis counters?

Prashant Tripathy: Adarsh, thank you very much. I think, as management, we've been repeating multiple times that we have been very comfortable with Axis Bank and how our counter share position will be. I've repeated multiple times that everybody should expect us more in the range of between 65% to 70%; or 70%, plus, minus a few points.

So with this change, actually it's not an additional comfort to management. I think it is an additional comfort to investors and analysts community because we always knew about it, but yes, you're right. With these changes which are quite positive in nature, I think Max Life Insurance is set up for growth, is set up for higher collaboration and better guidance and alignment with Axis Bank and its top leadership.

Adarsh: And one more thing here. I think somebody asked, but I don't know if it was unanswered. Was any change in economics which except because when we were trying about this deal of giving a stake for a longer banca partnership. It didn't involve, at least to start with, a payout of so much by Axis, right, so could there be any changes in payout which could affect margins for Max Financials over a 2-, 3-year period? Do you envisage that?

Page 10 of 14

Prashant Tripathy: In the context of what we are trying to build together and what Axis Bank is going to participate in, these amounts are not quite material. And this is a strategic investment for Axis Bank and Max Life Insurance, so the answer to your question is no. We will continue as it is and we will try to do the best that we can. The value creation opportunity in this space, where we are indeed scratching the surface, and the franchise is really good. Axis Bank saw value in coming at the fair market value, as against the discount that they were getting.

Adarsh: Got it. And my last question is on protection, Prashant. You did mention part of the growth is aided by the base effect, right? Like, post COVID, things have been slow. I just wanted to understand, now in terms of how underwriters or reinsurers are looking at it. Do you get a sense that there are thresholds of what they want to clear and underwrite? Are that changing? Or just that people are getting used to higher threshold of what will pass as a file or something of that sort.

Prashant Tripathy: I think, as a country and not specifically COVID example, as a country, the experience has evolved. And I think there is high level of alignment and understanding between the three constituents: the reinsurers, the life insurers as well as customers. The prices have increased in general.

We have understood what kind of profile or mortality profile is going to come forward and that has given a lot of comfort to reinsurers also. So they have been loosening. I have noticed that on certain elements they have loosened. And there's finally a trade-off between price and flexibility so, I will say, better situation, better understanding. And that will go a long way in terms of driving growth for all the constituents.

Moderator: We'll take the next question from the line of Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: The first one is essentially on your outlook on the non-par business. Given the fact that you have repriced the product now, do you expect the momentum to continue? And hence, do we expect the non-par share to remain at similar levels towards the end of the year?

Prashant Tripathy: Thank you, Nischint. That's a great question. I mean when we finished last year last year, of course, the bias towards non-par was higher. And we have made conscious efforts this year actually to rebalance. And a lot many times, the product mix also gets driven by the products of the season. So for example, last quarter, we launched a product which was more in par space. And of course, par gained ground.

As we are moving th

rough this quarter, we have a very strong ULIP plan as well as a non-par plan, which are scheduled to be launched, but on a long-term basis, Nischint, we will attempt to be closer to 40%. I mean that's our attempt. And in terms of acceptance, yes, I mean, this year, the stock markets ran. So there is higher acceptance towards ULIP, but the category remains quite strong and it has value. So I'm not expecting that the demand for non-par is going to dwindle or the share will go down. We will try to be closer to 40%.

Nischint Chawathe: Question in different words. When we look at the VNB kind of bridge at the end of the year, would you have sort of a negative in the business mix line item?

Prashant Tripathy: If you could clarify what the question is, Nischint.

Nischint Chawathe: No, I mean to say that, when we are looking at the VNB at the end of the year and you have kind of given the guidance for kind of some compression in margins. Then would you see the new business line item, the business mix line item contributing to it? Or is it anything else?

Prashant Tripathy: No. It will be new business line.

Page 11 of 14

Amrit Singh: No, no. I think, Nischint, your question is that will mix cause margin shrinkage.

Nischint Chawathe: That's what I was trying to say, yes, excluding the investments and overruns.

Amrit Singh: It will. Because non-par proportion of last year was quite high given what happened in the last quarter and also quarter 3, when we had a product launch around the non-par side. We will like to keep the non-par steady around 35% kind of levels for the year, 30%, 35% levels for the year, whereas it was upwards of 40% plus last year. This is non-par savings, but protection and annuity are in addition to that, but from a shrinkage perspective of margin profile, there will be a mix and there will be costs both.

Nischint Chawathe: Second question is on your counter share in Axis Bank. The other bancassurance partner mentioned a high single-digit growth at Axis Bank. So I think we are in sort of flattish to minus 1 or minus 2, so is it something that there was a change in counter share during the quarter? And how do you read these numbers?

Prashant Tripathy: So it goes up or down, actually, Nischint. There was a particular month where we lost a bit of counter, but we regained. So like I mentioned to you, we should remain in range bound between 70, plus, minus 2. That's the kind of number and we are in that range. So there will be months where you will see other partner growing more than the bank. There will be months where you will see we growing more than the bank. Those possibilities do exist, but we are in the range.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS India.

Neeraj Toshniwal: I wanted to understand. Is there any change in strategy towards credit life? Because it seems to be doing very well in this quarter?

Prashant Tripathy: Yes. I mean, of course, we are trying to acquire new partners. There's reasonably high level of aggression as well as growth and more counters have been won. Like I always mentioned, the level of flexibility to drive the business in the context of changed guidelines and regulatory flexibilities have enhanced our ability as well as desire to be significant or reasonably significant players in this space, so we are pursuing this agenda reasonably aggressively at this point, Neeraj.

Neeraj Toshniwal: Got it. And what kind of run rate we can expect similar, we can assume for the coming quarters. Or maybe more relative.

Prashant Tripathy: Yes, you should see growth. You should see robust growth come through.

Amrit Singh: So we grew 27% in this category in the quarter, and you should see further acceleration to this number.

Neeraj Toshniwal: Got it. And second would be on ULIP. I think, against the industry, where peers are doing phenomenally well

I in ULIP, I think we are indeed because of probably higher base it's looking a little weaker. So what is our strategy? Is it a conscious strategy to be lower in terms of ULIP? Or we may see a pickup here happening.

Prashant Tripathy: No. You will see pickup in this quarter actually. Like I mentioned to you earlier in the discussion, that we are launching a new ULIP design. We are going to launch it. And it will be present on e-commerce space, on the banca space as well as agency. However, we are not going to open it to just about everybody. We will be very selective about it and it will be given to people who are capable of selling, so the presence will be more on with perhaps bank RMs with our top agents on Policy bazaar counter. So those are areas where we'll open ULIP selectively, but you should see ULIP proportion increase as well as having its impact on our growth.

Page 12 of 14

Neeraj Toshniwal: Got it. One more question is on the resources. I mean how many people you have deployed with Axis Bank before the loss of Wallet share. Now how many resources would be there? If we can share that data?

Prashant Tripathy: So rather than giving your number of resources, let me say percentage. We are 26% higher than last first quarter, to this first quarter.

Neeraj Toshniwal: Okay. And last question is on the timeline of the deal. When can we expect this deal to close? And any further plans and further update to Analjit exit and which may happen? Because now if Axis would be in control, what's the rationale of him being on the Board? Or will he continue on the Board? How do we think about that?

Amrit Singh: So on your first question, around timelines. The timelines that we are envisaging is anywhere between 3 to 6 months. This entails, we do intend to share out a postal ballot for the shareholders to approve and in parallel also reach out to the regulators. This will require IRDAI and now PFRDA as well because we have a pension fund subsidiary where we are the sponsors and any change there also requires their approval. Or the sponsor requires their approval and CCI nod as well.

So we are anticipating a time horizon between 3 to 6 months to conclude and complete this. With

respect to Analjit Singh, who has been the founder, chairman of this company and then has built the franchise, he continues to be the chairman until we indicate.

Moderator: The next question is from the line of Prudvi Raj Saya from Agam Capital.

Prudvi Raj Saya: I wanted to ask. In the NPS, in the annuity business, I wanted to understand where NPS stands. Maybe currently it's not very meaningful, but in the larger scheme of things, how do you plan, how do you expect this to contribute to the annuity business?

Amrit Singh: As I indicated to you, we have now created a holistic retirements team which actually is tapping into all the three ecosystems, the corporate annuity market, the individual annuity market and also being present in the National Pension System (NPS) annuity market. National Pension System there are maturing customers. And obviously maturing profiles will only keep building up as time kind of goes by.

You know that this ecosystem was set up in 2004. And some of those of those retirees have started hitting in. Now we are quite present with respect to, at present, we are actually contributing, but it is right now not very meaningful at the moment, but definitely we expect this to become bigger and larger as time progresses.

Prudvi Raj Saya: Okay. Another one, on the state insurance, wherein you have allotted a couple of state facilities to that, can you quantify what will be the impacts we can expect from this in terms of business?

Prashant Tripathy: It is a bit premature actually to talk about the volume numbers, but we remain very optimistic and we are going to participate. There are two states. The largest of them is Uttar Pradesh, which has been

allocated to us. We are right now putting the plans in place, deploying resources. And the big vehicles through which we will approach state insurance plan will be Bima Vistaar as well as PMJJBY. Those are two products that we'll be driving.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: I have a question on the new product, the SWAG par product that you have launched. So back in third quarter '22, also you had launched a new par product, which did quite well. And as far as I remember, that was also a higher-margin and probably a longer-term product is what I remember.

Page 13 of 14

So can you give some colour about the product? And also, with these two new products, can we now say that your par book is effectively no longer the 10% to 12% margin book? It's a higher margin book, in case its SWAG is also a higher-margin product.

Amrit Singh: So we did launch this product in the month of June, SWAG par. And as was mentioned in the opening remarks, this product has done exceedingly well in its launch period and continuing until now. This product has very similar to the principles of the non-par SWAG product that we had launched in quarter 3 of last financial year has many flexibility options with respect to payment terms, policy terms, income period, starting income, bonus elements and guaranteed portion of the bonus elements, etcetera.

So it's a very comprehensive and a holistic product, which has been very well accepted by both customers and distributors, from our perspective, and has definitely augmented the par portfolio which Max Life has been known for in the industry. Is the margin profile of this product profile better? Yes, it is better. It is better than the traditional par products that we have been running.

Shreya Shivani: So fair to say that in the future, majority of your par book will have more non-traditional par policies which have a better margin profile, right?

Amrit Singh: It will, I mean there is obviously other par designs also which continue to sell, but par portfolio should improve at an aggregate basis on margins, yes.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: Just a question on a couple of regulations. Firstly, on the expense-of-management regulations, do you see any changes in the commission payout? And what are your thoughts and strategies to kind of implement this regulation or take advantage of this regulation? Secondly, on IFRS implementation, there is talk about a few of the insurance companies moving to IFRS from, if I am not wrong from FY'25 onwards. What are your thoughts? And how is your preparedness? And what would be the implications on the numbers as and when it is implemented?

Prashant Tripathy: The expense of management, actually it creates more flexibility. Rather than looking at commissions, it focuses on overall company expenses, so there may be change of colours in terms of how we recognize expenses. However, at a total expense level of what we were incurring as expenses, I'm not expecting any change to our expense profile, which means that, at total commercial level, we are not going to incur any additional expenses. However, there will be reclassifications which have possibility.

On IFRS, we are from chosen companies and we are working. We are working with KPMG as our partner, to be prepared. The core team has been working on it. There is a lot of push from the regulator to move to IFRS as soon as possible. We are one of model companies who have to go in the first tranche of implementation. And we are very optimistic we'll be able to conclude it as time progresses.

Moderator: The next question is from the line of Sanketh Godha from Avendus Spark.

Sanketh Godha: The last one I have is that, after these 6 months, the timeline for the current Axis stake increase approval, when you will

It starts that reverse merger process; and expected timeline, probably, given you will need to take multiple approvals there also how much timeline you believe will take for the entire thing to collapse and Max Life to become the listed entity.

Prashant Tripathy: So one step at a time is what I will say. Right now the focus and attention is going to be to consummate this 7% and subsequently the 1%. Once all that is done, we'll initiate the process of

Page 14 of 14

doing it. I think that will be a longer process, so assuming that we are able to do this transaction over 6 to 9 months, you should expect a further period of about 18, 22 to 24 months to do that.

Sanketh Godha: Got it. Perfect. So basically it's, if I add up all the numbers, all the months, maybe it's a 2.5-year kind of a scenario to, everything to consummate, right?

Prashant Tripathy: You're right.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you.

Amrit Singh: Thank you, Michel and thank you, ladies and gentlemen, for being on our call. We look forward to more such interaction in the future. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of Max Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

Thank you.

Call: Nov 2023

November 6, 2023

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Transcript of Investors & Analysts Conference Call held on November 1, 2023 post declaration of Un-audited Financial Results of the Company for the quarter and half year ended September 30, 2023, is enclosed.

The same has also been uploaded on website of the Company at

<https://www.maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q2fy24-06-11-23.pdf>

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 21

Max Financial Services Limited
Q2 FY '24 Earnings Conference Call
November 01, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh : Good morning, everyone, and welcome to the earnings call of Max Financial Services for the half year ended September 2023. We made our results available on our website as well as on Stock Exchange last evening. I hope you got an opportunity to go through it. Today, I'm again joined by Prashant Tripathy, MD and CEO of Max Life Insurance. And I will hand to Prashant to actually share the developments of the first half.

Prashant Tripathy : Thank you, Amrit. Good morning, everyone, and thank you for being on the call. Let me first begin by giving you a quick update on the Axis transaction. As you may recall, in quarter 1, we had received approval from Max Life and Max Financial Services' Board regarding Axis Bank infusing INR 1,612 crore. Post that approval, MFSL has received shareholder consent and we have initiated the regulatory approval process with IRDAI and PFRDA.

At this point of time, our proposal is moving forward. We had received the first set of query, we are in the process of responding. We are actively collaborating with
Page 2 of 21

the regulators for completion of these procedures. And I'm very hopeful that over the next few weeks, we'll make good progress.

Transitioning to our business update, I'm pleased to report that Max Life has been able to accomplish significant growth outcomes, and we have picked up pace consistent with some of the updates I've been sharing with you over the last few quarters. I'm now going to outline accomplishments against the called -out areas, four or five areas, which are of strategic importance to us.

Firstly, as you may recall, we are trying to build a predictable and sustainable growth by focusing on enlarging and building distribution. And in the second quarter, our individual adjusted first year premium saw an impressive increase of 32% compared to 16% growth in the private sector. This growth was primarily driven by a remarkable 34% increase in the number of policies, indicating a robust market demand and our superior execution capabilities. If one were to compare the number of policies growth for private versus Ma

x Life Insurance , our growth

will be almost 3x. It is crucial to emphasize that this growth was not limited to a specific area, but permeated to all key aspects of our business, including distribution, product innovation, technological prowess and customer service. Our proprietary channels witnessed substantial expansion with the Annual Premium Equivalent (APE), surging by 50% in this quarter. This growth was particularly prominent in both online as well as offline proprietary channels. In the online sales, we maintained our leadership position in the protection segment and successfully entered the savings segment last year. I'm delighted to announce that in quarter 2, we achieved a leadership position in the savings segment as well. This area is a very dynamic and with the progress that we've been making, I'm very hopeful that we will be able to strengthen our overall position in savings area. This accomplishment was possible due to our deep understanding of the digital landscape, coupled with a comprehensive product strategy tailored for online success.

In off -line space, Agency channel experienced renewed growth through new agent activations and adviser recruitments, experiencing a growth of 62% in

Page 3 of 21

recruitment. Additionally, our direct customer acquisition channel saw improvement in efficiency and contributed significantly to the overall growth.

Our Banca channels also demonstrated strong growth , driven by momentum in sales in Axis Bank. In quarter 2, our bank channels, APE experienced an impressive growth of 30%.

Furthermore, as a part of our strategic efforts to enhance our distribution network, we successfully onboarded eight new partners during the second quarter of FY '24. This included a strategic partnership with AU Small Finance Bank in the digital space.

Our ongoing initiatives to scale up our offices is progressing well, and we anticipate sustaining this positive sales momentum as we go forward.

Talking about product innovation and its impact on margins. Quarter 2 was also fuelled by introduction of new and competitive products offerings, aimed at capturing a larger market share. In line with our growth objectives, we have introduced two offerings in the market. Firstly, we launched industry -first index on focusing on small cap in unit -linked insurance plan design, achieving huge success. And we also launched a new product called SE WA, where we expanded into Health and Wellness sector through our flagship product design Secure Earnings and Wellness Advantage Plan.

This pioneering offering integrates health, protection, savings , and holistic wellness benefits, catering to the evolving needs of today's consumers. SEWA provides comprehensive coverage, including hospitalization, ICU, surgery, critical illness, disability , and life cover solution, which brings many, many things under one platform. Additionally, customers gain access to Max Fit wellness digital app, encouraging a disciplined and healthier lifestyle by offering enhanced maturity benefits.

Alongside these offerings, our participating offering launched in quarter 1 has garnered substantial success revitalizing this segment. These innovative products have resulted a well -balanced product mix in the first half of the year. On Annual Premium Equivalent (APE) basis , the product mix comprises 21% participating,
Page 4 of 21

26% non-participating products under Savings category, 30% Unit-Linked, 6% Annuity and 17% Protection.

We continue to gain traction in the two identified focus areas for Max Life, which are retirement offerings and product Protection and Health. In the first half of the year, the Protection and Health segment experienced a growth of 55% and the annuity sales increased by 217% on APE basis. This growth in annuity sales stemmed from both single pre

mium as well as limited premium plans.

Additionally, Max Life Pension has achieved asset under management of approximately INR 409 crore as 30 September 2023.

Since morning, I went through a few analyst reports where there were issues highlighted with respect to the margins of Max Life insurance. I must like to highlight that margins of a life insurance company in the context of quarterly sales are very dependent on the types of products that we launched. As I shared in the first half of the year, there was a lot of focus on participating as well as unit-linked plan. And within unit-linked to drive the online sales momentum, we had launched an index-linked plan where inherently the margins are lower. So as a result of that, the first half margins appear to be 24%, quarter 2 was 25.2%, and the margin is on an upward trajectory, however, lower than last year.

Max Life Insurance had guided that we would be in the range of 27% to 28% by the time we finish the year. Our second half margins historically are always higher than first half, and I'm very hopeful that through the bouquet of products that we are going to launch in the second half, predominantly focused on non-PAR will rebalance the overall mix in favor of those products, which will drive margins. And I remain optimistic to hit the 27% to 28% target. So that's -- I just wanted to state upfront about our margin situation. On the third element of customer obsession across the value chain. At Max Life, our steadfast dedication revolves around providing our customers with a substantial value proposition and continually striving to enhance the overall experience. Our exceptional claims rate ratio of 99.51% in FY '23 serves as an evidence of our unwavering commitment to customer obsession.

Page 5 of 21

In first half '24, we are delighted to observe a 3-point enhancement in our overall company Net Promoter Score rising from 52 to 55. I would like to highlight that Net Promoter Score methodology, not just focuses on transactions, but also on relationship vectors. Across the transaction NPS, our current NPS is about 72, which is really quite superior on the transactional basis.

Furthermore, Max Life proudly maintains its position as a market leader in terms of 13th month persistency on number of policies. Specifically, our 13th month persistency of regular limited pay premium stood at 84% and our 61st month persistency was at 58% for the period ending September 2023 achievement underscores the trust and loyalty of our policyholders in Max Life.

Talking about some of the digital initiatives that we undertook to drive efficiency as well as intelligence. Our focus on technology touches various aspects of our operations, including product launches, prospecting, onboarding and customer service. By leveraging agile methodologies, we have achieved operational excellence and high-end efficiency. We introduced the Max Fit App, our health and wellness platform for customers purchasing the SEWA product, as I shared earlier. This app offers important features such as vital tracking, physio connect, health checkup, doctor consultation, chronic disease management and discounts on labs enhancing customer experience significantly.

Our prospecting methods have been enhanced through mSMART, a tool for all our new partners, and a renewal management system is now live for our major Banca partners. Over the last 18 months, we have completely transformed our activity tracking as well as onboarding methodology for all our distribution partners.

Furthermore, our cloud infrastructure has been reinforced with our core systems going live on cloud, a pioneering step in the industry and in the country. This move is integral to our legacy modernization efforts, providing greater resilience through near real-time disaster recovery and scalability.

We are informed by Oracle that we are the only second company in the world to move

the Ingenium core system to cloud. In our pursuit of leveraging AI capabilities, we introduced SalesGenie, a generative AI-based virtual training

Page 6 of 21

companion for frontline sales. Additionally, a gen AI based SEWA bot pilot was

launched for customer service team query resolution specific to queries on SEWA products. These initiatives highlighting our unwavering commitment to digital transformation and utilizing cutting-edge technologies to enhance customer experience and operational efficiencies.

In summary, our strategic initiatives to fuel our growth are yielding results in line with our expectations, positive growth across all parameters bolsters our confidence in the chosen path. We are optimistic that the upcoming initiatives planned in Q3 and Q4 will enable us to achieve our full year guidance.

I'm going to now hand it back to Amrit, who will provide an update on the financial performance.

Amrit Singh : Thank you, Prashant. Just on key financial metrics. For MFSL, the consolidated revenue, excluding investment income, now stands at INR11,221 crore , a growth of 16% compared to first half last year. The consolidated PAT for MFSL is at INR271 crore , up 109% year -on-year.

Renewal premium for Max Life grew by 11% to INR7,215 crore , and gross premium stands at INR11,496 crore , a growth of 16%. Value of New Business during this period of first half stands at INR663 crore versus INR586 crore last year, representing a growth of 13%. And as Prashant highlighted, the NBM for first half stands at 24% and for quarter 2 at 25.2%.

Embedded value as at 30th September '23 is INR17,911 crore . There is negligible operating variance in the first half. On the non -operating variance, there is a positive INR282 crore movement, which is mainly constituted by positive economic variance in equity market and interest rate moves. Operating ROEV for Max Life in first half FY '24 is 17.5%. The overall policyholder opex to GWP ratio is at 15.4%. Max Life FY '23 profit before tax is INR260 crore , an improvement of 81%. And our solvency is at 184% with AUM at around INR1.34 lakh crore .

So, with this, to conclude, we remain confident in our leverage our strength and continue delivering sustainable value for customers, shareholders, employees.

And we remain committed to our purpose of inspiring people to increase the

Page 7 of 21

value of life . We will be now happy to take any questions that you may have, and we will open the floor for Q&A.

Moderator : Thank you very much sir. We will now begin the question -and-answer session.

We'll take the first question from the line of Swarnabh Mukherjee from B &K Securities.

Swarnabh Mukherjee : So, two-three questions on my side. First of all, thank you for confirming the marginal outlook. I just wanted to understand that you mentioned that the second quarter, the margin expansion will be due to scale up in non -PAR given product launches. So right now, the share of non -PAR in the mix has gone down significantly as ULIP and PAR has grown. Just wanted to understand would product launch and scale up be sufficient to take us to our ask rate for second half of margin so that we are able to lead that?

And also , how to think about growth in second half given that the size of non -PAR as you have disclosed is slightly lower than where it is for ULIP. So , should we see kind of this 25% growth, which we have in the first half? Or should we expect a slightly lower number than that? So that's the first one.

Secondly, sir, in terms of Banca, if you could highlight where our counter share for Axis Bank lies and if I could break down the growth between Axis and other banks, how to look at it.

And thirdly, if you have given that because of the business mix and investment, there has been a negative impact in VNB. So , if you could just give us some color on that, what will be cost aspect which has resulted from t

hat? How should we

think about cost in the second half? Those are my 3 questions.

Prashant Tripathy : Okay. You asked many questions. Let me try and attempt answering a few of them. So , thank you for your question. I think these questions will be common across many people. Overall, the product mix is an element of 2 factors, the customer demand as well as tactical interventions that we make through launches of new products.

Page 8 of 21

I personally believe that the par segment got strengthened, but it came at the cost of non -PAR going down a little bit. And it was driven predominantly because of the tactical move of PAR launch. Again, within ULIP, while the ULIP mix is similar to how it was last year, we wanted to drive a number of policy as well as our presence in the online space, and hence, we had to launch an index -linked kind of design where inherently, the margins are lower.

In the second half of the year, the tactical interventions in terms of product launches are going to be more biased towards non -PAR. That's a part of our calendar, it's a part of the design, and that's going to have an impact on driving the overall mix in a positive manner so that we are able to improve our margins. Again, as the business builds in the second half, you would notice that about 60% of the sale actually comes in the second half with respect to first half. So , the overall leverage also in the business drives the margin. And as a result of that -- and I went a few years looking at the data of last few years, generally, the second half margins are higher.

So as a result of that, I mean, we are following a well -chosen predecided product calendar. And we remain absolutely optimistic about the margin guidance. As the year began, I had shared that the business will be making investment towards growth and market share. And hence, the 31% margins was not sustainable for us, which we achieved last year, and we had given a guidance of 27% to 28%. We remain committed to that, and we are very optimistic that we 'll be able to go in that range.

On your question on growth, I think, our guidance, as you may remember, March last year was an extraordinary month because of tax changes where the sales volumes were pretty high. So , we had given a guidance that on a full year basis, we will hit a double -digit number, and we are working towards a double -digit number. So , on sales, our commitment again is towards the guidance we have given. At this point in time, it is very hard for me to say whether the sales momentum or sales trajectory is going to remain exactly as per first half or not.

Page 9 of 21

The first half momentum, you will also notice the first quarter, our sales were quite tepid. So , all I can say is momentum is building by every passing month, and we are trying very hard to deliver a strong double -digit kind of growth rate as we finish the year.

On your question on Axis and other banks, our counter share remains stable. We've been told by Axis Bank , overall we've seen our overall counter share to remain in the range of 65% to 70%. We remained stable at around 70% in the first half of the year. Equally on, Yes Bank, our counter share is very stable at around 58%. It's plus/minus 1%. So that's where we are. And we are happy that our execution still is helping us maintain our counter share. So , I remain optimistic that we will be able to drive growth through our bank partners.

On your question, VNB colo ur into cost and business mix, I'm going to just hand it over to Amrit actually to talk through this. I think the cost is fairly stable, as you would have noticed. Of course, there are allocation -related adjustments which are made between other lines and commissions in view of the commission guidelines. But otherwise, the cost is pretty stable. Of course, we have made investments in opening new offices, which will start to get realized but otherwise, I'm

not

anticipating that cost is going to be completely out of sync with respect to the guidance that we've given. And hence, the VNB is going to be predominantly an outcome of the mix that they are going to drive in the business. I hope it answers all the questions.

Amrit Singh : Yes. I think I'll just add, Prashant. I think just stepping back at the start of the year, we had indicated that this is a year of investing and driving for overall buildup of distribution and hence garnering our market share. And a large part of our investments were predominantly in two areas, either it was in augmentation of distribution muscle , or it was towards investment in technology. And I think we are on that trajectory , and we will continue on th at trajectory. So , this elevation that you see of opex is something that will kind of remain in the period in this particular fiscal for sure.

Swarnabh Mukherjee : Just a couple of follow -ups. One is on the Banca mix ; I just wanted some color on how the growth has been between Axis and others? I mean, the 31% growth, if

Page 10 of 21

you could give some sense by what percentage Axis channel had grown and by what percentage other channels have grown because my sense is that other channels growth must be much more higher than Axis. So , some colo ur on that.

And on the cost, I just wanted to understand, you have mentioned that in the presentation that first half policyholders expense to GWP ratio is around 15.4%.

So broadly flattish now given that GWP has gone up by 16%. So , you could assume costs have been going up by 16%, 17%. In the second half, the operating leverage we were discussing about , if the growth in expenses remain at a similar rate would that play out or no t that is what we want to focus?

Amrit Singh : I think , if I understood your second question correctly, the operating leverage plays out largely because of volume and the absolute volume of sales and absolute volume of opex . Even though there is a growth in opex , but the absolute volume is where the leverage kind of kicks in generally for us and this is historical. I mean if you go back in years and see how our second half margins look like. They do benefit because of the way we allocate and the way cost is actually attributed. So that is where the leverage comes from. And that is what we expect in this particular year itself, even though March might be a muted month, but still an absolute rupees crore of sale for the second half is much larger than how the opex actually stacks up.

On your specific questions around the color of growth between Axis and our other partnerships. Axis actually for the quarter 2 and equally for other partnerships as well, has grown upwards of 28% is Axis growth in quarter 2 for us. And other partnerships have grown at around 60%. So , for the quarter, our Banca partners have grown at the range of around 30%.

Moderator : Thank you. We'll take the next question from the line of Avinash Singh from Emkay Global Financial Services. Please go ahead.

Avinash Singh : A couple of questions. If you can just help us understand sort of what is working for you in the annuity? Because typically, annuity has been something that you used to sell more in the second half, but this year, even in the first half, you are selling a good amount of annuity and particularly the trend in the industry on Page 11 of 21

annuity has been a bit of a mix. So I mean, what is helping you there? Is it some sort of the return of , I mean for this particular with channels, those are helping? And if at all, I mean, on a Y -o-Y basis, your annuity margins , if your margin profile is similar in the case of annuity. So that's first question.

And second, if I were to look at, I mean, your accounting profit, of course, it had come better. And particularly, if I see the growth in new business strain has been on the lower side. Is it more to do with a PAR and mayb

e single premium annuity

this year being higher than last year? Or is there something more to it?

Amrit Singh : Thanks, Avinash. I'll take this question. I think on annuity, what is working for us. I think I'll say 2 things. You'll recall, we had established our full retirement team as a construct over the last now 18 months, actually a full-fledged team has come in, which holistically looks at the entire retirement as an ecosystem, trying to tap into whether the NPS ecosystem, whether the corporate superannuation systems or whether driving the individual annuity through channels.

So this investment in actually this team overall has helped actually support the annuity growth that we are experiencing for ourselves. In addition to the team, obviously a channel dedicated to this particular aspect. There were also some product interventions and actions which were taken, wherein we created a plethora of products across regular pay products, single -pay products, deferred entity designs and the entire construct. So this has helped us keep the momentum strong with respect to annuities. And a large part of benefit is definitely coming out of our group annuity design that we are selling to superannuation customers and clients, which is actually helping us .

I think on the margin, overall annuity margin as you compare to last year does look a little weak and is not to do with a specific design actually, it is to do largely because of the mix between our business. We have seen, in line with pressure in the industry on single premium annuity, which has shifted towards regular premium annuity. But given the whole investment that we have undertaken, our overall annuity momentum actually continues to remain quite robust, as Prashant highlighted in his opening remarks

Page 12 of 21

I think on the question around profit that you see strain to be lower. I think it's to do with obviously the mix of participating being higher, which actually has more allowables and that has actually helped and also has lesser strains as a business line, which has helped in the profit profile.

Moderator : The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : Going back to the growth argument, looking at your performance for the last 2 quarters, doesn't it look like your guidance for sort of 10% APE growth for the year is a little conservative? I mean your ask rate for second half is not very high, even if I sort of exclude the one -offs that you did in the month of March.

Prashant Tripathy : Yes. I mean you good question that it's always good to remain conservative on giving guidances. Of course, we are trying very hard for a strong double -digit kind

of a number. We will try to beat the guidance. So let's take it as that. We are trying very hard month -on-month to outpace whatever guidance is given, Nischint.

Nischint Chawathe : Sure. And on the Banca side, what would be your growth in Axis Bank on a year -on-year basis?

Prashant Tripathy : On year -on-year basis, if I look at the growth rate around Axis Bank on MFYP or paid premium basis, it is 12%.

Prashant Tripathy : For first half.

Prashant Tripathy : For first half. Of course, the business momentum picked up quite considerably in the second quarter, where we grew about 28%.

Nischint Chawathe : Okay, 28% in the second half. And on the proprietary side, if you could just highlight because your proprietary growth is very strong. So is it something that it kind of sustains in the second half, it may be moderate to the first quarter level in the second half because you can see a big divergence between proprietary or agency sales across various players. So what is it that you are doing? And is it
Page 13 of 21

something that can continue? Or is it just that you're getting some counter share out here from peers or anything of that sort?

Prashant Tripathy : So

under proprietary , and let me elaborate a little bit. There are 3 channels that we predominantly look at. The first one is agency and all agency -like models. The second one is direct sales force where our employed workforce works on different customer segments. And then the third one is all the sales that we generate either on our own website or on aggregators website under digital domain. So those are 3 areas.

As I highlighted, proprietary growth is of strategic advantage to us, and that's a very core area of focus for us for Max Life Insurance over last few quarters. Last year, we began a project with BCG to look at our agency differently to grow agency faster than how it was growing in the previous 5 years. And I'm very happy to share that in that project, we've been fairly successful. If I were to look at agency overall growth, it is clocking better than industry. I'm sure it will be amongst the top 3 fastest -growing agencies in India. And the effect of buildup of new offices is still to kick off. So once that starts to come board, I'm reasonably certain that the momentum within agency will definitely be in the range of 20% to 30%. I'm reasonably sure of that. So that momentum will continue for a while. Within DSF again, earlier, we used to only look at predominantly at the orphan customer base, but we expanded that. We're looking at digital leads. We're looking at bank leads. We are experimenting with surrender leads. And that entire scope has been enhanced plus the improvement in productivity. So those 2 put together has become a good driving force. And over the last many quarters, I have seen that particular team deliver anywhere between 30% to 40% kind of growth numbers.

The third one was in online space. Again, in online space, our protection growth consistent with the industry has started to pick up, and we have grown about ~37% on a paid premium basis. But the good part is we wanted to strengthen our position in savings space and through a variety of product levers, we could really substantiate our position and there has been an upside in growth coming strongly in the savings space of almost 4x. So across all vectors of proprietary channel, we
Page 14 of 21

are working very hard to drive momentum and that yielding outcomes. And I'm very confident , that this momentum will continue.

Nischint Chawathe : And specific to this quarter, was there a sort of slightly high push on the digital side because Q2 numbers have seen a lot.

Prashant Tripathy : That's correct.

Nischint Chawathe : I mean either way the inherent agency growth is stronger, no doubt about it, but probably that it is to push its .

Prashant Tripathy : Yes, digital growth was higher though on a smaller base, I must say. But yes, there was digital push, and we want to leverage the index -linked small -cap fund that we launched and that was a small cap that we launched. That was fairly successful.

Nischint Chawathe : Sure. And just one last point is, going beyond this year, I think you've already given margin guidance for this year, how should we really think about margins going in FY '25, '26? Is it something that you sort of revert back to '23 levels? Or does it remain flat? Or do you think that maybe 25% is the more sustainable long -term level? How should we think of it?

Prashant Tripathy : I think like I gave you the guidance to finish closer to 27%, 28%. As we grow and there is operating leverage that comes the margin will improve, but you are in a

competitive situation, you are fighting it out with competition. So that eats into margins. So honestly, over the next 2 to 3 years, we should think about the margin profile from 27%, 28% going up by maybe a couple of hundred basis points.

Moderator : Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Firstly, was there some pressure on product line VNB margins, as you h

ighlighted

with regards to ULIP, wherein you saw some pressure because of the mix changing and the launch of the new product. Similarly, on non -PAR or Protection, any specific trends that would have impacted the product level margins?

Amrit Singh : Yes. I think on ULIP, as has been mentioned, the launch of is a very unique offering for the online channel, which actually was also taken up by our banks channel as

Page 15 of 21

well, especially in the affluent segment of selling and was successfully executed.

There is a margin pressure at a ULIP line, for sure, because this particular product profile has a lower margin which actually has impacted the ULIP profile. Our participating non -PAR guaranteed savings design and the margins are stable.

There is nothing to worth mention there.

On Annuity, I did specifically mention in responding to Avinash's question that the shift which has happened between the variants actually is the reason why the annuity margins looked lower and it is not to do with specifically with the margin profile of that particular variant compared to last year. It's just the mix of variants that have been sold in it.

Prayesh Jain : Okay. Non -PAR, how many resets would have done in the quarter and because of where any resets , delay in resets, was there any pressure on margins?

Amrit Singh : Non -PAR savings, I think there is a very keen eye on to how the interest rates are moving and consequently, what happens to margin. So as a practice, we look at it on a monthly basis and make decisions keeping all parameters in pla y. Over the last 6 months, we would have done 2 resets, which has actually and it's in line with how the markets have moved. And those resets have helped maintain the momentum of non -PAR savings guaranteed businesses.

Prayesh Jain : Okay. Secondly, on the agency channel, how is the ticket size, say, compared to last year's first half and this year's first half? And do you expect the agency channel ticket size to move higher going ahead? Some understanding was given that in the first half, there was some apprehension with regards to the understanding of the tax change. And that's the reason the 5 lakh plus ticket size was not moving well in the agency channel. Is there something of that sort is happening here as well for you guys as wel l?

Amrit Singh : So the objection is right. Actually, for last year, the channels which benefited out of the taxation change in the month of March, were largely agency and in broking channels. These actually benefited the most because of that disintermediation.

And that's the reason of that expectation that as the full year progresses and

Page 16 of 21

especially when the month of March comes, there could be some moderation in that particular activity.

But specifically looking at a company level and looking at greater than 5 lakhs kind of a thing, we have seen actually even our less than 5 lakhs cases are definitely growing at 21% robust momentum, but greater than 5 lakhs are g rowing. They're definitely not degrowing. They have grown at some 5%, 6%. But the contribution, obviously, has come off a little bit as compared to last year.

So there is that pressure with respect to the contribution of greater than 5 lakh in our traditional book as compared to last year. But both of these segments stay in growth trajectory for us. And there are some interventions which are already in play or have been in play to offset some of this impact. But we had indicated that maybe half of the impact we will be able to hold on to a half is something that we get impacted with. And that's why the full year guidance is what Prashant was indicating.

Prayesh Jain : Got that. And with regards to VNB margins, you mentioned that the growth, the expansion margin, and that will be primarily given the product mix or it will be more operating leverage driven?

Amrit Singh : So it will be both actually. It will be , op

erating leverage will have an important

role, in fact, a major role. And with respect to certain product actions, pricing actions, and some of it, for example, we have already taken. I mean, in the month of October, we have corrected prices around our nonparticipating design chassis.

We have corrected prices. We are launching a new non -PAR variant in another few days from now. So some of this actually will help us shift a little bit away from participating towards nonparticipating and away from ULIP towards non -participating. So it should help us in that momentum. But it's a play of both operating leverage and the product variant that we'll introduce and the action that we'll keep taking on.

Prayesh Jain : Great. Can I just slip in one more, small one. Post EOM guidelines, have we changed the product level commission or old rates continue?

Page 17 of 21

Amrit Singh : So I think I'll just answer, I mean, there is a cost of acquisition frame that you should keep in mind. And I'll say the cost of acquisition has been maintained across our channels and our partners. There is some classification that is happening. You can see in our financials, obviously, the commission rates have increased quite sharply. But at a cost of acquisition level, you should assume that it has remained stable of how it was previously.

Moderator : Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : I have one question on the agency channel. So if I look at the agent count, it was at about 70,000 flat in FY '22, '23. And you mentioned about BCG activity that you had carried out. In the first half, your agent count is up 7,000. It is at 77,000 right now. So while your agent productivity is amongst the better ones in the industry, are you looking at any specific agent base, like maybe, in the next 1 to 2 years, we want to achieve this much agent base or something like that? That's my question.

Prashant Tripathy : Yes. I mean, honestly, one way of looking at it is how many people do we have in the agency workforce. But there are other ways of looking at agency also. How many of them are active, which means doing one policy every month. We look at another measure of how many agents are delivering 10 lakhs and above of new sales.

So there are several measures that we deploy. I don't have those numbers handy, maybe we could come up separately, but we are trying to drive the number of active agents and number of people contributing more than 10 lakhs. So those are 2 parameters that we internally track and that's how we drive the business.

Amrit Singh : I think I'll also point you to the recruitment momentum. Actually, recruitment is up, if you see from the same data that you're looking at as compared to last year in the ranges of 60% to 65%. So what we're doing recruiting in large numbers, which is not just driven by higher manpower being deployed for recruitment in the demand region, but also the throughput for manpower has been quite significantly up because of more structured governance and focus around how to go about some of these things.

Page 18 of 21

In addition to that, we're also working towards ensuring that these recruited agents are becoming more and more successful. So one of the big reasons for our agency doing quite robustly in the first half actually is driven by both higher recruitment quantity and also the quality effect of those people recruited which is in terms of activation.

Shreya Shivani : Got it. And just a follow -up question over there. Is it, do you also track your agents in terms of what kind of quality of customers they bring in terms of probably the profitability pool of their customer base? Or is there any linkage between their performance and the commissions you pay out?

Amrit Singh : It is obviously linked to the entire compensation philosophy of how you incentivize an agent has the linkages t

o many parameters. It has linkages to the product variants that they're bringing, the length of the product that they're actually selling, the persistency outcomes of those products, the way they kind of come s through, implications on the grievances, miss -sell, etcetera, all holistically kind of packaged in a compensation philosophy for a particular agent is designed. And that has always been the case, and there is always refinement and sharpness that keeps happen. Do we measure at an agent cohort level productivity? The answer is no. I think we do measure at a branch level, but not going down to an agent level yet. But intrinsically, the way products are constructed and where the products are remunerated, there is a very strong linkages to how the profitability of that product will turn out to be.

Moderator : Thank you. The next question is from the line of Adarsh from Enam Holdings.

Adarsh : Congrats. Just wanted to check on Axis as you close this transaction and you negotiate as a long -term partner. Just is there any difference in payouts that could have happened? Or is it product centric? How, the question I'm asking is because

eventually, they have ended up paying you a little bit more money for the stake that they have bought. So does economics stand now from a VNB margin perspective, we could see some extra payouts?

Page 19 of 21

Prashant Tripathy : So basically, the long -term arrangement and long term strategy of Axis Bank is to invest in Max Life insurance. And we're just following the regulatory guidance. I don't expect that to have any material impact on our VNB margin.

Adarsh : Got it. And since our counter share is stabilized in the Axis network at now 65%, 70%. And given that there is one more channel , one more partner added from the Citi Channel. How is the progress happening on what access Tata is getting in Axis to Citi network? And how do you expect that to impact you in terms of counter share?

Prashant Tripathy : So Axis Bank believes in open architecture. And it believes in having multiple partners at the same time, they have clarified and so have we to investors at large that Max Life is an investment of Axis Bank. And hence, our counter share will be kept at 65% to 70%. Of course, we do participate on Citibank and then the new partner through acquisition of some participants. At this point in time, I have no additional news to share in terms of their participation on Axis Bank counters. But I must like to highlight that the philosophy is to remain open architecture.

Moderator : The next question is from the line of Nidhesh from Investec.

Nidhesh : Two questions, firstly what all is included in protection and health? When we're saying protection has been grown at 70% Y -o-Y, what all products are included in that? And secondly, how is the growth in credit life business? What is the quantum of credit life business that we have done in H1?

Amrit Singh : Yes, Nidhesh. So protection and health category actually help now also includes the SEWA product that we have launched. Because with respect to the objective that it is solving for, it is very similar to the ethos of Protection and Protection & Health includes some bit of SEWA as well. And they are also similar margin profile. So it is actually a very strong grouping that has been done.

Amrit Singh : But irrespective of that, even if I take out the SEWA contribution, which was around INR 18 crore , the growth is quite robust at 50% to 52% for Q2. Credit Life has been growing at a steady momentum of 30% to 31%, and we have signed up more partners as we speak and hopefully expecting this to pick up further as the year progresses.

Page 20 of 21

Nidhesh Jain : Sir, just to confirm the margin for SEWA product is similar to protection margins?

Prashant Tripathy : Yes. More or less. More or less.

Moderator : We will take the next question from the line of Sanketh Godha from Aventus

Spark. Please go ahead.

Sanketh Godha : I just wanted to understand the digital drive strategy because of you indirectly alluded to the point that it's a lower VNB , it's a drag on the VNB margin business , on the overall company's VNB margin because at the cost the products typically sold are the index -linked, ULIP plan. So I just wanted to understand that this is like a onetime phenomenon you chase that growth with the digital channel in the current quarter? Or given the margins are lower, you might tone down that growth?

And I just wanted to understand how much is digital as opportunity of total APE.

In that prop channel, how much is exactly digital, how much exactly is agency and how much exactly is direct of 40% of total APE what you have disclosed?

Amrit Singh : So ULIP, the question, I think whenever there is a particular product offering, which is offered, there is always some bit of initial 1 to 2 months of overindexing of that particular proposition. And we don't expect the ULIP drag to be a structural permanent drag, which will remain and we expect it to settle down as the year kind of progresses. So , I think that answers the question that you were trying to ask there.

With respect to how much does our online e -commerce channel now is contributing, it's contributing around 8% -9%.

Sanketh Godha : And how much it was last year, if you remember?

Amrit Singh : It would have been around 5% -6%. So it is now around 9%-10% and has been corrected.

Sanketh Godha : Perfect. Perfect. And the second question which I had was with respect to persistency. In the presentation some data looks off because the 49th persistency seems to be higher compared to 37th month persistency, which ideally should not

Page 21 of 21

be the case. So how do I read these numbers? Generally, the persistency fall as

months progress. So I just wanted to understand that part little.

Amrit Singh : Yes, I think we have done an alignment to the persistency circulars, which are in play, which is now the 2021 and 2010 persistency circular. And basis that -- the guidance of the circular, the persistency has been recomputed. It doesn't mean anything economically. It is just a computation methodology, which has been brought more in line with market and also the circular which are in place.

Sanketh Godha : Got it. Got it. And the last one, just to the previous question. You are actually now seeing in Axis Bank, previously, to the extent I understood that Tata products were largely limited to Citibank branches. And now you are seeing even Tata products getting sold in Axis Bank branches, that's the understanding should I pick up?

Prashant Tripathy : So, I don't know where you picked it up from right now, the answer is no, but I really can't confirm that it is going to be so in future.

Moderator : Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Amrit Singh : Thank you, everyone, for having joined our earnings call, and we continue to look forward for such interactions. Have a good day, and goodbye to everyone.

Moderator : Thank you, members of the management. Ladies and gentlemen, on behalf of Max Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2024

(no extractable text — likely a scanned image PDF)

Call: May 2024

May 13, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Transcript of Investors & Analysts Conference Call held on May 7, 2024 ,

post declaration of Audited Financial Results of the Company for the financial year ended

March 31, 2024 , is enclosed.

The same has also been uploaded on website of the Company at

https://maxfinancialservices.com/static/uploads/financials/mfsl -earnings -call-transcript -final_q4fy24.pdf

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 18

Max Financial Services Limited
Q4 FY'24 Earnings Conference Call
May 07, 2024

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Service Limited Q4 FY'24 Earnings Conference Call. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh, Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Thank you. Good evening, everyone, and we welcome you to the Earnings Call of Max Financial Services for the Year Ended March 31, 2024. Our results are made available on our website a few minutes ago, and also on the stock exchanges. As always, I'm joined by Prashant Tripathy, MD and CEO of Max Life Insurance.

I will request Prashant to share key developments of the quarter and insights into 12 months results.

Prashant Tripathy: Thank you, Amrit, and good evening to everyone. Thank you very much for taking out time for the call today. At the onset of FY'24, we set our aspirations to increase our market share, broaden our distribution network, finalize Axis transactions and achieve our targeted profitability metrics. I'm very happy to share that we have made significant strides in fulfilling these commitments through dedicated efforts and steadfast dedication to serving both our customers and shareholders. To begin with, I would like to provide an update on the Axis transactions.

On April 17, 2024, Axis Bank infused INR1,612 crore as planned by subscribing to 14.26 crore equity shares of Max Life on a preferential basis, resulting in the Axis Group's collective stake rising to 19.02%. This capital infusion not only strengthens our capital position and solvency margins, but also reinforces our partnership with Axis Bank, paving the way for a more resilient and prosperous franchise .

Additionally, Axis entities hold the option to acquire additional 0.98% stake from Max Financial

Services through a secondary transaction, which will take the overall stake of Axis Bank and Max Life Insurance to the planned 20%.

I would also like to share an important development with you. I'd like to inform you that the Board of Directors of Max Life Insurance has approved the appointment of Mr. Munish Sharda , Executive Director, Axis Bank; and Mr. Arjun Chowdhry , Group Executive Axis Bank as additional directors on the Board of Max Life Insurance. Both have been nominated by Axis Bank as their representatives

Page 2 of 18

from the Board of Max Life Insurance, and they bring wealth of diverse experience to aid Max Life Insurance further in its ambitions . I think with their experience in financial services world, they will add a lot of value to our growth and our aspirations.

Predictable & Sustainable growth by building distribution:

I'm v ery happy to share that our full year individual adjusted

first-year premium sales experienced a

robust growth of 16%, surpassing the private sector's growth rate of 8% by 2x and total industry growth rate of 5% by more than 3x, resulting in a market share increase of 61 basis points for FY'24.

In quarter 4 of FY'24, we achieved a market share of 10.4% compared to 8.6% in quarter one, demonstrating consistent quarter -on-quarter market share gains. This growth also comes to the back of a very large March that we had as an industry last year.

On the basis of APE, we have grown by 19%. This growth can be attributed to a 20% increase in the number of policies, which is more than 2x of private average number of policy growth rates, primarily fuelled by a strong 28% growth in prop channels APE. Excluding one -off sales from last year, prop channels have grown by remarkable 44%. Offline prop channels witnessed 18% growth on actual basis and 34% on a normalized basis.

Our agency channel exceeded a noteworthy 54% surge in recruitment, establishing itself as the fastest -growing agency amongst the top 10 players in the industry. Direct customer acquisition channels also enhance their efficiency and ventured into new verticals significantly contributing to overall growth.

In the online channel, we maintained our leadership position. The online channel expanded by 79% in FY'24, underscoring our capability to rapidly expand our digital business. Our Banca channel APE experienced a growth of 12%, driven by all Banca partners. It is noteworthy that we have consistently maintained our counter share in both of our major Banca partners , namely Axis Bank at 70% and Yes Bank at 58% year -after-year.

Furthermore, our Group Credit Life business grew by 62% contributing to an overall company level APE growth of 19% in FY'24. In terms of expansion of our distribution reach in FY'24, we effectively onboarded more than 40 new partners, including one new bank , 20 new Group Credit Life partners, 14 online and offline brokers and six corporate agents. We anticipate these partnerships to become a significant part of our total business in the upcoming financial year and going forward.

Furthermore, we expanded our distribution network by establishing a representative office in Dubai. This strategic move extends our presence in the Gulf region, amplified brand visibility and provides a seamless approach for our non -resident Indian customers.

In summary, our distribution strategy is in line with our growth forecast for the upcoming year. And we are highly confident in maintaining the momentum that we achieved so far in FY'24. Our product innovation was a key component of driving growth as well as our profitability.

Page 3 of 18

Product innovation to drive margins:

Our strategic commitment to becoming a premium product company in the industry drives us to continuously enhance our offerings.

In FY'24, we launched several innovative products across different segments, which facilitated secular growth, except for non -PAR savings impacted by high base effects. These product launches include s:

- a) SWAG variant on PAR design with enhanced features focusing on liquidity, protection, and retirement .
 - b) STEP , which is a design in protection , with industry -first features of cover continence benefits .
 - c) SWAG Elite featuring an industry -first design of guaranteed endowment.
 - d) SWAG Pension targeting the retirement category with differential industry -first options .
 - e) SUPR Rider offering the option to receive a return of premium upon maturity.
 - f) Small and Mid-cap momentum index funds launched to enhance savings mix in e -commerce.
- These launches totalling 37 industry -leading interventions have positioned us at the forefront of meeting customer needs, contributing to approximately 45% of new business sales in FY'24. Furthermore, our emphasis on selected products segments is evident in the growth of our retail protection, health and annuity

segments comprising 14% total APE in 12 months of FY'24 and growing by 61%.

This led to our individual new business, term assured achieving rank 3 in the private industry with a growth of 33% on a full year basis ahead of industry growth rates. All these achievements culminated

in achieving new business margin of 26.5% within our guided range of 26% to 27% right at the midpoint. In quarter 4 FY'24, margins improved sequentially to 28.6% as operational leverage kicked in with seasonal trends. You would have also noticed that quarter-on-quarter, our margins continue to improve from quarter 1, where we were close to 22% in quarter 4, where we landed at 28.6%. Our margin outcomes are a result of calibrated approach to expanding market share. This involves active participation in the unit-linked market contributing 35% compared to 27% last year, alongside the introduction of innovative product solutions that balance customer needs and shareholder outcomes. Moving forward, we anticipate to maintain our high growth, growing faster than private industry and gaining market share. And we expect our VNB growth to be in line or near about our APE growth. Customer obsession also yielded outcomes on the customer outcome.

Customer obsession across the value chain:

Max Life has cultivated a customer-centric culture by embedding a focus on customer satisfaction throughout every stage of our value chain. This commitment has been recognized by our customers who have ranked us number 2 among India's leading insurers for delivering best-in-class customer experience in the fourth addition of Hansa Research's prestigious CuES report.

Page 4 of 18

They have commended us for our products, digital support, streamlined documentation processes and efficient policy issuance. Our culture extends beyond mere transactions and policies as evidenced by our consistently improving brand consideration scores, which positions us among the top brands in the sector. Furthermore, our exceptional claims paid experience ratio of 99.51% in FY'23 reflects our steadfast dedication to our customers.

We gave customer loyalty through Net Promoter Score. We are pleased to report that we have witnessed a 4-point increase in our customer NPS rising from 52 in March '23 to 56 in March '24. Our touch point NPS is at 74 improving by 6 percentage points and NPS in relationship increased by 2 points.

Additionally, Max Life proudly maintains its leadership position in terms of 13-month persistency for the number of policies. Specifically, our 13th month persistency for regular or limited pay premium stood at the highest ever at 87%, an improvement of about 300 basis points. Our 61st month persistency was at 58% for the period ending March 2024. And across all the cohorts, we have witnessed reasonably significant improvements. Furthermore, our grievance incidents rate has improved by 20 points in FY'24, underscoring the trust our policyholders place in Max Life.

Digitization for efficiency and intelligence:

Our commitment to technology permeates various aspects of our operations, including product launches, prospecting onboarding, and customer service. Embracing agile methodologies, we have achieved operational excellence and heightened efficiency.

Our ongoing investment in leveraging AI and digital technologies as we modernize legacy systems has resulted in the onboarding of significant new business with minimal human intervention in underwriting. This has substantially increased our capacity to process peak month business with minimal human resource augmentation.

Additionally, migrating to our core policy admin system through the cloud has improved system performance by threefold. Our consistent focus on enhancing the e-commerce journey has led to an increase in purchase Net Promoter Score which now rivals that of best-in-class digital-related players. By leveraging generative AI, we have introduced

reduced Sales Genie, a virtual agent training companion for frontline skills and launched several marketing and product campaigns. These initiatives have not only facilitated hyper-personalized communications but also significantly reduced development time. These strategic initiatives empower us to operate more efficiently, make data-driven decisions and enhance customer experience and adapt to evolving business landscape.

In summary, our efforts to fuel growth have yielded results in line with our expectations in FY'24. And you noticed that it is consistent with all the guidance that we provided throughout the year. We remain committed to augmenting our capacity and developing new business models to sustain and enhance our performance levels.

Page 5 of 18

With this comprehensive coverage of our business, I'm now going to hand it over to Amrit, who will provide an update on our financial performance. Over to you, Amrit?

Amrit Singh: Thanks, Prashant. Just key financial metrics.

- MFSL consolidated revenue, excluding investment income, stands at INR29,011 crore, a growth of 16% in FY'24. Consolidated PAT for MFSL stands at INR393 crore.
- For Max Life, the gross premium has grown by 17% to INR29,529 crore and renewal premiums have also grown by 13% to INR18,506 crore.
- Value of new business in FY'24 stands at INR1,973 crore versus INR1,949 crore for FY'23.
- The NBM for quarter 4, a sequential improvement quarter-on-quarter stands at 28.6% and for 12 months, we stand at 26.5%
- Embedded value end of 31st March 2024 is INR19,494 crore with an operating RoEV of

20.2%.

- Policyholder opex to GWP is 13.8% and Max Life profit after tax stands at INR360 crore.
- With the infusion of INR1,612 crore of capital by Axis Bank into Max Life in the month of April, the solvency adjusted will stand around about 206% for Max Life, which is sufficient for us to drive our growth momentum.
- Additionally, with this infusion of capital, the embedded value will also be around INR21,100 crore.
- Assets under management for Max Life has crossed INR1.5 lakh crore during the quarter and are at around INR1.51 lakh crore at the end of March 2024 and year -on-year growth of 23%.

So overall, strong performance across financial and non -financial parameters. And at this point, we will be very happy to take any questions you may have, and I'll request the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Just on set of performance couple of questions. The first one is on embedded value walk. The non -operating variance that I presume it will be mostly economic variance, and that appears slight negative. Now if we look the way equity has behaved as well as the yield kind of a movement that you have given in slide 59, there should be some sort of a contribution from both the factors coming as minor positive maybe 1% or anyway between 1% to 2% positive, but here, it is Negative so if there is something more than the economic variance, assumption change or what ever I'm missing here? I mean if you can clarify on that.

And the second question, if I come to particularly the Q4 part of our GAAP result, I know that Max Life GAAP results, I guess it is not out. Now I understand, I mean, a large part of probably the GAAP profit decline or rather turning into loss it could be due to new business as explained. But can you help? I mean, is this new business explain totally reflects our product mix change only because I mean last year also you had a strong amount of non -PAR typically have been high strain. So is this new business only due to new business strain? Is it a new business strain only due to production mix changes or sort of a payout increases or any sort of a weakness in back book supply, if you can help.

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age 6 of 18

Amrit Singh : Thanks, Avinash ji. I'll take this question. On non -operating variance, you're absolutely right. This is all economic variance in nature. And that it's a mix of the proportion of equity that we hold and the debt portfolio that we have.

So on the equity side, as the markets have moved up, we have also experienced positive variance almost to the tunes of around INR485 crore is positive. But on the debt side, because as interest curves have moved down, the liabilities also have to be repriced, where there is a negative movement on the debt side, which kind of offset each other to give a negative number of INR54 crore of non -operating variance that you see for us.

And some bit of these variances are actually a bit of mix of the proportion of equity you have in ULIP, the proportion of shareholder equity that you have, proportion of shareholder as an overall proportion of your EV and proportion of group business and single premium business that you'll be carrying.

So some of these factors actually have an interplay. But largely, these are economic variance, transitory in nature and this come back because most of our portfolio is hold to maturity. On your specific question on quarter 4 profits and I think you are describing to the decline that you are seeing. I think the predominant reason there for that decline is, and this is also linked to some bit of operating variance that you are seeing, where there is a negative operating variance, which has come out of some assumption tightening that we have done proactively as part of our regular annual business. So some bit of that negative element has flown in addition to the product mix aspect that you spoke of.

Avinash Singh: So this operating variance would be mostly around expenses or some mortality persistency even sir?

Amrit Singh : So it's from a mortality perspective, some bit of tightening on the group credit portfolio that we have done. And the second element of this is certain lapse and persistency assumptions that have happened across the portfolio. But I'll say it's our long duration tighten that we have done and is a bit proactive at our end to be more conservative about it.

Avinash Singh: Okay. So in the EV also the operating variance will have kind of some positive impact coming from maybe your persistency and all and some negative from mortality variances. Am I right?

Amrit Singh : This assumption tightening is negative on both the sides that I spoke of. But obviously, within the walk, there are variances which are positive and negative, but I mean that's a mix, for example, in operating variance, we'll have some negative in our ULIP books. But overall, it's I think the operating variances, the experience variance is largely flattish.

Moderator: We take the next question from Supratim Datta from Ambit Capital.

Supratim Datta: So I'll just continue from the first participant's question. So on the negative operating variance, could you tell us what led to have the mortality tightening on the group credit life what may you tightened estimate? And typically, how long an experience do you look at it 2 years or 3 years before you tighten the estimates? If you could throw some color on that, that would be one.

Two is, in the last 1.5 years, you have formed several non -Axis Bank partnership. If you could give us some color what is the counter share , be in from Tamilnad bank or non-DCB Bank. And how are you looking at expanding the counter share in these banks? That would be very helpful. Those are my two questions.

Prashant Tripathy: I will take the second question first, and then I will request Amrit to talk about the operating variances. We signed up 5 to 6 banks over the last one year or so. And suffice us to say that of course, we were the third or fourth or fifth player. So it takes a while actually to increase the presence and the counter share, but I wil

I say the counter share varies between 8% or 9% to about 60% in different accounts.

And at my personal level, I track whether our counter share is increasing or not month -on-month. And very happy to share that we have witnessed us consolidating our presence, increasing counter share by every passing month. So I'm very optimistic that as time passes, that will become a potent source of revenue generation for Max Life Insurance.

And our desire to partner with many more banks. This continues. We'll remain very aggressive on each one of them. We are leaving no stone unturned either in terms of deployment of resources or products, and we the accepted aggressive on all the new banks that have been firing. Amrit, for you to the question of operating variance.

Amrit Singh: Actually, firstly, it's a very small number. It's only you will see in a walk, INR57 crore . This is our annual process. We do true -up our assumptions annually. And there is nothing out of the ordinary or unusual that I can call there for. As part of our regular process, the assumptions have been tighten ed

Supratim Datta: Understood. And just one data keeping question. Could you let us know what is the proprietary channel, what is the proportion of agency versus debt side and other outstanding?

Amrit Singh : Actually, on our slide number 22 and 23, you can see we have provided a breakup of offline and online .

Supratim Datta: Offline is entirely agency? Correct?

Amrit Singh : Offline is agency plus our direct selling teams, which are actually work on the customers whose agents have actually left the company where the upsell and cross -sell is done. So in some sense, it's you can call it agency itself. But it includes in our parlance as agency and direct channels. And online is commerce .

Moderator: Next question is from Adarsh from Enam Holdings.

Adarsh: Just wanted to check that there has been some seems that there's a discussion on the surrender regulations again, right? December, we had the draft. We had some clarification in March. So if you could share any feedback in what and I understand it's not yet out, but how would you mitigate this if you see any changes in what was proposed in March?

Prashant Tripathy: Firstly, quite aligned to the regulatory push on creating value for the policyholders or customers. So quite aligned on that view. It's premature for me, but I'm reasonably confident that overall, when the final guidelines come or the guidance s come, it will create win -win for all the constituents. There is a consultative process , which is currently going on, not concluded. So I will request that we just wait for the final guidelines to come out.

Moderator: Next question is from Swarnabha Mukherjee from B&K Securities.

Swarnabha Mukherjee: Congrats on a good set of numbers. So first question is on the margin side. So I mean, on a sequential

basis also, I think the mix has become slightly adverse with higher share of ULIP. I just wanted to understand the expansion that we are seeing in the margin profile. How much should we attribute to some kind of cost absorption given that I think your fixed cost proportion will be lower in the fourth quarter. If you could give some color on that and how much maybe at a product -specific level, margin expansions are happened. So a little bit more detail on how we should read the margin expansion between the quarters?

And secondly, on the structure simplification process, if you could give us some color on the timelines . So a small proportion of stake needs to be acquired by Axis. And then I think there was a process of reverse merger as well. So if you could give us some sense on what timelines should be?

Prashant Tripathy: Overall, I think the margin profile to me, improved quarter -on-quarter, like I mentioned to you every quarter, the margin went up peaking at 28.6%. Definitely, year -on-year margin, you would -- li

ke we

were guiding all along will come lower predominantly because of two reasons: a, the mix on Non Par are going down and the proportion of ULIP going up.

However, typically in quarter 4, our margins are highest because that's the highest sales quarter and we do compute on the basis of actual cost of every quarter. And hence, you will find typically that in quarter one, our margins are lower and they increased by quarter four. I think while the ULIP proportion was going up, the overall pedal on driving protection, driving health, driving annuities remain the focus area. We didn't mention, but we also grow Rider quite aggressively. So overall, these product categories led us optimize our margins as we went long despite higher share of ULIP. And the

objective was to create a good balance between sales growth and margin outcomes.

And I think we successfully did that. So those are reasons. On your question on structures, of course, we are very mindful. We, the Axis transaction to a great extent is consummated, we'll wait for the balance 0.98 % to be done, which hopefully should be done over next few months. And we will initiate the process of the restructuring. My sense is that it will take anywhere between 18 months to 24 months because this involves NCLT process, etcetera. We remain committed, and we will pursue that journey as time progressing.

Swarnabha Mukherjee: Sure, sir, very helpful. Just a follow-up on the margin front. So for the coming year, would your guidance remain at the similar level which you had highlighted earlier? Or should we expect a slightly higher range now?

Page 9 of 18

Prashant Tripathy: The market is very dynamic. So I would refrain myself to give you an exact number generally. We are looking at a sales growth of high teens and the objective will be to grow faster than the market so that we are capturing market share more and more.

And on VNB growth, hence, we will definitely be teens, which will be either at the same level of growth as sales or marginally lower. So that's the target that I'll give. Let me not push myself to give you an exact margin number because things are very dynamic. There are things changing in the regulatory space. There are, of course, product mix related things that we need to manage throughout the year. So let's keep you at that level for the time being.

Moderator: The next question is from Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a good set of numbers. I have one question basically trying to understand that the great agency addition that you have done this year. Now Max has always had the highest agent productivity on the street. So for these agents, which have onboarded this year, as and by the end of FY '24, fair to say that the productivity increase would come through FY '25 or it takes more time than one year, if some clarity on that would be useful?

And also another question is the banca channel this year only grew at 12%. And given that this base, what kind of improvement or that we could expect in FY '25 under no base of banca channel for this year? These are my two questions. Thank you.

Prashant Tripathy: Yes. Of course, when you hire the agents, some of them increase in productivity and hence, our bet on agency remains fairly high. And we're very optimistic about that we're continuing to drive growth in agency going forward. As far as banca channels are concerned, we are going to put the best foot forward, completely enthused about Axis participation in our business, they've increased participation in our Board, and I think the overall collective ownership. So we will work very aggressively on the bank side also with new partners that we've signed up, I think the overall optimism on bank side will be more than how it was in FY '24.

Shreya Shivani: Got it. And is it fair to say for the next year also, your agency and probably prop channel will manage to do better than

banca or will we see better, some growth pickup in banca as well?

Prashant Tripathy: That's intent. If you were to look at our prop channel growth rate on adjusted FY basis over last five years, it is 21%, which is quite remarkable. And we hope that we are able to maintain that kind of growth rate or better.

Moderator: The next question is from Prayesh Jain from Motilal Oswal.

Prayesh Jain: Congrats on a great set of numbers. Just extending the previous question on Axis Bank growth next year. There has been, I think, with the Citi acquisition, there is Tata that has come, Aditya Birla is something that Axis Bank has tied up. So how do you see the wallet share kind of moving to Max Life?

Page 10 of 18

And also given the challenges on Axis Bank wondering having to raise deposits. How do you kind of look at this entire piece of Axis Bank given these contours? Secondly, on the non-par business, what kind of pricing actions we would have taken in possibly Q4 or afterwards? And what is the kind of profitability, product level profitability that would have changed in FY '24 versus currently? Those are my two questions.

Prashant Tripathy: Answering the easier question first, on non-PAR, all our large products stand revised. We have increased the rates because the yield curves have altered. And it just shows our commitment to preserve our margins. So we have increased our rates to ensure that the margin is protected.

As far as the growth from banca channels are concerned, of course, there is a banking ecosystem and the push for increasing deposits, etcetera, is very common in the bank space you would have noticed that not just our bank where we saw 12% growth. But overall, as bank ecosystem, insurance sales was a bit tepid last year. But hopefully, going forward, the push on driving fee income will be equally important, and that gives me optimism that the growth from Axis Bank will be either at the same level or better.

In terms of Citi acquisition, I would like to share with you that we do participate on that counter. And yes, you're right. The bank counter has been open to Tata, which got opened in the month of December. And I think for Aditya Birla, it is going to happen very soon. The participation of these two new players is not on pan-India basis, it is restricted to certain geographies.

The bank stated stands on counter share of Max Life Insurance is between 65% to 70%, and it was

very publicly communicated by the management of Axis Bank. So I think we must look at that corridor and any which ways that's a very healthy mix of counter share that Max Life Insurance should expect. So I remain optimistic despite inclusion of a new player in the month of December, our counter share remained at 70%. And we'll work towards either preserving or keeping the same level or marginally lower at Axis Bank counter, either which way not materially impacting the sales growth for us from Axis Bank.

Moderator: The next question is from Madhukar Ladha from Nuvama Wealth.

Madhukar Ladha: First I think on the economic variance, you mentioned that because interest rates went down, the liabilities got repriced. And as a result, the mark -to-market, even on your bond book sort of fell short to cover that, right? And hence, that's why we have a negative variance also because of the interest rate movement. I was just wondering of here that shouldn't the policyholders' liabilities already be covered by adequate hedges and your shareholders fixed income book should still have resulted in a positive variance. So I mean, that would be my expectation. Maybe you can help me understand this better.

Second, if I look at your shareholder or back book surplus, sorry, that also the growth of there has come off in this year. So last year, we were at about INR1,563 crore . This year, we are at about INR1,627 crore . So why has that happened? And is it also getting impacted by the operating v

ariance

or the tightening of operating assumptions that we've done in this year and maybe even the increased
Page 11 of 18

liability also because of the rate movement. Is that impacting the back book surplus as well? That's the second question.

And other your VNB has a negative mix and margins. Does that include the same reasons, which is like the group credit life portfolio negative variance and the persistency assumption change, right? These things are there the similar reasons which are sort of impacting both the EV walk and the VNB walk? I just wanted to get a clarification on that.

Amrit Singh: Madhukar, I think some of the questions you have answered yourself in your hypothesis itself. I'll take the easy one first, the back book surplus decline. You're right. It is linked with assumption tightening which has kind of had an impact. Also, last year, we in the back book surplus, if you see an unusual growth. So there is a bit of a base effect also, which is in play in that book surplus. On your economic variance. So yes, I mean, you're absolutely right, as the yields have come off, the liabilities have increased which has to be adjusted for.

Now our network as a percentage of EV is , and you're right, I mean, within that shareholder portion of it, this gives a positive variance because those assets are actually free and not covering up to the liability. But that proportion is much smaller than the overall negative that comes on the policyholder side. And that's the reason why I shared that even though there is a positive INR485 crore of positive equity variance, there is an equivalent negative debt variance, which come into play.

Lastly, on VNB. Actually, assumption change there has not had such a material impact because most of these products, when they get priced, we are cognizant of some of these things. And at the time of pricing itself, you make those corrections. And large part of our VNB does go through of many recently priced products during the year. The large part of the variance there is to do with product mix and in certain categories of annuities and protection, there is some bit of margin shrinkage as well. But largely, the answer lies in product mix variance, which has happened in.

Madhukar Ladha: Understood. Just dwelling a little further on the economic variance , so the liability side repricing on the policyholder's sort of liabilities repricing, that should ideally be hedged, right? And that should ideally have been sort of covered by whatever FRAs or part y paid bonds or any other the funds that you've already received towards that. Is it sort of unhedged and maybe you can help me understand that actually?

Ashish Taneja : Yes, from a perspective of the hedge part of your liability, your understanding is correct. It is, of course, immune to since its hedge with immune to the movement in interest rate , but it's also a function of the different product mix, which may be primarily as Amrit rightly pointed out at the beginning of the call that it is mainly to do with the single premium business on group side, annuity side, where you have received the premium and the assets are invested up front.

So depending on that product mix, mix of that business within the portfolio, the movement could be different. So hence is a function of the shape of the curve, how it has changed. It's not a parallel shift. Second, it's a function of various product categories and the mix of assets back in those. Hence, if you look at the overall impact, it does so for the hedge part of the business you're right , the impact is more or less immune to movement and interest rate .

Page 12 of 18

Madhukar Ladha: Understood. And one final question. What would be the positive economic variance of the shareholder fixed income book?

Amrit Singh : Maybe I can get to provide that you separately. I don't have that number at this point in time, but I can provide that separate

ly.

Moderator: The next question is from Nischint Chawathe from Kotak Institutional Equities.

Nischint Chawathe: I have two questions. One was on the group protect side; will you slow down consciously this quarter?

Amrit Singh : Group Credit Life has done very well for us, actually. We've been growing that quite significantly. We have grown around 59% for the full year. Is the question on group term life?

Nischint Chawathe: The overall group protection this particularly.

Prashant Tripathy: Yes. So we can break group in two parts. The group credit life where we have seen very good growth. We have 59% year -on-year, which is significantly higher than the industry. And we are trying to build that book. Group term life in which way is a very tactical play for us. So we're not huge players and neither do we intend to become very huge. We saw a good growth of 25% on a year -on-year basis, but quarter four slowed down a bit for us, which is okay. I think the competition in that space is very severe, and we don't write on some business at on deals which we don't believe will generate enough outcome for us.

Nischint Chawathe: You said that 59% growth is for the year or for the quarter?

Prashant Tripathy: 59% growth was for the year, for group credit life and we have the numbers for quarter four, I think even quarter four number is upward of 150% growth for the quarter for in group credit life.

Nischint Chawathe: And then if you can just give the share the absolute number of group credit business that you have done for the year?

Amrit Singh : Actually, that also has been provided on the slide if you go to slide in the investor deck. Yes, it's on Page 13. This is mix ed for you; you want the group credit life separately.

Prashant Tripathy: Nischint allow us to send it to you separately, if that is okay with you.

Nischint Chawathe: Perfect. Just one or two more questions on the online operating side, if you could just sort of help us recollect what all does this include?

Prashant Tripathy: Okay, I think it does include all the aggregators business as well as business that comes on our website.

Nischint Chawathe: Got it. And then what is the right to win in this business? I mean if you're growing at 80% in this business, how do we think about this g rowth continuing going forward a nd what is the right to win over?

Page 13 of 18

Prashant Tripathy: I think it's a very dynamic area a nd the only thing that should give you confidence of ability to constantly execute. If you were to look at our growth over the last 5 years, the growth rate has remained similar.

We must be growing at the rate of 50% for the last 4 years, 5 years until this business has grown 6 x, 7x over the last 5 years maybe more. So I think the right to win is a very dynamic approach to the market in of course, if you were to break it into two parts, mostly looking at protection where we have been market leaders. It's a combination of the claims experience, your ability to underwrite faster, looking at newer cohort innovation as well as appropriate pricing.

Those are things for the right to win. If you were to look at savings market, of course, savings market is again very dynamic and your ability to constantly innovate come up with offerings which are attractive to the customers and leveraging every possible opportunity, including ULIP is the right to win.

So really, it's a core ability on innovation, on agility, on creating great journey for the customers as well as product designs which appear attractive. Those are things that I will say are key competencies.

Nischint Chawathe: And if your growth in other bancassurance partnerships which, again, have you fair competition with other insurers and the online proprietary is sort of faster than the company growth, then you would probably kind of constantly have this pressure of higher payouts b ecause these channels will typically be

higher payouts and probably on the lower margin than the rest of the -- than the other two channels?

Prashant Tripathy: You mean the online channels?

Nischint Chawathe: Yes. So I mean both online proprietary as well as other bancassurance partnerships. Now both are channels in which you are kind of compet ing with other insurers head on?

Prashant Tripathy: Of course, you're competing by the end of the day what plays a big role is what kind of product mix are you able to maintain? Which are the areas where you're winning a nd with the combination of protection as well as savings collectively I think you stand a fair chance of making reasonable profits for the company and which is a strategy that we follow.

So if one were to choose to write only s avings and that too in ULIP, et c which is hugely attractive to the customer, maybe the margin profile will go down. So at the end of the day the answer lies in balancing the product mix.

Nischint Chawathe: No. So the point I'm trying to make is that these two channels are growing at a faster pace than Axis Bank and the agency or off -line pr oprietary as we call it. And typically, the margins in these two channels w ould be lower than the Axis bank and off -line proprietary. So in that sense, faster growth in these channels would probably directionall y put more pressure on margins?

Prashant Tripathy: Yes. But of course, there are multiple other ways to do that by , I mean, real ly, maybe at a channel level at, for example, cost of acquisition level maybe you're right, b ut at the end of the day, you're

Page 14 of 18

adding so many customers to your franchise which potentially you could cross -sell at some point of

time and look at maybe lifetime value of some of these customers.

So at this point of time, I will say we're not so fussy about channel level margins and rather we need to grow a channel or not. I think what we're trying to do is figuring out ways to preserve our margins, for example, add more GCL to our books, looking at growing our agency constantly working on mix on other channels, etc and that's the strategy that we will follow. Increasing riders, more attachments of riders to our protection, those are things that we are trying.

Amrit Singh: Just because you asked that question and add that number now, group credit life was around INR 1,122 crore. This is a single premium. Group term life was around INR 301 crore for the year.

Nischint Chawathe: INR 301 crore for the year. Okay. Then that is up 59% year-over-year. That's what.

Moderator: Thank you. Next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sorry for harping on this economic variance number. I mean if you look at the other insurance companies, we typically reported 4 to 5 percentage positive economic variance number in the current year. But our number is negative. I'm still not able to understand why this number is negative. Is it largely because you're getting more annuity in the current year and ALM mismatch cropped up in the business because of the annuity business.

And therefore, the negative operating variance has come because it's still very difficult to comprehend that it's a negative number. Given for others, it is 3.5% to 5% positive in economic variance and you're operating the same macro. So that's point number one. The second question is that your individual protection growth is very solid in the fourth quarter. Now obviously, if I look at it from the full year point of view you are even bigger than IPru and HDFC Life in an absolute rupees crore in premium number. Your market leader if I take it as a pure term. Just wanted to understand this business growth is largely driven because you have some change in your reinsurance treaties or your ability to underwrite has become more smoother than what it was in the past.

What is leading to that growth? Because your growth seems to be

very high. I mean if you can give a

little color there, it will be useful. And lastly, on the online business which has done very well. If you

-- I mean you indicated the point, but if you can break down that growth into your own website and may be third-party channel like PB or any aggregator in that sense?

Amrit Singh: Firstly, you're asking a question on non-operating variance comparison with the competition. I can only hypothesize.

Sanketh Godha: I'm saying economic variance.

Amrit Singh: EV has elements of many, many layering there. And I can only, and I said this before in the call also, I think no 2 EVs are comparable in that particular manner. You'll have to look at percentage of unit-linked business in some of these players and further within unit-linked business what is the percentage

Page 15 of 18

of equity for one player versus another because that has a bearing on the positive effects of equity coming through.

You should also look at percentage of shareholder net worth as a proportion of embedded value because on the shareholder side, any of these variances will be a positive variance and further again there are also components of equity becomes important.

And lastly, then you have to look at the nature of the EVs others have with respect to quantum of single premium that they are writing because single premium immediately lock in. You get that realization as positive because of the changes that have come through.

So I just say that these are actually computed the way we compute and the economic variance is the predominant reason and these are transitory in nature. And I'll kind of stop at that. I will not be able to give you a specific answer that why another player is higher and why we are low because I don't have insights into it.

Sanketh Godha: Amrit just a small thing in annuity are we largely deferred annuity, and that's why that's why we are not getting the benefit of what others would have got to some extent?

Amrit Singh: Sanketh, we just started writing annuity business in this particular year. EV comprises of multiyears of business that got written with even if that is higher, it won't have that kind of an impact.

Sanketh Godha: Amrit, why I'm asking, again, sorry to harp on that point. And then that your economic variance number in the past broadly was in sync with the other players. This year is completely off. So I'm still finding it very difficult to comprehend. That's the only reason I am asking it?

Amrit Singh: At this point in time, I've already explained.

Sanketh Godha: On protection business and the online you can explain it will be okay?

Amrit Singh: Yes. So I think protection, as we have been calling it out that among two segments of choices that we want to grow, protection, health and annuity are large opportunities available in India to continuously keep penetrating better into. In line with that strategy and also the fact that last few years were a bit slow from a protection business perspective, just some of that has kind of come into play, and we have seen the growth of protection business happening for us.

Obviously, it is supported by some bit of easing that has been happening over the last entire I'd say ever since COVID got over with respect to underwriting ease is coming into picture, as more and more confidence gets built into the kind of life being onboarded, the kind of underwriting happening and the kind of mortality experiences that are evident in the books.

Those have helped provide the necessary support to protection growth as well. And we continue to be

very positive about individual protection business and we will continue to remain ing focused on doing this faster than other category growth rate.

Page 16 of 18

Sanketh Godha: At product level, we are maintaining the same margin or at the expense of growth we are okay to compromise a bit margin in protection, I mean t

o say.

Amrit Singh: I mean, at the end of the day, VNB growth in what you're trying to optimize for. And even in protection there are in stances, but it's not like a sharp decline. It has to do with certain segments of choice that you try to win in, whether yo u're operating greater than INR 2 crore sum assured market or any other some of those markets.

But if you as k me a very pointed question did we see some shrinkage? S ome shrinkage we have seen. I won't call it a very significant shrinkage in the margins.

Sanketh Godha: Perfect. And on the online business that's 79% growth, it should be...

Amrit Singh: Yes. So , online business actually as we do significant portion through our own assets for maxlifeinsurance.com. And there we have , there is continuous buys on driving higher -margin product forms like protection and health kind of businesses.

And on aggregator business which has an element of variability. We are actually open experimenting with both savings and protection market as well. And a reasonable part of the growth momentum in this particular year has also come out of our now strong presence in the savings market. Historically, you are aware that we have been a strong player in the e -commerce protection side where we have held on to 1st position for many years which has maintained in this particular year itself.

But the year saw us entering into the savings market quite significantly where we were around 10%, 12% market share. Last year, we moved to almost 22%, 23% kind of market share in the online space in the savings market as well. And some of this happened on the back of a fair bit of constant innovation on products and also the launches of various funds that we did during the year.

So, which is what you will see then , I mean given the answer web aggregators has grown much faster than owned channels, but largely because of the category that they entered into which category was not in our base in last year's perspective.

Sanketh Godha: Perfect. Got it Amrit. Thanks for your answer.

Moderator: Thank you. next question is from Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: I have two follow -up questions. One is on the product innovation side. This year, we have seen strong product innovation happen on pr otection or the health category. G oing forward over the next one year which of the categories do you think that the re is opportunity to introduce new products or plug gaps that could be one.

And then the second question is on the regulatory environment. We have seen multiple regulatory changes happened over the last 1.5 years. If you could talk about how do you see the regulatory environment playing out over the next 1 to 2 years that would be very helpful?

Page 17 of 18

Prashant Tripathy: So innovation opportunity exists. I mean at the end of the day the categories are quite well designed. We have the par designs, the non -par designs, annuity, protection designs etc, b ut within that there's always an innovation possibility either on features or stories or cash flows and those are things that we continuously do.

So of course, there are possibilities, for example, last year there were several things that we did, and one of them was our product SE WA which has done very well. And the reason for our growth in the protection & health segment.

So of course, there is a pipeline of products. And in our organization rather than telling you where all it will come from, I would like to spend time on in telling you how we approach innovation. So generally, there is a team dedicated to innovation. There are panels which are created with customers, the research team, the distributor, distribution partners and constant engagement takes place.

We are continuously in dialogue with our partners who have better visibility in their customer segments. We are continuously looking at new segments where w e could go to

. S o if you ask me

some of that we will yield outcome and we'll keep us on the journey of innovation. Of course, there's a calendar looking at several areas. We are looking at innovation in the area of protection.

We are looking at innovation in the area of non -par and some of that will come through as we go along. On your second question with respect to regulated landscape, I think overall, I would say the regulatory regime under our respected Chairman, Mr. Panda is perhaps the most favourable I've seen in many years with an exception to some of these ongoing discussions which are taking place that too, I'm very hopeful that it will create a win -win for the industry.

I think the steps that the regulator is taking me for long -term growth of the industry. If you were to go through the flexibilities that got created, be it around product or distribution or governance or principal based movement, simplification of compliance, capital , listing, everything that you see is quite favourable . So with that post your regulatory posture, I'm very optimistic that as we go along, we will have a supporting environment.

Supratim Datta: Got it. Thanks a lot.

Moderator: Thank you. We have one last question. We take the last question from the line of Bhuvnesh Garg from Magma Ventures. Please go ahead.

Bhuvnesh Garg: Thank you for the opportunity. Two questions. Firstly, on the EV side of it. So in the case of economic variance, so how should we look at it going forward? For example, if a similar scenario plays out in next -- in some years in the future. Would our EV economic variance would play out in a similar way or are we going to change our strategy on this? Yes, that's point first.

Amrit Singh: So there is no strategy on economic variance which is generally, hold to maturity and that's why these are called nonoperating variances. And as the market moves they will move up and down. And there won't be any inconsistencies in the way it is completed and reported out. So if there is a change, and

Page 18 of 18

there are many elements of it, the curve etc it will find its way reversing back itself in non-operating variance as well.

Bhuvnesh Garg: And second question is on commissions. Now we have -- Axis Bank has infused capital in the company. So do you see any possibility of change in commission structure with Axis Bank? Any thoughts on that?

Prashant Tripathy: I think commission structures will remain how they have been and we expect a stable environment with respect to commissions with Axis Bank.

Bhuvnesh Garg: Got it. Thank you sir. Thank you and all the best.

Prashant Tripathy: Thank you.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Amrit Singh : Thanks a lot. Thank you ladies and gentlemen for being on our call and we look forward to more such instructions. Good night to everyone.

Disclaimer: Please note that this transcript has been slightly edited for the purpose of better reader experience.

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Oct 2024

October 28, 2024

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on October 23, 2024 , post declaration of Un -audited Financial Results of the Company for the quarter and half year ended September 30, 2024 , is enclosed.

The same has also been uploaded on website of the Company at

https://maxfinancialservices.com/static/uploads/financials/mfsl -earnings -call-transcript_final_q2fy25.pdf

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 15

Max Financial Services Limited
Q2 and H1 FY '25 Earnings Conference Call Transcript
October 23 , 2024

Moderator : Ladies and gentlemen , good day and welcome to the Max Financial Services Limited Q2 and H1 FY'25 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Amrit Singh – Chief Financial Officer, Max Financial Services Limited and Max Life Insurance Company Limited. Thank you , and over to you, sir.

Amrit Singh: Thank you, Rayo. Good morning to everyone and once again I welcome you to the Max Financial Services Earning Call for the quarter ended September 2024 .

We made our Results available on our website as well as Stock Exchanges last evening and as always , I am today join ed by Prashant Tripathy – Managing Director and CEO of Max Life Insurance .

I request him to share "Key Developments and Insights " from this Quarter .

Prashant Tripathy: Good morning , everyone , and warm welcome to Max Financial Services Earning Call. I am very excited , just to begin with , to share with you that we have now solid plans to refresh our corporate name and brand identity.

With Axis Bank on board as a co -promoter, Max Life Management proposed the inclusion of Axis as a part of its corporate name and brand identity . And I am so

thankful to the Axis Bank Management Board as well as Max that we now have permission to use Axis name from their perspective on our brand identity. With Axis Bank coming as a co-promoter way back in 2021, igniting a powerful synergy, the time was right for us to consider having Axis name in our brand also . Our goal is to create an even more powerful and influential brand that continues to inspire 'Bharosa' for our customers, employees, investors and other stakeholders. This strategic decision was backed by in-depth research with all our stakeholders by an external consultant. The key findings of studies show a strong association with Axis Bank beyond urban and tier 1 and Max plus Axis joint branding being a preferred thing .

Page 2 of 15

Combining the two brands would result into stronger brand association, increased likability , and ease of remembering and preferred buying consideration and it will also very solidly and overtly exhibit to all the stakeholders the association as well as ownership of Max Life Insurance by Axis Bank . The brand refresh has been approved by all the boards, Max Life, Max Financial and Axis Bank. And the new corporate name and brand identity will be announced in due course subject to corporate and regulatory approvals. I am very optimistic that we will do that over the next quarter . Now moving on to key development in Quarter 2 across all the strategic areas and I will pick them up one by one.

Predictable & Sustainable Growth

In the second quarter of FY '25, our individual adjusted first year premium exhibited a very strong growth of 34% outperforming both the private sector and overall industry growth rates of 24 % and 21% respectively. It is noteworthy that this growth , even on a two-year CAGR term , is also healthy 25% compared to overall industry growth of only 14% .

Total APE in Quarter 2 expanded by 31% , led to a significant over 20% increase in the number of policies issued. Therefore , so far in the first half of the year , our sales , which is APE and adjusted FYP have grown by an impressive 31% backed by secular growth from both proprietary and partnership channels .

Our continued investment in prop channels led to a sustained momentum in their growth , achieving year -on-year 45% growth in Quarter 2 FY '25 and 51% in H1 FY '25. It is noteworthy that our strong focus and execution capabilities have resulted in prop channels growing at two-year CAGR of around 46% in H1 FY '25 .

Offline prop channels saw a remarkable 39% growth driven by enhanced frontline sales productivity and the expansion of our top performing agent pool. Our online channels continue to lead the market , holding the top position across digital platforms in both protection and savings segments. These channels grew by over 59% in Quarter 2 FY '25 fueled by robust demand of our new fund offer aimed at the online savings segment .

Further , in our ongoing efforts to broaden distribution , we have successfully onboarded 20 new partners during Quarter 2 FY '25 including two banks , Indian Post Payment Bank is one of them, 10 GCL partners, 5 online and offline brokers and 3 corporate agents . While these partners become sizable in the medium term, our existing partnership channels delivered a strong performance in Quarter 2 as well , posting 22% growth and 17% in H1 FY '25 .

Additionally, despite a competitive and slow dis bursal market, our group credit life business expanded by 34% in H1 FY '25 , showcasing our ability to scale up in highly competitive markets despite being late entrants .

In short, we are committed to maintaining a similar momentum of growth throughout the year, surpassing industry growth by a significant margin .

Product Innovation to Drive Margins:

Talking about products, which have been a big discussion item also in view of the regulatory changes , which became effective from 1st October, our dedication to product innovation remains steadfast. Max Life continues to lead the market in

Page 3 of 15

launching attractive products that align with customer needs while delivering healthy returns to our shareholders .

With the same objective in Quarter 2 , we introduced a Nifty 500 Momentum Fund predominantly for e-commerce customers, a move to leverage opportunities in the current equity market. This led to 74% growth in the ULIP segment at company level, with the ULIP share in our product mix increasing from 35% total APE last year to 47% in Quarter 2 FY '25 .

Protection, a long -term focus area for us, saw 49% growth in retail protection in Quarter 2 , driven by the success of our unique SEWA Health proposition and strategic emp

hasis on riders. We achieved the highest ever Rider Attachment Ratio of 45% in H1 FY '25 versus 31% in H1 FY '24, with Rider APE growing by over 280%. With this protection and health penetration in our individual APE, we reached 11% in Quarter 2 FY '25 versus 10% the previous year.

Further, in retirement, we recently launched our latest version of IRIS study, which reveals that most urban Indians recognize the importance of early retirement plans. The retirement preparedness index for urban India increased from 47 points in IRIS 3.0 to 49 points in IRIS 4.0, supported by greater awareness and proactive financial planning. Therefore, the retirement segment remains a strategic priority for us, and we are well positioned to capitalize on this opportunity through our annuity proposition .

While Quarter 2 annuity sales saw a moderate growth of 5% due to competitive pricing actions, we expect them to ease in the coming quarters, paving the way for renewed growth from this segment .

All our efforts in distribution expansion along with product innovation resulted in a significant increase of 23% in our VNB for Q2 with an NBM of 23.6%. And with that, our first half VNB growth is now 16%. This is an increase on quarter -on-quarter 6.1%, which comes from the benefit of our operating leverage and strong growth in rider attachment. You will find the outcomes to be consistent with the commentary that we have shared with you at the end of quarter 1, where there were a lot of questions around our NBMs .

Surrender regulations update is something that you must be waiting for. As you are aware, new surrender regulations became effective from 1st October, and it wanted all our products to be fully compliant. I am happy to share that we have successfully relaunched 98% of these products for sale .

Further, we are in the process of mitigating the impact on margins by adjusting distribution compensation , customer benefits, as well as taking actions on specific discretionary area of expenses. As guided earlier, we anticipate a net margin impact on a run rate basis, full year run rate basis of between 100 and 200 basis points. Majority of it, I believe, will be mitigated in the medium term, medium term defined as over the next few quarters .

Customer Obsession Across the Value Chain:

At Max Life, customer obsession is integral to everything we do. The dedication to delivering unparalleled value and trust has been recognized, with Max Life being named as one of the Best Organizations for Customer Experience 2024 by ET Now . We also achieved a five-point increase in our company -wide net promoter score, rising from 56 in March '24 to 61 in September '24, with both touch point and

relationship NPS showing similar gains. We maintain our leadership in 13th month persistency for number of policies, with our regular and limited premium for extensive reaching its highest ever level at 87% up 309 basis points, while our 61st month persistency stood at 58 for the period ending September 2024 .

Digitization for efficiency and intelligence:

The fourth strategic lever, which is digitization for efficiency and intelligence, our ongoing digitization initiatives continue to enhance operational efficiency across the business, delivering both cost savings and improved customer satisfaction. Max Life's efforts were recognized with the Digital Transformation Award at the 19th SKOCH Summit for our OCI Cloud journey, as well as the Best DevSecOps Team Award by Quant i c.

Our Quarter 2 technology interventions include the launch of the mPitch Pro app, designed to help agent advisors simplify the pitch to prospects, and the SARAL tool, which streamlines onboarding of customers and distributors .

Our new claim system called TEJAS , now operational for almost all products , offers real-time claim validation, further building customer tru

st. We also launched a generative AI -based co -pilot for our 4,000 frontline sales personnel and supervisors in Quarter 2 to assist with real -time sales query and objection handling .

In summary, our Quarter 2 Results underscore our ability to scale propriety channels, grow partnerships, and achieve profitable outcomes. As we move forward, leveraging the strengths of both Max and Axis brands, we remain committed to delivering sustainable long -term value for our customers, shareholders, partners, and employees .

I am going to hand it over to Amrit now, who will provide an update on our financial performance. Back to you, Amrit .

Amrit Singh: Thank you, Prashant . Some update on key "Financial Metrics " incrementally.

■ MFSL consolidated revenue excluding investment income now stand s at Rs. 12,820 crore , a growth of 14 % in the first half .

- The consolidated profit after tax for MFSL stands at Rs. 295 crore .
- Max life renewal premium grew by 12 % to Rs. 8,046 crore , and hence consequently, the gross premium has grown by 14% to Rs. 13,137 crore .
- The value of new business over the first half is at Rs. 766 crore versus Rs. 663 crore the previous year, a growth of 16 %. The NBM for first half now has improved to 21.2 %.
- Embedded value end of September 2024 is Rs. 23,338 crore . This includes the capital infusion which was done by Axis in the first quarter of Rs. 1,612 crore .
- The annualized total return on EV, first half FY '25 , excluding the capital infusion of Rs. 1,612 crore is 24.2 %, and the annualized operating RoEV stands at 16.8 %.
- In the annualized operating RoEV, there has been a positive operating variance of Rs. 9 crore . And on overall embedded value, there is a non - operating variance of Rs. 660 crore .
- Policyholder OPEX to GWP stands at 16.5 %, and total cost to GWP is at 25.6 %. Policyholder OPEX has grown by 22% in line with business growth .

Page 5 of 15

- Max Life first half FY '25 profit stands at 267 crore , the growth of 3 %.
- Solvency position is at 198 % end of September 2024.

- The overall assets under management end of September '24 is Rs. 1.7 lakh crore, a growth of 27%.

We will now be happy to take any questions that you may have, and I will hand over to moderator to open the floor for questions .

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Shreya Shivani from CLSA. Please go ahead .

Shreya Shivani: Sir, just wanted to check on two things. First is on the surrender value regulation. We have heard your peers speak about that they are using a different combination of claw-back or progressive commissions and that's how the structures are currently under discussion with distributors. Where are you guys on this conversation? Are the deals sealed? Most of your peers have said that the industry will take another quarter for this entire dynamic to settle down. So, some commentary around that would be useful .

And second, sir, on this Axis, use of Axis Bank in the name, Axis in the name, what sort of regulatory approvals are required here? We are saying it can come through in the next quarter. Will RBI be included in approving this? Some color around that would be useful .

Prashant Tripathy: Thanks , Shreya. I will take both the questions. On surrender income, my commentary is consistent with what the industry peers are saying. We have had a detailed conversation with a large set of partners already and their proposals which are a combination of all the things that you mentioned. I am very optimistic that from our perspective we will be able to close it in less than one quarter. With smaller distribution partners, we are engaging in that discussion right now. And we are really optimistic that all that will get settled over the next few weeks .

As far as the approval of branding is concerned,

as you know, we need to go to ROC, followed by an approval from IRDAI for the name change. Those are two approvals which are required. We don't require any approval from RBI. So, hopefully , the turnaround time to do that will be close to 45 days. And I am very optimistic that hence within next quarter we will be able to launch our brand .

Moderator: The next question is from Swarnabh Mukherjee from B &K Securities. Please go ahead .

Swarnabh Mukherjee: So, first, I wanted to understand regarding the margin front. So, if I were to look at Q2 vis -a-vis Q1, this is around 600 basis points improvement that has come through. Just wanted some quantification from your side that how much of this would have come from operating leverage and how much would have come from the product mix.

Because at least at macro level, it looks like that product mix have, you know, impact might be relatively smaller, but if you could give more color on that. And also, whether you like a couple of your peers had commented that the yield curve impact were absorbed in terms of the non -PAR products .

So, have you done the same as well? And whether that is part of this number, how much in basis points terms maybe had impacted the margin ? That would give us some color on what could be going ahead. And also if your guidance changes

because of that, because this margin came out strong in this quarter, whether there would be any change in the guidance ?

Secondly, sir, in terms I wanted some color on the break up that you generally provide on the sub segments in your proprietary channel, what has been the mix of the direct channel, the e-commerce and the agencies in your prop channel this quarter and the prior year same quarter. So, that would be helpful. And how the commission structures are panning out in the e-commerce channel, because I think for 1H you have mentioned that there has been more than 100% growth in this channel. So, I just wanted to understand that .

Just one last one on the structure simplification process risk if you can highlight .

Prashant Tripathy: Let me make an attempt to answer some of the questions and I will lean on Amrit to share with you the numbers. I think, with respect to the advantage or margin increase, you may recall that we mention every time that when we come up with our margin numbers, we take expenses on actuals. And hence, if you were to look at last many years, our quarter 1 margins are smallest and every passing quarter the margin builds up. And this quarter was no different .

If you remember, we had a 17.5% margin in quarter 1. If you look at our VNB in the first quarter, our VNB was close to 250 crore , now it is more than doubled. So, we do significant more sales in Quarter 2 compared to quarter 1. And hence, there will be a big advantage of leverage , first part. And I don't know if Amrit has those numbers handy . I will give it to him in a second.

And the other one is a commentary that I mentioned to you. We have attached significant more riders this quarter to drive our margins up. So, hence, if you look at our product mix, our product mix is more or less similar. We have written similar amounts of ULIP also. But because of higher leverage as well as attachment of riders, we were able to drive more profit. So, riders we generally call as a part of our protection and health proposition. And you will notice that protection and health proposition has significantly increased in the first half. So, that is the big reason why it has happened. But I am going to hand it over to Amrit to give more color as well as talk about responses to other questions .

Amrit Singh: Thanks , Prashant. Swarnabh , so from quarter 1 to Quarter 2 walk, the 600-basis point improvement that you see, 500 basis point of that comes out of operating leverage and also strong volume

growth that we have continued experience in the quarter. And around 100 basis point is a mix of the riders which we have been successfully able to actually attach across our product forms .

And the second question that you actually asked was on the yield curve impact.

Look, the yield curve impact is a regular course of business. There is a yield curve movement which will happen, and we will respond to those yield curve movements. We have done some bit of it during this first half. The non-PAR pricing has been adjusted at various points in time, though the movement in the last month has been a bit sharper. But keeping an overall view of competitive intensity and competitive actions, we will also continue to take those calls with respect to adjusting our non-PAR rates for the customers as well .

I think you asked a question on the contribution coming out of our different channels. The agency has at an overall level contributed around 21 %, 22% last year. It has a similar level this year as well. The CA T channel also contributed around 9% last year. It is at similar levels this year as well. And the e-commerce contribution is actually up from 9%. It has moved to 15%. So, there is the e-commerce growth which you

can see of over 105% in the first half is causing to an improvement of share of the e-commerce business. Any additional?

Swarnabh Mukherjee: Yes, a couple of things. One was whether there is any change in the margin guidance that you had given because of the better margin profile that came through this time and maybe the rider attachments are growing. So, they would like to change that. And the second is on the structure simplification process, if there is any progress , if you want to share .

Amrit Singh: So, I think on guidance , we will stick to whatever we had been saying at the start of the year. You will appreciate that it's not a normal period that we are entering into from a regulatory disruption that has come in play and it will require this quarter 3 some bit of stabilization to happen. But keeping the overall guidance in view that we do aspire for double-digit VNB growth and a strong APE growth and VNB margins would be an outcome of some of those things. So, we will kind of continue holding to those particular guidance .

Prashant Tripathy: On the structure simplification , we don't have any updates beyond whatever we have

shared so far. We are working and we are observing .

Swarnabh Mukherjee: Do you have any timelines in mind for that?

Prashant Tripathy: I think the moment we have visibility to timelines , we will come back to you. It is going to be a time-consuming process , and I think we will make an attempt to do that over the next few quarters is the way I will put it .

Moderator: The next question is from Supratim Datta from Ambit. Please go ahead .

Supratim Datta: So, my first question is on the growth side . ULIP has been growing very strongly and this has not been the case only for you but across the sector, ULIP has been growing very strongly. Just wanted to understand what in your experience suggests that when the market slows down or when things start to stabilize, how easy is it to switch from ULIP to other products and what could be some of the levers that you could use to shift the growth from one product to the other, if you could give some color on that and what your past experience suggests, particularly given we could enter a period where you could see rate cuts as well ? If you could give some color on how life insurance products during rate cut period plays out , that would be very helpful . And the next question is on the EV walk. So, there seems to be a positive operating variance that you have been holding for this half. Just wanted to understand that what has resulted in this positive operating variance ? If you could give some color

on that , that would be helpful .

Prashant Tripathy: So, I will take that. I think growth from U LIP definitely is a phenomenon and this is not happening for the first time . In the past also , there is a strong correlation on ULIP growth with respect to market uptake and over the last few quarters we have seen the share market perform well and hence U LIP picks up.

In past, we have witnessed that life insurance industry has been able to maneuver the change quite well and so have we. There have been many quarters where... where our growth or our ULIP mix will go up to between 40 % to 45 %, it will fall between 35 % to 40 %, but we have more or less maintained that trajectory. I don't expect a big impact on account of ULIP transition . If at all , it will be very marginal .

Page 8 of 15

In terms of EV walk and operating variance, positive variance, operating variance , which is a minor number , is because of some of the upsides that we have seen from our mortality experience .

Supratim Datta: And just one clarification . So, on the name change or rebranding, would it be a joint name that you are proposing like Axis Max or Max A xis, or how would that be? If you could give some color.

Prashant Tripathy: I think your expectation is correct . I can't tell you whether it will be Axis Max , Max Axis, but yes, it is going to be a combination of both the names .

Moderator: The next question is from Pra yesh Jain from Motilal Oswal . Please go ahead .

Prayesh Jain: Sir, firstly, just extending the point on the rebranding, which channels do you, in the survey or the feedback that you would have received from the third party, which channels would you expect to benefit the most out of this? And we have already kind of been delivering very strong growth on APE front . So, on this base also from a , say, two to three -year perspective, what would be your growth aspirations considering the rebranding?

Prashant Tripathy: Thank you very much . That's a very good question you asked , and it is something very, very strategic. From our point of view, of course, Max Life Insurance is a prominent brand . Within life insurance space, we are seen as experts in life insurance, and we have had an incredible journey so far .

However , Axis is a larger financial services conglomerate, and it has presence in many, many more cities, tier 2, tier 3, smaller part of India where perhaps Max Life brand is not as strong. And hence, we kick started , and this is not really something which was guidance from shareholders . Actually , management team picked up this exercise to look at any opportunities that may arise by having the strength of Axis Bank associated with Max Life Insurance and we actually talked to almost everybody .

As you know, we are expanding in smaller cities . We opened 100 branches over the last one year . We talk to agent advisors . We talk to current customers . We talk to prospective customers . We talk to employees of Axis Bank , sellers of Axis Bank , seller for other banks. And I think across all cohorts, we found that the strength of both brands coming together was more prominent than Max Life on its own .

So, hence, the management team made a request to our Axis set of shareholders along with Max's shareholders to allow us to use a brand which kind of carries the strength of both the brands together. And I am very happy and lucky that it's been allowed . So, we will take that on board .

It also, in a way, answers some of the questions that investors and analysts have over and over again come and ask us about seriousness , the ownership of the

agenda of Max Life Insurance growth by Axis Bank .

I would like to unequivocally communicate that it is reflective, the ownership of the agenda, the growth of Max Life's agenda by Axis Bank is quite vested in the decision that Axis Bank has chosen to lend its name brand to Max Life Insurance . It goes to that extent .

nsurance . It goes to that extent .

that extent .

Page 9 of 15

So, it serves to the purpose of really reflecting and demonstrating to the entire world that both the companies are going to work together, and we have very deep interest in building life insurance business in India .

I think the advantage, a distinct advantage that we are going to get is also with sellers of Axis Bank where we have an open architecture situation. And I think having a common brand or having Axis brand attached to Max Life Insurance will definitely give some bit of distinctive advantage to Max Life Insurance in the minds of the sellers .

We already are in the counter -share range of 65 % to 70% and we have maintained that. Over and over again , there have been questions around it . We have maintained it. So, honestly, from all counts, I think this was a very positive decision that I was personally passionate about and I am happy that they're moving in that direction . Our growth has been strong . Your observation is right . We are doing very well , and I think with these changes or with the strategic decisions that we are doing, one will make an attempt to grow even faster. We have deep aspirations to be among the top three players and I think we will continue to pursue that journey with strength and with determination .

Prayesh Jain: Thank s for that elaborate answer. And secondly, from a VNB margin perspective in the second half, how do you see this panning out given that the surrender charges would kind of come in and probably you will have a rebranding cost that would come into your numbers , and also the commission structures are still being discussed and not yet finalized ? So, do we see the margins kind of coming up in Q3 and then kind of possibly a more normalized number in Q4 ? How do we see the margin kind of panning out? And from a, say, again, from a two to three -year perspective, do we see that the VNB CAGR would be similar to the A PE CAGR or how should we kind of look at from a two to three -year perspective?

Prashant Tripathy: Yes, I think margin is something which is quite dear to us. And on all the discussions that we do internally, margin finds a very important place. However, over the last two or three years, you would have seen that we are trying to balance market share growth with margin. One would be very happy if we are near about 24 %, 25% margin , yet being able to maintain the growth trajectory on APE the way we are doing . Last year, the margin was 26.5. The year began without any surrender impact. We had given guidance of being between 25 to 26, that kind of number, close to about 25%. The surrender guidelines have come, and we have spoken about 100 -200 basis point impact. So, really, I think our margin should be in the range of 23 to 24 for the full year basis .

I am being bold in giving some kind of guidance in a very fluid environment. So, with one quarter here or there, I think on a run rate basis, we should try and make or try and come close between 23 %, 24% for the year. That will be our attempt. And over a medium -term basis, when I say medium term, over three to four quarters, we should try to cover up this delta which has come. And as demonstrated in this quarter, we have several initiatives which are running to optimize for margin. So , we will continue to do that.

I think the cost of rebranding; I would count it out because that's honestly going to be a one -off cost. And hence, you know, one should look at margins independent of that. But you are right. The next two quarters will be in that sense, especially this quarter is going to be dynamic because of how surrender income regulations are settling. But one would definitely make an impact in a very genuine effort to hold the margin at the levels where we are or improve further .

Page 10 of 15

Prayesh Jain: Now, this last question. How has the fir

st 22 days of October been under the new

regulations with respect to growth or with respect to product mix, any difference from what you would have seen in the first half?

Prashant Tripathy: Honestly, I think that's something which I will be running afoul talking about the growth rate. Let the I RDAI numbers come at the end of the month. I think it requires your patience. I don't have any reasons to worry .

Moderator: We take the next question from Sukant Garg from Equ ible Research. Please go

ahead .

Sukant Garg: Just a little bit old school questions here. What would be the bind rate currently in the policy Max Life Insurance ?

Prashant Tripathy: Can you repeat your question?

Sukant Garg: What would be the bind rate, the policy conversion rate against the quotes that's been generated?

Prashant Tripathy: We have the conversion rates, Amrit .

Amrit Singh: It's generally 10% conversion rates is what we observe .

Prashant Tripathy: And it varies by channels also .

Amrit Singh: And it does vary depending upon channel , bank conversion rates are slightly higher. E-commerce conversion rates are more tougher , and agency conversion rates and direct link conversion rates are between 8 % to 10% .

Sukant Garg: So, 10% is the overall for the quote generated against the policy conversion. That could be said .

Prashant Tripathy: That's right . Customer meetings are done to policy converted .

Sukant Garg: That is 10% .

Prashant Tripathy: Yes.

Sukant Garg: And what would be the revenue per policyholder and average cost per claim approximately?

Amrit Singh : Sorry, revenue and what ? Claims per policy you asked.

Sukant Garg: Revenue per policyholder and average cost per claim currently .

Prashant Tripathy: The ticket sizes you mean. You mean the ticket size of every policy?

Sukant Garg: Yes.

Prashant Tripathy: Yes, it's closer to 1 lakh, Amrit, if I am correct, right?

Page 11 of 15

Amrit Singh: That's right .

Prashant Tripathy: Yes, 1 lakh per ticket size on the regular policies. Sorry, I don't have the answer to the second question. If you could email me and Amrit, we will come back to you with specific answers if that works .

Amrit Singh: I mean, if you are looking for case sizes in the investor release on Page #46, we do provide average ticket size per policy. On average , as Prashant mentioned, it is Rs.

1 lakh for all products put together, but it does vary depending upon the product that is being sold. So , it can be as low as 40,000 in a protection design going up to as high as Rs. 1.50 lakh in our annuity kind of design .

Moderator: The next question is from Madhukar Ladha from Nuvama Wealth Management .

Please go ahead .

Madhukar Ladha: Just I am not sure whether any of the previous participants have touched upon this.

But can you talk a little bit about what is driving growth within the proprietary channel , so the online channel and the agency channel , if you could give what is the growth for each online direct and the agency ?

Moderator: We seem to have lost the line from Mr. Madhukar. We will move to the next question.

The next question is from Avinash Singh from Emkay Global. Please go ahead .

Avinash Singh: So, growth has impressed in the first half. And the growth is coming across channels and to be fair even product-wise growth is quite good. Now when you move to H2 , there are kind of a couple of external factors that we get including your surrender regulation changes probably maybe limited , but some disruption on the product side and also some negotiation on the payouts. Additionally , the month of October is a very festive kind of a month where you have the Dasara, Diwali led disruption. So, how are you seeing the growth trend so far? And what sort of expectation will you have that , I mean , in this background? What kind of a growth I mean that you can deliver in terms of the AP

E in H2 or rather for the F Y '25?

Prashant Tripathy: You asked a very relevant question. The good part is it just doesn't apply to Max Life insurance. It is true of industry. And hence , I will peg my response to the industry growth rate. Whatever is the industry growth rate we will try to grow substantially more than , like, for example , the industry growth rate was 24% , we grew 34. So, one would like to have a plus 5 % to plus 7% delta with respect to private industry growth rate. Let me put it that way .

Very optimistic that the changes in regulation is not going to have a material impact on growth rates and we are at least from our side internally not cutting down on our growth expectations. So, one would make an attempt to maintain the trajectory of growth the way we have done in the first half .

We are quite committed actually on a double-digit teens kind of VNB growth rate, and we will target that. Earlier, Avinashji , I did mention that one would make an attempt to hold the margin like we have done in Quarter 2 , despite having the surrender impact. But yes, you are right, there is some moving pieces, but I can only

pivot back to every such regulatory changes .

You can go back in history . Each time it has happened, Max Life Insurance has come out stronger . So, that gives me a lot of optimism. And bas is all the discussions that we have done, made changes , etc., I think we are reasonably confident of what we are talking about .

Page 12 of 15

Moderator: Next question is from Sanketh Godha from Avendus Spark . Please go ahead .

Sanketh Godha: Prashant , you said that your rider attachment is around 45%, which helped in the margin expansion. So, just wanted to understand what is the internal target you have, and to what extent it can negate the impact of say, surrender rules or product mix change to support the margins. 45 is already a very big number . Whether you see this number going meaningfully further up compared to what it is today ? That's on riders, first question .

The second question is on annuity. It seems to have slowed down a bit, if I look at the numbers. Is it because last year you had a group and now you have not got it, that led to that moderation? If you can give a split between that number, annuity business into group annuity and individual annuity , and how individual annuity have behaved, that will be useful .

And the last question is on cost. See, the growth has been 31 %, but the overall cost has increased by 280 basis point on a year -on-year basis. So, ideally, there should be still an operating leverage given the kind of growth we have had . So, just wanted to understand is this cost because of capacity addition, like many more people in Axis Bank , or your investment in prop channel is still happening. If that is the case, then future investment leverage, or sorry, this operating leverage for these investments made in the channel, how do you see to play out going ahead? These are my three questions .

Prashant Tripathy: I will take the first one and then I will request somebody to focus on the next two. In terms of rider attachments, Sanketh, in our organization, we have chosen protection and health as a very critical area of growth. And we are very deeply working on improving penetration and we count that as protection, meaning pure protection, either return of premium kind protection or normal protection. We held products and we have an offering called SEWA, which was very, very good in terms of margin contribution as well as sales .

And then the third one is riders, which we are trying very hard to attach to. A large part of the rider attachment that we did in last quarter was with ULIP design , which we sold through banks. We are at this point of time trying to rebalance the overall mix, and the efforts are on to reduce the proportion of ULIP , and we ar

e seeing

reasonable success in doing so .

So, we will continue to work on optimizing the margin. If the ULIP proportion goes up, we will try to attach riders so that we are able to preserve margin or reduce or optimize the product mix in a manner that ULIP proportion goes down and the proportion of non -PAR goes up. Those will be attempts as you would appreciate these are moving pieces and continuous efforts are made actually to optimize our product mix so that the margin outcomes are optimal .

For question two and three, I am going to hand over to Amrit to respond .

Sanketh Godha: So, Prashant , a small follow -up. Is it fair to assume these riders' margins are meaningfully superior compared to even the protection in the overall country average?

Prashant Tripathy: It will be aligned to protection and a tad higher than protection , and significantly higher than company average .

Amrit Singh: I think on the two questions that you asked, one was on annuity and the second one operating leverage in the subsequent quarters. Annuity, as we did mention in the

Page 13 of 15

opening remark and also in the presentation, the retail annuity has grown at 18% for first half. But the group annuity, because we actually experienced a very large deal last year, a single one -off deal last year, there is a large decline in group annuity at the moment, around 60% decline. But if you adjust for that large deal, then there is a 60% growth. We are quite optimistic that this group annuity business also will pick up in the subsequent quarters as it kind of takes away the effect of that one specific large deal .

Sanketh Godha: Amrit, can you split off your annuity into group and retail percentage mix?

Amrit Singh: So, around 173 is retail and 12 odd crore is group annuities for Super annu ation annuities , on APE basis. This is AP E, right?

Sanketh Godha: Yes, 173 crore is retail and 12 crore is group. That's the way I see it .

Amrit Singh: Yes. On operating leverage, you are right . Actually , historically , you would have seen

that as quarters progress where sales volume increases and OPEX, operating leverage kicks in, there is an improvement in margin which happens. We do experience anywhere between 200 to 300 basis point expansion in margins from what you have seen in Quarter 2 going forward as well because of that.

Sanketh Godha: No, Amrit, my question was half to half comparison, that is first half last year to first half year. You had a growth of 31%, but ideally the cost ratio should have come down, but it has increased. So, wanted to understand this cost increase is largely because of man addition in Axis or investment in prop and how it will play out if you believe the investments are being done upfront, then how you see it playing out going ahead?

Amrit Singh: Right, so the total expense that has increased, which is around 28% increase, and obviously the individual business has grown by 31%. The APE has grown by 31%. The 28% increase, the OPEX, pure OPEX is actually around 21%, 22% increase and there is a large commission increase that is evident which some bit of it is rebase lining of commission between lines which is actually happening and planning out, and also the fact that we are aggressively pursuing some of the new accounts and group credit life businesses where generally the commission ratios are higher. Now with respect to OPEX, pure OPEX, there is obviously an increase which has been done towards the distribution workforce across our channels, and that distribution workforce does start showing up productivity gains as time progresses, whether it is in agency, whether it is in direct teams or whether it is in the new relationships of banks that we have added. So, that is largely the overall contour of how OPEX is panning out.

Moderator: Next question is from Madhukar Ladha from Nuvam

a Wealth Management. Please go ahead.

Madhukar Ladha: So, I just wanted to get a sense of what is driving growth within proprietary channels, the online agency and direct sub-sort of channel growth out there. And second, if you look at the new business strain, that has also gone up substantially. I mean, it is good to see that the back book surplus has grown, but new business trend has actually gone up quite sharply in this quarter and in the first half. So, any particular reason on that? Is it more resolving driven or is it more sort of higher commission payouts or something of that sort of actually payouts going up over there? Some color on that will be helpful. And can you break down the economic variance between fixed income and equity?

Page 14 of 15

Prashant Tripathy: I will request Amrit, you take this, the question.

Amrit Singh: So, you asked three questions. The first one is actually what is driving the growth across our proprietary channels. In agency, clearly our top agent engagement programs and overall top agent momentum is very strong and that is actually helping us. In addition to the fact that the expansion of capacity, which is helping with productivity gains coming through the years, is also an aiding force in what has been driving the growth momentum within agency channels.

In direct selling teams, actually it is to do with more and newer pools of customer segments to whom we have started doing cross-sell and up-sell, which is actually aiding that growth. And those new pools have come as some of the customers who are unmapped at Axis franchise, customers whom we have had now e-commerce relationships. Those kinds of additional pools have helped. And obviously we have invested in people to go and kind of tap into these pools across our cities and that is enabling the growth momentum in the direct channel.

And largely in the e-commerce channel, I think we did mention around two years back that savings is a business that we are now entering into. And there has been strong savings momentum in that particular channel and which we have from not being present two years back have kind of come to a pole position with respect to the counter share that we own in that particular market. That has helped. And the underlying protection growth we continue to remain leaders in that business on a whole. So, that's the first one.

I think the second question you asked was on the strain. You saw a rise in strain. The reason for the strain increase, one obviously is higher sales in protection, group credit life, and ULIPs which actually intrinsically have higher NB strain. And that's largely the reason why the strain has grown. It's a factor of business mix and business growth coming out of these specific segments. And all these segments, unit-linked, credit life, and protection have higher strains initially unlike participating design policy.

Last question you asked was on the economic variance. What proportion? Two-third of that is attributable to equity gains and one-third to the debt gains.

Moderator: The next question is from Nidesh from Investec. Please go ahead .

Nidesh: The question is on e-commerce channel. So, what is driving such sharp growth in the channel almost 100% Y-o-Y? Definitely, we must be gaining significant counter share. So, what we are doing to drive that?

And second is if you can break down the e-commerce channel, what percentage of business is coming from your own website, from the e-commerce channel, in the e-commerce channel?

Prashant Tripathy: Thank you, Nidesh. And greetings to you. I think we historically on the e-commerce channel, this you remember , we were always very good on protection . We have been number one protection for many years and that was our area of focus . However , our presence on saving space was quite limited , and we were like a fourth pla

yer if we

were to add leaving some protection together .

About a year , year and a half ago we decided that we need to be comprehensive , this is an area of growth . And if you look at our analyst presentations , you will find the number one initiative as being leader in the e-commerce space . So, we took tangible steps to consolidate our presence in the saving space , and that's been the Page 15 of 15

key reason of our growth . Generally , we sell a combination of ULIP with non -PAR on e-commerce platforms . And over last few quarters , I think index -linked designs have been very famous or very popular , and that's driven our growth at e-commerce .

On the direct website , that's something that we always try to rebalance , and my sense is we will have close about 30 % to 35 % of this sale actually comes from directly our website .

Nidesh: So, that would also be a pretty large number , 30% of your e-commerce .

Prashant Tripathy: Yes, it's growing . Both are growing quite rapidly . Both the aggregator space as well as our own website , both of them have grown remarkably .

Amrit Singh : Yes, direct growth is up 90 % and aggregators are also around 110 % . So, both have grown quite handsomely .

Nidesh: And from a product level margin perspective, if you sell through aggregator or if you sell through other channels , how differential is the product level margins ?

Prashant Tripathy: I think it comes similar , Nidesh. Honestly , it comes similar , not very different . Even coming to our website also requires investment in terms of generating traffic and search etc.

Moderator: Thank you. We will take that as the last question . I would now like to hand the conference back to the management team for closing comments .

Amrit Singh : Thank you everyone for attending our Earnings Call. We continue to look forward to more such interactions and have a good day .

Moderator: Thank you very much . On behalf of Max Financial Services Limited, that concludes the conference . Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

Call: Feb 2025

February 11, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on February 5, 2025, post declaration of Un-audited Financial Results of the Company for the quarter and nine months ended December 31, 2024, is enclosed.

The same has also been uploaded on the website of the Company at

<https://maxfinancialservices.com/static/uploads/financials/max-financial-earnings-call-transcript-05-02-2025.pdf>.

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 21

Max Financial Services Limited
Q3 FY'25 Earnings Conference Call Transcript
February 05, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Max Financial Services Limited Q 3 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh – CFO from Max Financial Services Limited and Max Life Insurance Company Limited. Thank you, and over to you, sir.

Amrit Singh: Thank you. Good morning, everyone. And welcome to our Earnings Call for the quarter ended December 2024.

The Results were made available on our website and on the exchanges last evening. And as always, I am joined by Prashant Tripathy – Managing Director and CEO of Axis Max Life Insurance.

I will hand it over to Prashant to share "Developments and Insights" from the quarter.

Prashant Tripathy: Thank you, Amrit, and good morning, everyone. Thank you very much for being on the call this morning.

As many of you may be aware, and already know that in Quarter 3, actually in the month of December, we refreshed our brand, transitioning from Max

Life Insurance to Axis Max Life Insurance and change our corporate name to Axis Max Life Insurance Limited.

The strategic move represents the integration of two trusted names in the financial services sector. It enables us to extend our reach beyond Metro and

Page 2 of 21

Tier-1 cities, where our concentration as well as the awareness, both were pretty strong already. But the hypothesis was to deepen our presence through our brand, especially in smaller cities, while carrying forward Max Life's legacy, expertise, and leveraging the trust and recognition associated with Axis Bank.

A recent brand survey conducted by Kantar in January 2025 highlights the positive impact of our refreshed brand that we are seeing already, especially in Tier-2 and Tier-3 cities. You may refer to Slide number 9 of the Investor Presentation that we have given some data points. But very happy to share with you that our refreshed brand is already making a positive impact. And obviously, this is a move targeted towards keeping our long-term strategy and reach in mind. And I am very positive that the steps that we have taken is yielding early fruits already.

Our brand awareness scores have already increased in these areas. And I think with time, we believe that even consideration will increase. And with further investments, we expect that brands will reach out to the segments that we intend to cover more and more as we go forward. We are confident that the combined strength of our brand will create long-term value for all our stakeholders.

Let me now go back as usual to key developments across our strategic areas during Quarter 3 :

Sustainable and Predictable Growth

Firstly, let's focus on our growth. We actually targeted sustainable and predictable growth, and I am very happy to share that in the first nine months of the fiscal year, our individual adjusted first-year premium has grown by 25%, outperforming the private sector, which grew at 19%, and overall industry, which grew at 14%. Even on a two-year compounded annual growth rate basis, we have grown at 22%, almost double at the industry CAGR at 11%. In Quarter 3, individual adjusted sales grew by 16%, outperforming both private sector growth, which was at 13%, and overall growth of industry, which was at 5%.

Additionally, our Total APE expanded by 17%, driven by an 11% increase in policy issues. Our prop channels continue to see strong growth, expanding by 24% in Quarter 3 and 41% over the first nine months. This growth is supported by both offline and online channels, with the online segment strengthening our leadership position.

Banca grew by 12% in Quarter 3 and 14% over 9 months. Our Group Credit Life business grew by 18% in the first nine months of the year.

Page 3 of 21

To expand our distribution, we onboarded 8 new partners in Quarter 3 of FY '25, including five group credit life partners, two brokers and one corporate agent. These new partnerships are expected to contribute significantly in the medium term and have already surpassed the 100-crore mark.

Overall, our focus on expanding prop channels and maintaining a healthy share in partner channels continue to support sustainable growth.

Product Innovation to Drive Margins

The last quarter also saw us being compliant with the surrender guidelines and my second topic, hence, is to talk about product innovation to drive margin. I know there is a question that must be going on in your head as to what is the impact of those guidelines on the margins of our company and I will share that in a bit with you.

Especially on product front, Max Life remains committed to leading product innovation. We continue to launch products that meet customer needs while delivering strong returns to our shareholders.

Our retail protection business has grown by 37% in the first nine months of the year. To strengthen our protection proposition, we recently launched a new protection product called Smart Term Plan Plus with key features like auto-rebalancing of Life Cover, Maternity Cover for female life insured and the Lifeline Plus feature, allowing a top-up in case of a spouse's death. This plan off

ers seven flexible variants to address unique customer needs. This protection product, along with our flagship offering of health products, SE WA 2.0, launched in November, puts us in a unique and competitive position to further grow our protection and health segment.

Additionally, we also achieved our highest rider attachment ratio of 45%, up from 32% in the first nine months of last year, with rider APE growing at over 250%. We also introduced a new PAR proposition with an income -advancing option leading to 10% growth in this segment in Quarter 3 .

Further, ULIP segment continues to grow in Quarter 3 at 49% despite a recent decline in equity markets. This trend is reinforced by the success of our new fund , the Sustainable Wealth 50 Index tailored for e -commerce customers.

As a result, the ULIP share in our product mix increased from 35% in last year, Quarter 3 to 44% in Quarter 3 of this year.

Sequentially our product mix was largely stable from Quarter 2 to Quarter 3 , and the volumes were slightly lower. Typically , in Quarter 3 , our volumes will be higher than Quarter 2 , and we will see volume leverage benefit.

Unfortunately , this year , it was not so. So , our Quarter 3 was almost similar in terms of volume to Quarter 2 .

Page 4 of 21

As a result, our margin for Quarter 3 stood at 23.2%, slightly lower than Quarter 2 , despite the impact of the surrender guidelines. Just to clarify, in all our discussions over the last many quarters, we have been repeating that the net impact of the surrender guideline on us will be between 100 to 200 basis points. Very happy to share with you that it remains at the lowest end of the guideline that we have been given. It is close to about 100 basis point impact. So, if we were to simulate our product mix as we had last year on this year's sales , our margin would have been 100 basis point lower than the last year Quarter 3 margin, which means the delta that we see in this year's margin versus last year, which is close to about 400 basis point, about 300 basis point of that is because of product mix , our higher bias towards ULIP and lower sales from non -PAR and PAR segments.

We remain committed to rebalance the product mix, and there are many actions that we are taking right now. But suffice us to say that we have taken several steps internally, like increasing the rider penetration, ensuring that the variants which are high margin generating are being sold so that, you know, the effect of surrender income could be neutralized. And hence, we ended up at the lower end of 100 -200 basis point guidance that we have given.

Coming to the other areas, on product, just like to clarify that we have taken all actions with respect to pricing as well as the negotiations that we have to do with our distributors with respect to compensation. And I think we have achieved an equilibrium with respect to all the deals or all the discussions that we had to have.

Customer -Centric Approach

Focusing on customer outcomes and especially around persistency let me first share with you that I remain very satisfied with the progress that we are making. Customer obsession is a central theme to everybody and everything that we do in this organization. We were pleased to report a 5 point increase in our net promoter score rising from 56 in March of 2024 to 61 in December 2024. This improvement is seen across both Touch Point and Relationship NPS.

We continue to be the market leader in 13th month persistency in NOP terms and across the five -year cohort of 13th, 25th, 37th, 49th, and 61st month persistency . On NOP basis, our rank will feature anywhere between number one to number three.

In value terms , however, we have achieved our highest ever level of regular limited pay persistency for 13th month, increasing by about 240 basis points, Page 5 of 21

going up from 85 to 87% , and also a reasonable increase a

cross other cohorts

of persistency. We have made great strides over the last six months on the persistency vectors, and I remain very optimistic that as we go forward, we should see further improvement , especially in the 26th month cohort .

Digitization for Operational Efficiency

Digitalization is the fourth theme, which we look at not just for driving operational efficiency, but also driving our business. In Quarter 3 of this year, to drive enterprise agility in product launches, we launched a new age

product configurator enabling do-it-yourself product setup and automated journey configurations resulting in reduction of product launch time by almost 50%. So, our ability actually to launch products quickly has significantly improved as far as the turnaround time s are concerned.

Further, our digital progress and AI capabilities have helped enable not only new business by driving cross -sell propensity campaigns, but also collection of renewal via human -less alternate collection channels. Our risk analytics engines , namely , Shield , MediCheck , GoVern have been able to identify and avoid a claim risk of close to 700 crore claim for nine months of the year.

Thus, our digital initiatives are improving operational efficiency, enhancing customer satisfaction, and driving cost savings as we ll.

We just came out of a two -day strategy meeting with our Board , and I feel very optimistic and positive about the discussions that we had about our business and opportunities for growth. I think we have very solid plans to drive our aspirations over the next three years. We have detailed , you know, plans, not just for our channels, but also areas that we like to venture into and experiment and grow as we go along. So, as we finish the three -quarters of the year, we remain hugely optimistic and positive about which way Axis Max Life Insurance is headed.

In summary, we have mostly been able to navigate the challenges posed by the introduction of surrender regulations in quarter 3. We had guided towards the short -term impact , and we are confident of mitigating this to deliver sustainable, profitable outcomes in medium to long term.

As far as the year is concerned, we do want to finish very positively. As the year closes, we have started well for quarter 4. And I think by the time we finish year, we will like to be in the range of about close to 20% growth on sales basis and high single -digit growth for our VNB. Those are numbers that we are targeting internally. Of course, there is a lot to be achieved. And quarter 4 is a large quarter. Especially the month of March is very large. And we are going to try our best.

Page 6 of 21

With that, I am going to hand it back to Amrit for him to share all the financial performances and outcomes.

Amrit Singh: Thanks, Prashant. Just a quick update on housekeeping financial metrics.

- MFSL consolidated revenue excluding investment income stands at Rs. 20,907 crore , a growth of 14% in 9 months FY '2 5.
- MFSL consolidated profit after tax is at Rs. 365 crore .
- Axis Max Life's renewal premium has grown by 12% to Rs. 13,269 crore . And thereby a gross premium growth of 14% to Rs . 21,360 crore .
- Value of new business, written over this period, stands at Rs. 1,255 crore , growth of 9%, with an NBM of 21.9% for 9 months FY '2 5.
- Embedded value as at end of 31st December is Rs. 24,129 crore . And annualized total RoEV for 9 month FY '2 5 is 21.2% and the annualized operating RoEV stands at 17.3%. This has nil operating variance and a positive non -operating variance of Rs. 537 crore .
- Policyholder OPEX to GWP is 14.9% and total cost to GWP stands at 24.3% for 9 months FY '2 5. Policyholder OPEX has grown by 15% for 9 months FY '2 5 and for Quarter 3 , it has grown only by 2%.
- Axis Max Life 9-month profit before tax stands at 397 crore . It's a degrowth of 9%, though largely due to higher

strains of product forms

that we have written and overall segment allocations.

- Solvency position stands at 196% as at end of December 24. And AUM, we have ended at around Rs. 1.72 lakh crore , a growth of 20% in our AUM .

We will now be happy to take any questions that you may have , and hence, I will hand over to the moderator to open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session.

Anyone who wishes to ask a question may press "*" and "1" on the touchstone telephone. If you wish to remove yourself from the question queue, you may press "*" and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question comes from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Yes, thank you for the opportunity. Good morning, everyone. I have two

questions. First is on the VN B margins. I wanted a little bit more detail to understand how the VN B has moved from 9 months to 9 months. So, we were at 25.3 in 9-month '24. What I heard was 300 bps impact drag from mix change, 100 bps drag from surrender value. So, the delta, some 60 bps that positive that we are coming to, is that from the higher riders? Because if I

Page 7 of 21

reduce 4% points from 25.38, we come closer to 21.3. So, 21.9 in 9 months, you can help me understand on that bit.

My second question is on the Ban ca channel. There is a bit of, I mean, a slight slowdown that sequentially probably that has picked up over there. If you can help us understand, is it just Axis Bank, all of the banks, are there any regulatory process changes going on at the banks? Any color on that would be helpful.

And my last question is, sir, we are done with the rebranding exercise and congratulations on that. On the timelines on listing of Axis Max Life Insurance, What I understand that the Insurance Amendment Bill could probably facilitate it better because there is a clause for merger between insurance and non-insurance companies. So, if that comes through, do you think that timelines on listing could be much shorter than earlier envisaged of 1, 1.5, 2 years? Those are my three questions. Thank you.

Prashant Tripathy: Thank you, Shreya. Let me take the questions one by one. The first question was the nine-month margin. I was talking about the Quarter 3 margin. So if you remember, for Quarter 3, last year we did 27.2, and this year we have done 23.2. And the clarification I was giving to you was of the 400 basis point, about 100 basis point is the impact of surrender income, and 300 basis point impact, or net impact, net of all the corrective actions that we have taken is because of product mix.

Hopefully, as we fix the product mix, we will come in the range that we typically like to be, which is around 25% or plus. As we have communicated in past, we would like to drive VNB growth and sales growth while being at around 25% margins. That will be the endeavor on which we will work as we go along.

With respect to your question on Ban ca, your observation is correct. However, I must highlight that that's tactical. For the quarter, the growth that we saw from Axis Bank was a bit lower than other bank channels that we got. But suffice us to say that as we go along and we have started the new calendar year, growth is significantly higher coming from Axis Bank.

On your question on Section 35 clarification, yes, we are very optimistic. Actually, that's a very positive thing, especially for Axis Max Life Insurance, because as soon as that bill gets approved, we will go ahead and file it with the regulator. Hopefully, the regulatory approval process will be shortened because of the guidelines or the clarification coming from the Act. However, the overall process of going to NCLT seeking approval, etc., will take a

bout

one year. So, hopefully, a few months lower, but it is not going to be crunched to, you know, coming in one or two quarters. It will take its own time.

Page 8 of 21

Hopefully, answered all your questions. Over to the next question, please.

Shreya Shivani: Yes, thank you so much. That answers my questions. Thank you a lot.

Moderator: Thank you. The next question comes from the line of Avinash from Emkay. Please go ahead.

Avinash: Hi, good morning. Thanks for the opportunity. So, a couple of questions. The first one is, you know, I mean, for very long, you had a kind of range of ULIP in product mix. And now you seem to be consistently breaching that. So, is it that, I mean, post this Axis Max Life or Axis joining the rank of promoters, then the strategic change as far as the thought process is concerned that now you are fine with kind of, you know, selling the product that is demanded by the customer amid prevailing external environment. So, is it a kind of a strategic shift that, okay, now you are comfortable with selling even higher ULIPs if there is a demand? And of course, when the demand moderate, of course, you will change that. So, is there kind of some change in thought process?

And related to that on ULIP, in terms of you have been attaching these protection and riders, currently, if any kind of you can provide the numbers around that, okay, what's the attachment rate with the ULIP products? Yes, so that is the first question.

And second, again, a bit I know it will be premature, but what are , I mean, because you have kind of your Board has deliberated this issue and come up with this kind of a roadmap. So, of course, once Section 35 is amended, things become much easier. But what is the view, I mean, if that amendment for whatever reason is delayed, can this, you know, the roadmap provided by the Board for this merger of Max Financial and Max Life , is it possible, I mean, to progress even if the Section 35 amendment gets delayed? Thank you.

Prashant Tripathy: Yes. Thank you, Avinash ji . Always a pleasure to hear from you. Let me first answer your question on ULIP Mix. No, just to clarify, we are trying to balance many things here. A, customer demand, customer centricity definitely drives the choice of products. B, our growth rate. And C, the overall profitability of the business. And generally, our product mix is a combination or triangulation of all these three. At our level, the product mix of , you know, upwards of 45 %, close to 45 % ULIP at a total level is on the higher side. We will typically like to be in the range of 35 to 40 %. There are efforts that we are making to ensure that ULIP remains range bound in the range of about 35 to 40 %. However, as ULIP has been over the last few quarters, the most favorite design considering stock market upsides, etc. , we have taken actions to attract more riders so that the profitability profile of the riders could be

Page 9 of 21

increased. Like I mentioned to you in my initial commentary, we have about 45% total level. I don't have the numbers for ULIP, but we could talk to you separately. But because the attachment rates overall, you know, the attempt is to recover the overall profitability profile of the total book.

So just to clarify, we are taking actions to, you know, keep it in the range of 35 to 40%. I am very hopeful that as things stabilize and we move forward a couple of quarters, we will be back into the range that we have always been. There is no strategic shifts towards, you know, selling significantly higher ULIP. We are comfortable selling a bit higher ULIP.

On your question on Section 35, you know, at this point I am very positive that it should go through. It is definitely, you know , a problem with us to create a tangible structure that could facilitate the merger. So , at this point in time, you know, we are patient , and we will wait for Sec

tion 35 to get

approved. If your question is about do we have anything alternative to expedite, the answer is , we are not considering that right now. We remain very optimistic about this going through and then subsequently work with the regulator to expedite our overall approval process. But this definitely is a good step and we welcome that. Thank you, Avinashji .

Avinash: Thank you.

Moderator: Thank you. The next question comes from the line of Supratim Datta from Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the growth side. So , you have indicated that you are expecting a 20% growth for the full year, which basically means that in fourth quarter, the growth will be around 11%. Is that correct? So , should we see a higher mix of the non -PAR and PAR and slower growth in the UL IP? Is that something that you are building towards in the fourth quarter?

And continuing that, you know, over FY '26 and, you know, maybe into FY '27, how do you see this product mix shift now that, you know, we are seeing some bit of slowdown in the market and, you know, potentially there could be a rate cut in the next 6 to 12 months. So, you know, how should we think about or how Max as a company is thinking about the product mix changing over the next 12 months and what are you doing towards that? So , that's my first question.

The second one was, again, on ULIP . Recently , SEBI has been talking about launching a product which combines mutual funds and term insurance. If such a product comes into the market, then what would be the liability of

Page 10 of 21

ULIP as a product opportunity? If you could throw some color on that, that would also be helpful.

And lastly , also , you know, we have seen over the last, you know, your tie -up with Axis, that has helped you gain traction in some of the markets you have disclosed in the presentation. But wanted to understand what proportion of your policies currently come from, you know, Tier-two and below cities. And how can this go up or change with this Axis rebranding that you have done ?

If you could throw some color there, that could also be very helpful. Thank you.

Prashant Tripathy: Thank you. Let me answer your question one by one. I don't know if, you know, your 11% number gets us to 20%. Maybe you have back calculated or whatever that number is. But please know that quarter 4 is the largest quarter. And hence, you know, maintaining the same 25% growth may not exactly happen. I think 20% or above is the number that we are targeting. So, you know, 20% perhaps the lower end of where we should end up for the year.

With respect to our margin profile and product mix, yes, we are making an attempt to rebalance the product mix and we will continue to do so. Like I mentioned to you, there are three forces that actually impact the product mix. A, the customer demand. B, you know, our ability to gain market share, and maintain market share and see creating profitability. So, there is a band in which we can operate, which will be, you know, 5 to 7% lower ULIP and maybe 5% more non-PAR. And I think with that, I believe we will be able to hit our margin guidelines or margin endeavor of 25 % plus.

So, I think that's the direction. But suffice us to say that we are not going to take draconian actions on our product mix which will have very significant impact on our growth. We typically try to grow faster than the market so that we continue to gain our market share.

Very interesting thought on mutual fund plus term insurance. Very hard to predict, actually, on how it will evolve. In the past, I know that about a decade ago, you know, mutual fund industry did try to attach and actually attach term insurance a long time ago before it got stopped.

But there was a period when we saw mutual fund industry try to attach, you know, term insurance or term to create a

kind of surrogate or mimic of ULIP

plans. But during that period, I didn't see much impact actually on the industry. These are distribution-led businesses, targeting different set of customers, using different distribution channels. So, not to defend the life insurance industry, but at the same time, I think the customer segments and distribution methodology are very different.

Page 11 of 21

So, I am not expecting huge impacts, but yes, it is definitely a development that the life insurance industry should understand and prepare itself for. At the same time, it also opens up opportunities to attach some insurance that we could provide to a very large set of buyers of mutual funds. So, it could be a unique opportunity as that.

I don't have the numbers of Tier-2 and Tier-3 cities, but my sense is that it will be quite significant. My sense is it will be close to almost a halfway mark on the number of policies that we get from Tier-2, Tier-3 cities. And a large part of that actually comes from our partnerships. Axis Bank, YES Bank, other bank branches, you know, the corporate agents. And the hypothesis was to create a brand or a combined brand which helps our sellers to be able to sell.

For example, in Axis Bank, you know, seller community having an Axis Max Life Insurance product definitely is expected to find more favors. And in the initial surveys that we have done, that is actually getting proved also.

So, you know, very happy with the step that we have taken. While it is just 50 odd days since we began, the early signs are better, but I am quite optimistic that as we go along and make investment in this area to penetrate our brand, it will have outcomes. This is a step that we have taken for our future. So, you know, I think the early signs are positive.

Supratim Datta: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Himaan Sanghai with Bernstein SG. Please go ahead. Himaan, your line has been unmuted. Please go ahead with your question.

Manas: This is Manas here from Bernstein. I wanted to understand you mentioned that Q3 is generally heavier than Q2. We are also seeing an impact in the mix because of surrender value. Wanted to understand how much of Q2 was pull forward demand and therefore a weaker Q3. Want to understand one part of that.

The other question I want to understand is a better brand awareness should eventually help you price better or cut the delta in pricing relative to larger private sector peers. So, how are we approaching that? Those two questions.

Prashant Tripathy: I will answer the second question first, and then I will request Amrit to talk

about the first question . One would definitely expect that a stronger brand or a combined brand will drive awareness as well as consideration and hence our ability to price ourselves better should increase or should become better. It is not a short -term thing, but over medium to long -term, that definitely should be a possibility. We are already seeing some very positive development around. And I don't know if y ou know, but we are number one

Page 12 of 21

sellers on e -commerce or digital space. And that's where strong brand starts to play a big role. So , I am hoping that as we go along, strong brand will definitely help us price better and will have a positive impact on our overall margins. Amrit, you 're in the first one, please.

Amrit Singh: So, the AP E actually for Quarter 3 , this time is Rs. 2,108 crore . And for Quarter 2, it was around Rs. 2,170 crore . So, approximately Rs. 62 crore this quarter has come off as compared to the previous quarter. Now, with respect to how much of it was impacted because of preponement of sale, I think it will be very difficult to kind of put a number there because the preponement of sale is only, or at Max is actually isolated only to an agency channel, if any. My guess, would

be anywhere between 20 to 30 crore of preponement I could have considered in Quarter 2 .

But overall, if you would have noticed in the industry that there is a slowness from a premiums origination perspective in Quarter 3 , which has come through , and which is the reason why the Quarter 3 has come off slightly slower than Quarter 2 .

Manas: Thank you. Understood.

Moderator: Thank you. The next question comes from the line of Pra yesh Jain from Motil al Oswal . Please go ahead.

Prayesh Jain: Yes, hi. So , just on this, you know, margins again, VNB margins again , what would have been the hit had we not kind of come off, brought down the share of non -PAR in this quarter, because I think, that also has a role to play in some form there. So, in a way, could you highlight as to what was the margin hit in the non -PAR side, particularly as to what kind of hit you would have seen on the non -PAR?

Prashant Tripathy: Yes, that's a good question . Amrit , I will just maybe one sentence and then you can take it. We don't really share the margin impact by product categories. But like I mentioned to you, there is a dual impact which is taking place. Inherently speaking, the ULIP margins are lower and the non -PAR margins are higher. And if you look at our overall product mix for Q3, you would see that ULIP is higher compared to last year and non -PAR is lower. So , it's a combined impact of this relative movem ent which is causing the margin to go down.

Amrit Singh: I think, as Prashant mentioned, we don't get into specific sub -segment margin sharing. Your observation is correct, actually. You are comparing Quarter 2 of this year with Quarter 3 of this year, where you are seeing that even the non -PAR actually has come off . So, there would be an impact because of that, which is true. That's an additional impact that we have faced in the quarter.

Page 13 of 21

But as we said, as Prashant mentioned, that there are other mitigating actions also which have been taken, whether it is enhancing the product margin profiles of other segments, playing with variants, tweaking customer IR Rs, etc., all have kind of gone into some of those computations.

Prayesh Jain: Amrit, just clarifying this and harping on this a bit more, if your share of VNB, if your share of non -PAR would have been similar, what was there in Q2, your hit on margins would have been more or would have been less?

Amrit Singh: If actually the share of non -PAR would have been similar to Q2, then our margins would have improved actually .

Prayesh Jain: Okay, so the surrender charge itself is kind of not playing out that much.

Amrit Singh: Yes.

Prayesh Jain: Okay. And second, on surrender charges, again, you know, what is the kind of actions that you have taken with respect to commissions and alterations with the distributors? Have all these been taken care of or how is that shaping up?

Amrit Singh: So, as Prashant mentioned, I think from a distribution action perspective, all actions taken in the quarter. And largely those are in line with how the market is actually done . Depending upon the strategic importance of the distributor, its quality of writing business, et cetera, either there is an upfront reduction

or there is a deferral as a construct which has been created.

Prayesh Jain: Okay, got that. And the last question would be on the ULIP trajectory. How has January panned so far, given the market corrections? How do you think this quarter could play out with respect to the product mix?

Prashant Tripathy : For the quarter, we are trying hard. But suffice us to say that as soon as the market goes down, there is definitely a sales story around, the market is low, so we should invest now . So, generally, my experience of the market going down and ULIP mix readjusting on its own without external efforts is a delta of a few months. So, of course, it is improving, but not drast

ically.

Prayesh Jain: Okay, got that. Thank you so much.

Moderator: Thank you. The next question comes from the line of Sanketh Godha with Avendus Spark . Please go ahead.

Sanketh Godha: Yes, thank you for the opportunity . So, initially our impact on surrender rules was somewhere between 100 to 200 basis points, but we have arrested it to 100 basis points . So, just wanted to understand if I want to break down this lower impact, how much is because of claw -back or rationalization of
Page 14 of 21

commission structure, and how much is because of change in IRR or benefits to the end policyholder. I just wanted to understand that part.

And second, in this 100-basis point impact , what you are trying to highlight, have you already incorporated an assumption change with respect to paid -up behavior or you believe current behavior of paid -up will continue? So , that's my first question .

Amrit Singh: So, I think such a granularity of how much is customer IRR and how much is distribution IRR, I think it will be incorrect on me to kind of share into such specific granularities actually. But we have tweaked all of these things. And I think in our assessment, we have been indicating earlier as well that we will try to ensure that this charge burden that has come in the product design is passed on equally to all the legs associated, whether it's customer, shareholder, or distributor . So, we have tried to optimize on those principles per se .

With respect to paid -up behaviors and assumption changes, etc., in the new design there is some conservatism which has been built given the associated risk, which we have, and that's actually panning out in the margin profiles of the product as well.

Prashant Tripathy: Yes, Sanketh , also just to clarify that there were three things that we deployed. Firstly, looking at the customer returns. B, distribution compensation. And C, cost actions at our end, you know, being more effective and looking at our expenses. The first two actually are market forces . So, you can't unilaterally decide a very significantly higher adjustment to either customer IRRs or to distribution compensation because at the end we are competing in open market. A large part of our distribution also is open architecture . So, one has had to keep that in mi nd.

My belief is that all the changes that we have made continue to keep us very competitive in this space either through return to the customers or return to the distributors. And definitely some other actions have been taken, either in form of more protection or rider or lifting margin profile by optimizing variance, etc. , are a ctions which have helped us to curb this overall impact, net impact, about 100 basis points . So, that's the way we have operated. Unfortunately, we don't have breakdown on everything that I mentioned, but this is the net impact.

Sanketh Godha: Got it. Perfect. So, my second question was, basically, see, if I look at the just quarter, third quarter growth, it means heavy lifting of the entire growth seems to be driven only by ULIPs because I see a sign of weakness in individual protection related to what we delivered in first half and even credit life to that extent, which was anyhow a low base product for us. So, just wanted to
Page 15 of 21

understand that is equally true with non -PAR and annuity . So, just wondering, anything to read here, why there is slowdown in other non -ULIP business predominantly in third quarter?

Prashant Tripathy: Yes, basically you must also know that the overall market in Quarter 3 was lower than the first half. Just to offer a few numbers , for the first half of the year, the overall private market was growing at 24%. The overall industry was growing at 14%. If I were to look at those numbers for Quarter 3 , the overall industry is 5%. And overall private market is 13% . So, there has been a

slowdown .
And I thi

nk we always try to have a delta over our industry, a significant delta over industry. While we have succeeded in that, there has been an overall reduction in sales numbers. Your observation that a large part actually came through ULIPs is correct, but at the same time with all the actions that we took around riders, etc., one has tried to optimize for the margins. Like I mentioned to you, it is our endeavor to rebalance the product mix and we are working in that direction.

Sanketh Godha: Got it. And lastly, Prashant, on riders, which is 42% of the total business, is it largely fair to assume these riders are typically attached with ULIPs to make the margin profile of the particular product to look better?

Prashant Tripathy: Not simply with ULIP, actually, the rider attachment is a strategy that we started a couple of years ago and we have been trying to drive. Right now, my sense is that the overall volume in terms of sales volume will be between 2% to 3%. Overall attachment will be about 45%. But we attach it with our term plans in a significant manner. We attach it with non -PAR policies as well as we attach it with ULIP s. So, those are three areas where we are trying to attach.

Sanketh Godha: Got it. And riders , you don't show it in protection, right? You show it as part of the savings where you have attached.

Amrit Singh: No, protection. Disclosure is shown in the protection. You can see a footnote in the slide.

Prashant Tripathy: The color actually is protection.

Sanketh Godha: Okay, perfect. That's it from my side. Thank you.

Amrit Singh: Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Nigam from Tunga Investments. Please go ahead.

Page 16 of 21

Gaurav Nigam: Yes, thank you, sir, for taking my question. Sir, this one is on surrender impact, which you have clarified as 100 bps. I just wanted to understand, sir, this surrender regulations came in from 1st October. And this is one of a kind with no historical precedent. How is the management estimating the impact to 100 bps and just wanted to get a sense of where the underlying data is getting derived from? That's point number one.

And the second question, sir, is on overall claw -back from Ban ca and the proprietary channel . Are we able to claw -back, like have this discussion and claw -back the commission ? Have that structure in place in both these sides?

Amrit Singh: So, o kay, I will take this question. So, surrender impact , obviously, it's actually a mathematical number. Because there is now an increased surrender value that has to be given to the consumers after 12 months, and also there is a new mechanism of computing surrender values over the period of time . It is very mathematically identifiable that how much is the margin implication. And what we have shared is actually basis what we have seen in that product form with the increased surrender regulations and the fact that we have adjusted for things around expense, commissions and returns, etc. The net number is what we have indicated actually.

So, I don't know your specific question, but it's not as if it's not mathematical. It's a fairly mathematical number of how we have kind of come to a computation of the same.

Gaurav Nigam: Sir, just one clarification. Why I said this thing is how many people are going to surrender is not known, right?

Amrit Singh: Okay, right.

Gaurav Nigam: But is that only mathematically possible?

Amrit Singh: But that anyways, this product form is not a new product form. This product form has always been in existence. And you have an experience on how the surrender behaves in those product forms. And that actually becomes the basis of computing the profiles of margins. The reality is that, you know, in certain cases, let's say three years out, if you are surrendering, the movement of the surrender values actually is not as if it's so st

ark or so material, actually.

It is marginally up .

So, that can't become the reason why suddenly the consumers will start surrendering because still the premiums that they would have paid in the initial years, it doesn't break even so quickly given the long -term nature of

the contract . So, we don't expect that this is a completely new product form
Page 17 of 21

and there is no underlying assumptions that we have or we are aware of that we can't price and can't understand the product.

The second question you asked was, you know, claw -backs on proprietary channels, bank channels. Every channel actually has their own nuances, etc. And needless to say, we have had discussions with our partners and in line with the market forces, as Prashant kind of mentioned , even our structures have either an upfront reduction or a claw -back kind of a mechanism come into play. I mean, with an agency also you will see variances, etc. But those are strategic choices of how you want to run businesses. Some p laces it will not be, some places it will be, some places it will be upfront, some places it will be a claw -back .

Gaurav Nigam: Understood. Thank you, sir, for answering my question. Thank you.

Moderator: Thank you. The next question comes from the line of Gaurav Jain from ICICI Prudential Mutual Fund. Please go ahead.

Gaurav Jain: Hi, two questions from my side. One is, we understand currently Axis Group owns 19.2% in Max Life . And that was to go to 19.99% . So, what is the status on that transaction? And is it linked to merger or can that happen irrespective of this, is the first question.

Second is, we understand in this budget, new tax regime has got a little attractive, while the majority of people have already moved to new tax regime 70% odd. But what in your assessment is the number of people who would still be buying life insurance policy for 80C purposes? And how do you see this impacting our business? Thank you.

Amrit Singh: Thanks, Gaurav . So, the Axis ownership in Axis Max Life Insurance stands at 19.02%. And there is a 0.98% option that exists. I think it's pending at Axis end. They are seeking their regulatory approvals for that . So, as and when that gets completed, the Board has already approved it , that will be facilitated.

I think on the merger aspects ; there are many other things. This is a listing roadmap approval which the Board has given. As Prashant kind of mentioned, we will wait for applicable laws to get tweaked. We are hopeful that this will be concluded in similar timelines so that it doesn't become a challenge to it. But we will solve for it as and when the time comes.

On your second question around new tax regime and old tax regime, and I think even the government data over the last few years, there has been a quite significant shift , people preferring new tax regime. And already upwards of 70 -75% people are on that particular regime. But that does not have , I mean, if 80C was the reason which was a reason for buying insurance,

Page 18 of 21

then you wouldn't kind of see the structural strong growth that industry has been demonstrating for the last few years.

And very frankly, this 80C as a reason to buy insurance actually is no longer a predominant reason. It's more on the 10(10D) benefits that is a more fundamental reason which creates a differentiation , which continues to remain intact and a strong basis for the product proposition to be overall attractive.

Gaurav Jain : Just to follow up on the second question, Amrit , any data crunching that you would have done to understand the income segment or the ticket size or the, say, coming in Q4, or from the sales team, if you would have checked that, is it really a top topic today? Well, we understand the impact is meaningfu lly less, but there are camps who say that no, it is still significant . So, any further insight from you on this will be helpf

ul.

Amrit Singh: We haven't really , I mean, even those threshold levels of 5 lakhs and 2.5 lakhs at ULIPs, etc. , this particular year, we have seen growth happening all across, by the way . So, even those product forms where the tax impact shifting away from capital gain in case of ULIPs and the greater than 5 lakh in traditional, I think consumers see a benefit in the underlying product as well .

So, we haven't really seen an impact that there is a reduction or sharp reduction happening in that particular area. And when it comes to less than a ticket size kind of threshold , there also I think the growth momentum has been there and you can see N OP growth numbers .

So, we haven't really experienced anything because of new tax regime shifting. And we have been sharing this survey which actually was done a few

years back where it was a syndicated survey where the reasons for buying insurance is asked. And tax as a reason had kind of fallen down to beyond the top 10 reasons actually that the consumers were indicating. And even from a sales perspective, we haven't. We don't have, Gaurav, if you are asking the question that do you know whether the customer is buying this product for the purpose of 80C, I really don't have any data point actually for that particular perspective. We don't capture any of that information.

Gaurav Jain: Got it, Amrit. Thank you so much, and all the best.

Amrit Singh: Thank you.

Moderator: Thank you. The next question comes from the line of Neeraj Toshniwal with UBS Securities. Please go ahead.

Neeraj Toshniwal: Hi. So, my first question is on the kind of product mix we are targeting for Q4 given if we want to achieve single high-digit VNB on the ask rate of 12% PB
Page 19 of 21

on AP E looks to be on the higher side in terms of margin. So, are we really looking to shift from ULIP to non-PAR in Q4?

Amrit Singh: Thanks, Neeraj, for the question. Obviously, there is all intention to optimize and improve upon the product mix. But what Prashant kind of gave as an indicative numbers around AP E and VNB in his opening remark, I think that does not assume a very significant shift. But all efforts will be done. So, if the current run rate maintains, is that what the answer that is Prashant indicated. And typically, why the margin improves in quarter four is because of operating leverage.

So, the short answer is that we have assumed a similar trend going forward.

Despite that trend, you know, the guidances on margin between 23 and 24, we will be able to meet. And if you are able to improve upon non-PAR significantly in the quarter, definitely the outcomes will look better.

Neeraj Toshniwal: And any change in strategy if the rate cut happens this week in terms of how the industry is looking at it?

Amrit Singh: Sorry, I didn't get your question. What happens in the industry?

Neeraj Toshniwal: So if the rate cut happens, let's say if we start with the easing of monetary policy, do you think the non-PAR or traditional products will see a pickup from here?

Amrit Singh: Rate cuts, you said?

Neeraj Toshniwal: Yes, rate cuts if it happens this week in the monetary policy.

Amrit Singh: Yes, we always keep a close eye on how the yield curves are, and everyone in the industry does it, and basis the movement in yield curves, the product gets repriced. But the reality is that all asset classes all across also move in a similar nature and similar direction.

But as things stand today, where the yield curve is, I think the products are priced in a particular manner, I don't see, you know, a significant change happening on the product IRRs in the next few months for sure. But over longer horizons, obviously, we keep repricing basis the movements in the yield curves. But it's not as if your repo rate moves and tomorrow we reprice it. We take a more balanced view of how do we see the overall trend and the

pressure on margins or positive elements on margins.

Neeraj Toshniwal: Okay, thank you. Thank you so much.

Moderator: Thank you. The next question comes from the line of Madhukar Ladha with Nuvama Wealth Management. Please go ahead.

Page 20 of 21

Madhukar Ladha: Hi. Thank you for taking my question. First, can you give us some sense of what medium-term growth for topline and VNB you would be targeting over the next, you know, let's say three years? And where will the growth come from? So, if this year I look at your proprietary channel that's grown at 40% plus level, but the Banca has just grown at about 14%. So, over the next three years between these two channels, what will be the interplay, right? I mean, if we can get some sense on how this is going to move.

Second, despite ULIPs actually increasing in the mix on a year-over-year basis, your back book strain has increased considerably. So, if I look this for Q3, the number is up 57%, if I am not wrong, the new business strain. So, what's happening over there? You know, if some sort of sense of there. And your economic variance from 660 crore in the first half is down to 537 crore, I think you mentioned. I think Amrit mentioned in the opening remarks. So, I am guessing this is largely the equity movement. So, just, Yes, these three questions.

Amrit Singh: Thanks, Madhukar . I will go last question backwards. You are absolutely right. The movement down from H1 to 9 months on economic variance is largely due to equity. There is no other reason to that. The strain actually is because of unit -linked designs, because of new surrender regulations, also because of some allocation movements that actually happen . So, those are effectively the reasons for strain. And strain is coming, large part of the strain is coming because of unit -linked designs growing and increasing at a much faster pace. Where will the growth come? I thin k!

Madhukar Ladha: Just a follow -up. Wouldn't non -PAR design cause a higher strain initially or does sort of ULIP cause a higher strain?

Amrit Singh: So, in our case, the y are fairly similarish is, I would say, ULIPs are slightly higher than the savings design of non -PAR. Protection, obviously, is higher strain. Annuity is higher strain, but the ULIPs are slightly higher than the savings part of the design. And that has caused the additional stra in that you are seeing in the numbers that you are attributing to.

Madhukar Ladha: Understood.

Amrit Singh: From a growth perspective, I think the strategy, even though, you know, as we conclude our planning, long -range planning process, we have just initiated that process. And when we come and meet you next time, we will provide you more specific details around some of those things. But I think, needless to say, there is no shift in our overall thinking with respect to our priorities . So, our priority will remain to continue, keep accelerating our proprietary channel growth rates. And when I say proprietary, it will come from our
Page 21 of 21

online business, will come from our agency business, and it will come from our direct selling business. Each of the businesses has their own nuanced strategy elements to how the growth will be built upon.

Agency, the focus will be on expansion. We still continue with respect to our size and scale, you know, a fifth or a sixth player in the industry. And there is more opportunity and room for us to keep adding on and augmenting capacity in our agency channel as well.

The direct selling team actually is doing quite well. It's a team which is a cross - sell, up -sell team, and there is , more and more avenues always available as the business book builds up . So, it will continue to remain focus ed on that. In banks, the core banks both at Axis and YES, I think we will mirror the growth of how the bank s will grow, hoping to keep counter share intact.

And that's

what we have done over the last many years now.

Additionally, there are new and new partners that we have added, as you would have seen. And all of those partners as where we scale and their annual run rates start coming to business, that will help us from a growth perspective. Without getting into some specific numbers, I think we will only reiterate that we will continue to grow faster than the market growth rate. From a total market growth rate, 300 to 500 basis points is always what we target. And that's where the focus will remain.

On margin fronts, it's a tactical period of where we kind of came across surrender regulations, etc. But over long horizons, we do see , you know, 25% margin profile is what we will try to target and try to be at.

Madhukar Ladha: Understood. This is very helpful.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Amrit Singh: Thank you , everyone , for joining our earnings call , and we look forward to more such interactions. Have a good day.

Prashant Tripathy: Thank you very much. Have a nice day.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: May 2025

May 19, 2025

BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 021 National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex,
Bandra (East)
Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Dear Sir/Madam,

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on May 14, 2025 , post declaration of audited Financial Results of the Company for the quarter and financial year ended March 31, 2025 , is enclosed.

The same has also been uploaded on the website of the Company at

<https://maxfinancialservices.com/static/uploads/financials/q4fy25 -earnings -call-transcript.pdf> .

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

for Max Financial Services Limited

Piyush Soni
Company Secretary & Compliance Officer

Encl: As above

Page 1 of 14

Max Financial Services Limited
Q4 & FY'25 Earnings Conference Call Transcript
May 14 , 2025

Moderator: Ladies and gentlemen, good day and welcome to Max Financial Services Limited Q4 FY '25 Earnings Conference Call.

As a reminder, all participant lines should be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishant Kumar - CFO from Max Financial Services Limited. Thank you and over to you, Mr. Kumar.

Nishant Kumar: Thank you. Good morning, everyone and thank you for joining Max Financial Earnings Call for the Quarter -Ended March 31st, 2025.

Our Results along with the Investor Presentation and Press Release have been made available on our website and stock exchanges. Joining me today are Mr. Prashant Tripathy - Managing Director and CEO; Mr. Amrit Singh - Chief Financial Officer and Mr. Sumit Madan - Chief Distribution Officer of Axis Max Life Insurance. I will now request Prashant to walk us through the key developments and insights for FY '25.

Prashant Tripathy: Thank you, Nishant, and warm welcome to all of you.

As you all know, FY '25 was marked by substantial product regulatory changes and market volatility that challenged many players across the life insurance industry. But I am very proud to say that despite all these headwinds, Axis Max Life Insurance

remained resilient and emerged stronger, regaining our rank number 4 for the full year and more importantly, achieving rank number 3 for the second half of the year as well as Quarter 4. Following the implementation of new surrender regulations, our agility, strong distribution capabilities, disciplined execution and unwavering customer focus enabled us to adapt and continue delivering consistent growth and value.

Let me now take you through the key developments across 3 or 4 parameters that I always do, which are the strategic areas for the year.

Page 2 of 14

Sustainable and Predictable Growth :

In FY '25, our Individual adjusted first year premium grew by 20%, surpassing private sector growth of 15% and overall industry growth of 10%. On a 2-year CAGR basis, we delivered 18% growth, significantly ahead of the 12% CAGR for the private sector and 8 % for the total industry. Notably, this also marks the fastest growth among the top 10 private insurers over the past 2 years.

Our Prop Channels have been key drivers of these 2 years growing by 27% with e-commerce maintaining its leadership position across the Protection and Savings segment. Our Bancassurance channels delivered steady growth of 12% despite headwinds of open architecture.

Back in FY '22, we had outlined our aspirations for FY '26. Internally, we call that mission "Uday" with clear objectives of becoming leaders in online acquisition, growing Prop Channels, leadership in Protection and Annuity and adding more distribution partners. I am proud to say that we have performed well and are on track to achieve these ambitious targets or be very close to them while navigating all the external challenges.

You may want to refer to Slide no.16 of the presentation for very detailed progress and you will notice that across all these vectors, we are marching ahead very confidently and tracking close to the plan that we had laid out or the ambitions that we had laid out for ourselves. We have continued to add new partners and have added 44 new partners across Retail and Group channels in FY '25. Overall, these partnerships and our direct expansion with new offices provide deeper penetration into Tier -2 and Tier -3 cities, which will add impetus to our growth in the medium term.

Product Innovation to Drive Margins :

Axis Max Life remains committed to leading in product innovation with a clear focus on stakeholder value creation, be it customers, employees, partners, investors and communities. In FY '25, we rolled out 80 product interventions and this is a large number predominantly because we had to pretty much change all the products in view of the surrender guidelines.

In Quarter 4, we actually launched 2 very innovative new product propositions:

1. STAR ULIP combining life coverage with market-linked returns which offers high sum assured multiples and flexible add-ons such as accidental disability coverage plus diverse investment strategies.
2. The second one was smart-term plan plus featuring and auto rebalancing life cover, maternity benefits for women and the lifeline plus option providing top up cover in case of the spouse's demise with 7 flexible variants it meets diverse Protection needs.

Together with SEWA 2.0 which is our "Flagship Health Product" introduced in Quarter 3, these launches helped grow our Protection business by 35% in FY '25 and Individual New business sum assured by 31% maintaining rank #3.

Additionally, from the presentation, you will notice that we with a lot of agility added riders, and our rider APE grew by 300%, contributing significantly to our margin performance, cushioning the impact of surrender regulations.

Page 3 of 14

Anticipating a question that might come our way in terms of the impact of surrender guidelines on the overall margins, I am very happy to share with you that the overall impact because of these actions that we took have quite substantially reduced and in my expectations there will be less than 50 basis points for Quarter 4. As a result, Quarter 4 margin stood at 28.1% despite the higher share of ULIP. And you will notice that the business actually took various steps to work on margins as we had communicated earlier and it is only marginally lower than last year's margin of 28.6 % despite having high ULIPs. And for the full year, margins were 24%. We had communicated a range of 23 -24%. I am very happy to share that we are on the outer range of the expectations that we had set for ourselves. Thou

gh the margins are

lower by 250 basis points compared to last year, it is primarily due to a lower

proportion of non -PAR and higher proportion of ULIPs in our product mix. Our ULIP is 44% versus 36% last year.

If we had not taken the actions of increasing the penetration of riders or our action on Protection as well as Health, the impact would have been more so by taking this quick actions to a great extent, we were able to negate the impact of product categories which inherently have lower margins.

To rebalance our product mix, we are set to launch many interesting product innovations in FY '26, one of which is our recently launched non-PAR Savings Proposition Smart Buy. This product provides options such as multiple premium payment terms and policy term combinations, the choice between an early wealth variant and a long -term income variant, flexible income benefits and the option to accumulate survival benefits, policy continuance benefits and settlement periods death benefits.

I am very happy to also share with you that as we start the New Year, we are seeing the product mix getting rebalanced and we are very satisfied with the progress that we are making towards our commitment to have a balanced product mix having ULIP proportion which is acceptable in the acceptable range as well as increase in traditional, especially non -PAR design.

Customer -Centric Approach :

Axis Max Life Insurance has made significant strides in customer centric metrics underscoring its unwavering commitment to customer satisfaction and retention. We are pleased to announce that for the third consecutive year, we have retained rank 2 in customer satisfaction as for as syndicated NPS study by Hansa Research and we have also consolidated our position as rank 2, just one point behind rank 1. Our brand strength continues to show notable improvements with 7% increase in our brand consideration scores. We also maintained our rank 3 in brand search queries consistently rising throughout FY '25, even as the industry experienced a decline in Quarter 4 of FY '25.

You may also recall that we had rebranded ourselves from Max Life Insurance to Axis Max Life Insurance. We did measure our brand awareness and brand consideration scores before the exercise and after the exercise in the month of March. I am very happy to share that across all vectors of awareness and consideration, we have seen a jump which is beyond the expectations that we had, and I am very happy that this particular exercise bearing fruits as per the anticipation that we had with the rebranding exercise.

Furthermore, we achieved 6-point increase in our Net Promoter Scores which rose from 56 -62 in March '25 versus March '24. This improvement is reflected across both

Touchpoint NPS and Relationship NPS indicating strong customer sentiments and the success of our customer engagement strategy.

Additionally, we reached an all -time high in regular pay premium 13th month persistency which increased by about 100 basis points from 86.6 -87.6%. We saw a remarkable increase in the 25th month's persistency which saw an increase of 380 basis points, rising from about 70 -74%.

In terms of NOP, Axis Max Life Insurance has emerged as the industry leader in 25th month persistency ranking in the top 2 across all cohorts according to the 9 months disclosure.

Finally, Axis Max Life has made considerable progress in improving grievance handling with GIR now reducing to 38 in FY '25, down from 44 in FY '24.

Digitization for Operational Efficiency :

Axis Max Life Insurance has made substantial progress in enhancing its digital capabilities during FY '24 -25 with a focus on operational efficiency, customer experience and business growth. Key initiatives include the launch of mSpace, a super app that aims to streamline the insurance sales process by providing our frontline staff with easy access to policy information custom

er data and performance

analytics with a long -term view of integrating training, intelligent nudges and a backend powered by Generative AI, thereby improving productivity and customer engagement.

We as management of Axis Max Life Insurance have strong conviction in this particular digital design for our sales staff, which has the potential to substantially increase productivity in our field force. In the agency, we have achieved 90% adoption already for supervisor roles and 100% adoption for the direct sales force and these are two channels where it has been launched. Eventually, by the end of this year, it will be launched across all channels.

To further improve customer experience, the scheduled callback feature on

WhatsApp led to a 100 basis points increase in our NPS. Additionally, Axis Max Life upgraded its core systems, facilitating same day claim settlements, enhancing operational efficiency and system availability. We also introduced innovative solutions like mPulse Medical Vital Face Scan, a tool for Health Assessment for Non-Invasive Underwriting which has further advanced our digital underwriting particularly for NRI customers.

By leveraging AI, we have launched products that enable in-journey financial underwriting decision making, utilizing alternative data such as CIBIL, PAYU, and bank statements for income estimation. Furthermore, our risk analytics engine, including tools like Shield, MediCheck and GoVern have helped identify and mitigate potential claim risk exceeding about Rs. 1,500 crores in FY '25. All these tools are developed within Axis Max Life Insurance, really showing the strength of the business analytics team at Axis Max Life Insurance.

To bolster employee engagement, we introduced the ELY People Engagement platform 14.04 powered by Gen AI to proactively engage with employees, assess sentiments, predict attrition and deliver personalized HR support. Collectively, these initiatives have strengthened Axis Max Life's digital infrastructure driving enhanced efficiency, greater customer and employee satisfaction and reinforcing our competitive edge in the market. Looking at the business from people's lens, I feel very proud to share that last year we stood rank 28 on great place to work survey.

Page 5 of 14

We were also rated for being top 100 for 10 years with special recognition as well as we are rated top 50 for women, millennials and top company for ESG and CSR. That really powers all the success that we are seeing because people are our biggest strength.

In summary ,

Geopolitical developments continue to influence market dynamics, rising uncertainty around global conflicts and trade policies may impact growth across the sector. Nevertheless, given the strong performance we have delivered in the year coupled with our current momentum give us great confidence to remain ahead of the industry and drive sustained value for all the stakeholders.

I am going to hand it over to Amrit – our CFO who will provide an update on our financial performance.

Amrit Singh: Thank you, Prashant, and good morning, everyone.

Quickly, some update on key financial metrics, though most of them you will find in the Investor Deck as well:

- The MFSL at our consolidated revenue excluding investment income stands at Rs. 32,620 crore, a growth of 12% in FY '25

Consolidated PAT stands at Rs. 403 crore.

- For Axis Max Life, renewal premiums have grown by 14% to reach Rs. 21,049 crore and gross premiums have grown by 13% to Rs. 33,223 crore.

- The value of new business written over the period stands at Rs. 2,107 crore for FY '25 at NBM of 24% and the VNB growth during the year has been 7%.

- Embedded value as we end 31st March 2025 is now Rs. 25,192 crore . It is an annualized total return on EV of 29%, though the annualized operating RoEV, which reflects the health of the business, stands at 19.1%, which also includes the marginally positive

operating variance of Rs. 5 crore and a positive non-operating variance of Rs. 356 crore, arising both from debt and equity.

Embedded value results have been reviewed this time by Willis Towers Watson and the certificate for that effect has also been published along with our results.

- Policyholder OPEX to GWP stands at 13.6% and total cost to GWP at 23.1%. Policyholder OPEX has grown at the rate of 11% for FY '25.

- Axis Max Life 12-month FY '25 profit before tax was Rs. 448 crore, a growth of 20%.

- Also during the quarter, we raised Rs. 500 crore of subordinate debt with a

credit rating of AA+ and as a result, as we have ended the year, our solvency stands at 201%, up from 172% last March.

- Overall assets under management are around about Rs. 1.75 lakh crore, a growth of 16%.

Page 6 of 14

So we will be now happy to take any questions that you may have and I will hand over to the moderator to open the floor for questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes on the line of Avinash Singh with Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Good morning. Thanks for the opportunity. Very strong set of numbers. Couple of questions. The first one is more, if I see the growth in April, I mean your growth is very impressive, so can you and that is a bit of I would say or not in line with industry that is better struggling for growth. So what is driving this growth in this current year, this month, more into Protection or it is a kind of a balance across products. And in that backdrop, how do you see the growth in this FY '26 and margins, would you be kind of guiding for FY '26 margin by and large stable or sort of an improvement, so that some sort of growth and margin guidance in FY '26 and what is driving currently your growth? That is one. Second question again, I am not sure that I am going to get answered yet. So on this regulatory noise, of course, this regulated sector is never free from regulatory changes, but over the last, I would say a year or so, the frequency of noise is too much, and now once again, time and again this, the new noise around bancassurance is coming. So as a participant in this industry are sort of you kind of a part of any formal discussions in the past or informal discussion in past that you have heard anything that is kind of a currently being debated around this bancassurance as well? So these are my two questions. Thank you.

Prashant Tripathy: Thank you, Avinashji, and thank you for asking these questions. My day actually began by reading your report on April, and I am not surprised you asked this question because you have written about Axis Max Life Insurance's performance. Yes, I was very pleased with how April went. We grew close 24% as against private growth of around 2%. So that is a good upside. And to answer your question, it is across all lines of business, across all channels, for example, even our agency clocked good results versus competition and there would be a delta of 20% even in agency performance in my sense. So it was a good month as far as we are concerned. But I would just like to underscore that April is generally the smallest month of the year and hence we shouldn't read too much into the performance. Of course, the desire of Axis Max Life Insurance is to continue the momentum that we have seen in last 2 years and continue to work hard. We have made efforts to rebalance our product mix and hence the ULIP mix that you saw for the full year of last year should come down and of course, April was directionally moving in that trajectory.

Coming to the guidance, it is really giving absolute guidance is not the best idea. However, I will peg ourselves to where the industry moves. One would desire to maintain at least 300 -400 basis points upside versus how the private industry grows and just going by y

our data only. You talk about 13% -14% growth of private industry.

So I think you should add 300 basis points more to that. That will be at least the aspiration with which we will operate. On margins, we finished 24% and I have been repeatedly saying that we should be in a number which is slightly higher than that. But at the same time, we are not aspiring to have phenomenally higher margins at the cost of growth. So the way we are going to maneuver this year is to try NP in the range of 24% -25% and try to grow faster than the industry. That will be the desire. Coming to question no.2, the regulatory noise, I confirm that basis all the meetings that we have had and have been a part of some, I have not heard any formal communication about any changes in Bancassurance. I know there are many people or there are many sound bites that keep coming, but I have not officially got any sense from any sources about where is it coming from or is there anything coming or not? On the contrary, some of the sound bites that I have heard actually confirm that the expected regulatory posture should be consistent should not be changing a

Page 7 of 14

lot so that it gives more and more confidence to industry players, customers as well as investors. So for the time being, my suggestion and request will be we don't give much heed to these sound bites that keep coming. Thank you.

Avinash Singh: Thank you.

Moderator: Thank you. Next question comes from the line of Manas Agrawal with Sanford C Bernstein. Please go ahead.

Manas Agrawal: Couple of questions, sir. One, I think all players in the private space have been able to attach riders in this year, want to understand what has really changed and why is it working now versus not 3 years ago and why it should work in the next 3 years?

That is part 1. Second is, you talked about the rebranding helping in building up the brand. Have we started to take any action on pricing to reflect brand strength? And just one more piece on timelines for reverse merger? That will be the questions.

Prashant Tripathy: The first question is more evolutionary, Manas to be honest, if you went back 10 years, the industry didn't sell Protection either. Now it sells a lot of Protection. Maybe 10 years ago, there were not many people selling annuities, but now many people do sell. So I think it is a part of General evolution, and I must also say that as competitive forces as well as regulatory forces put pressure on ability to generate margins, the industry is definitely looking for product categories, which could potentially create more margins. So the same applies to us. However, I must also highlight that it is also a question of execution. While everybody wants to sell or attach riders, to what extent one is able to attach is a question of execution, understanding and flexibility in the processes to do that. And I am very happy and proud that we have been able to do. The customers are also evolving and seeking more and more value and that is something which we can't ignore. As customer is becoming aware, customer is looking for value, customer is looking for unmet needs or products which could satisfy their unmet needs and I must highlight that all these categories, Protection, riders, Health as well as annuities address those needs which have pretty much remained quite unmet over last maybe 20 -30 years. So that is the reason why the industry is moving in that direction.

Have we taken any pricing action to reflect brand strengths? The answer is no. We will like to create our brand strength in Tier -2 and Tier -3 cities. In terms of pricing, we are competitive. I wouldn't say we are the best or we are the worst, we are somewhere in the middle and that really augurs well with what we are trying to drive. Also, it has been only 4 months that the brand got added. I would ideally give it about a year's time to see the full provision and benefit of brand

strength and then we will

consider any decisions about changing the pricing if required.

The timeline or reverse merger, I must highlight to you, and you would have seen our Board message to Stock Exchanges, we are very desirous to do the reverse merger. However, we are just waiting for clarity. I think we are hoping that the clarity would have come from the change in the act which is expected or which was expected or is expected during monsoon session, which will pave the path for reverse merger in our case giving relief on section 35 and being listed organization, Max Financial Services, we want to keep all the stakeholders along as we do that, so hopefully, when it comes and I am quite hopeful that it will come in the month of August -September timeframe. We will immediately begin the exercise.

Manas Agrawal: Thank you, sir.

Prashant Tripathy: Thank you, Manas.

Page 8 of 14

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.

Shreya Shivani: Hi, thank you for the opportunity and congratulations on a good set of numbers. Just on the harping on the reverse merger, just one question that I had that another company which had won the case against IRDAI in NCLAT, ideally one would have expected that that should also have paved the path for you, has there been any discussion post that you have had with the regulator? That is my first question on the reverse merger bit and second is on the EV walk. Can you help us understand the operating variance that we have of 0.05 billion, how much of it is, can you give a breakup between how much was there in persistency or how much was there, across the different line items that we have within the operating variance, those are my 2 questions. Thank you?

Prashant Tripathy: I will take the first question, and I would request somebody to take the second one.

On the reverse merger, your observation is right. Of course, there is some decision, however, I must highlight at this point of time that we reviewed the performance of our company with respect to the company which actually went through that process. We are a listed organization. There are multiple regulators involved, and we do want to make sure that we keep all the stakeholders along and hence our decision is to wait for the act to change. Of course, that path is available, and if there are significant delays in the change through act that comes our way, we will definitely consider that, because we are just talking for about 2 or 3 months, it is our decision internally to wait for the act change to happen before we begin this exercise. So right now, all the options are available. We will consider when the time comes. Over to you, Amrit for

the second.

Amrit Singh: On operating variants, there is Rs. 5 crore positive. And as practice, we do our assumptions, recalibrations and also the experience variants etc., and we have done our assumption recalibration. So there isn't like a material positive or material negative there. It has been largely in line. With respect to variants, there are some positives on the mortality and expense side and some marginal negative on the persistency and lapse side. So that is where I will leave it at.

Shreya Shivani: That is very useful. Thank you so much.

Moderator: Thank you. Next question comes from the line of Supratim Datta with Ambit. Please go ahead.

Supratim Datta: Thanks for the opportunity. My first question is on the Bancassurance channel. Could you give us this split of what is the contribution from Axis Bank during this quarter and what has been the performance there because we have seen that the growth in this channel has slowed in the 4th quarter versus the 3rd quarter, so just wanted to understand, despite the synergies, why is the growth slowing and what are you doing to improve growth there? That is my first question. The second one was on the slide wher

e you layout some of your aspirations, slide 16. Now, if I look at your expectation from the Protection of business that suggests that you are building in a 25% CAGR over the next 5 years. Now, I just wanted to understand, what do you think will drive 25% growth in Protection business because this business has seen a bit of volatility growth being subdued, then coming back and then again being subdued. So it has been a bit volatile. So just wanted to understand why do you expect growth here to grow 3x at the bottom end in the next 5 years? That is my second question. Thank you.

Prashant Tripathy: So I am requesting Amrit to take the first one and then I will take the second one.

Page 9 of 14

Amrit Singh: Supratim, the Axis Bank growth for Quarter 4 was around 7% and the full year number as we shared is around 10%. And this slowdown actually you would have seen all across. In Quarter 4, the growth not just for us, but even from an industry perspective did moderate and we grew at around 11% for Quarter 4 on an adjusted FYP basis. Wherein even Axis at 7%, I would say it is kind of mirroring the broader trend across all channels with respect to the growth slowdown that was witnessed.

Prashant Tripathy: Yes, but we are very satisfied with the progress that we are making in the banca space or partnership space. At Axis Bank, you would have noticed that our counter share remains stable at around 66% when on Yes Bank the counter was about 54%. So we are making good progress. It is the fact that in the second -half of the year, the industry growth actually slowed down, in the first half of the year, the industry grew substantially better than in the second -half. If I remember correctly, private industry grew 21% in the first half and only about 8% or 9% in the second -half. So there was a reduction and that was across all channels including banker channels. At a total level, our Banca contributes now about 55% -56%, of that absolute 48% is from Axis Bank and it remains a solid number and we are very hopeful that with the relationship that we have with Axis Bank, they are being our largest distributor as well as promoter and the kind of discussions that we have engaged in terms of planning for FY '26, very optimistic about the outcomes, not just on sales growth, but also on margin growth. Coming to the slide on Protection growth of 25%, I will just refer back to the analysis that we perform every year, which is called India Protection Quotient. We go to 25 top cities and great representation from Metros -1 and Tier -2 and ask people about questions on their Protection ownership and that ownership is only 34% versus an overall ownership, life insurance ownership of close to 78%, so significantly lower ownership of Protection and when we dig deeper and ask people questions saying are you happy with the level of Protection or is it good enough for you in the circumstances that something wrong happens to you, is it good enough for your family to manage about half of them say no, which means the real penetration in top 25 cities in the Sec A & B category is only 17% -18%. That is a very small number. So our firm belief is that Protection in form of either pure Protection or Health or rider is an area which is under -penetrated, and it will continue to grow. If you were to look at our growth over the last 4 -5 years, very happy to share with you that we have seen growth of this kind. So it is not unusual and hence our belief in Protection as a category remains. By the way, we have called that out as one of the top areas of strategy for Axis Max Life Insurance. We also firmly believe that the largest purpose that life insurance companies serve is to provide Protection and hence you will notice that our sum assured growth, 31% last year and while our market share may be lower on the total sales basis, but on sum assured basis, our market share is substantially high.

We, in fact are number 3 player for last many quarters.

Amrit Singh: And also I think just on the aspirational chart that was put out, that was somewhere in FY '21 that we kind of gave out 5 -year aspirations. The reality is that obviously, we couldn't have envisaged COVID and associated impact. So there was a period of time of tightening of demand which affected growth in FY '22 -23, but as we look forward, even in this particular year, we have grown Healthy at 35% levels in Protection, and we are quite confident that we will keep marching forward on this.

Supratim Datta: Got it. And I have just one follow up on the first question and the answer that you gave, you are expecting that margins to improve in the Banca channel. So just wanted to understand what would be driving that? Is it that you are looking at a product mix change in that channel or is there something else that you are focusing on?

Amrit Singh: Yes. I think you are absolutely right. It is the mix of product mix as we are under seeing the volatility, which is affecting ULIP, the traditional products are becoming

Page 10 of 14

more in favor and some of the trend as Prashant kind of mentioned in his opening remarks are even evident in the months that you just started for FY '26.

Supratim Datta: Thank you, sir.

Moderator: Thank you. Next question comes from the line of Madhukar Ladha with Nuvama Wealth Management Limited. Please go ahead.

Madhukar Ladha: Hi, good morning. Thank you for taking my question. First on the Axis Bank channel, not only about the last quarter, so last quarter I think across the channels there has been a little bit of a slower growth number, but even if we look at the number over the last couple of years, the growth is about 10% last year and before that, I think one of their other partners was growing in that channel. So there were some challenges as a result of that. But even after that, growth from that channel continues to be just about 10%. While you maintain your counter share, but I would have expected the channel to grow faster, so what is really troubling that and in your plans, then how do you see FY '26 panning out in terms of Axis Bank channel in particular, what sort of growth can we expect over there? So that would be my first question. Second question, on the surrender value changes, so what has happened is that these were implemented in the second -half, so there is only sort of half a year's impact. So my question is, how should we think about it in terms of FY '26, would there still be sort of more impact left to come through in this year and just 50 basis points is on a blended basis, but on an overall product portfolio of traditional products, what would be the margin decline over there as a result of this, if you could help me understand and provide some clarity on how should we think about this? Thanks.

Prashant Tripathy: Thank you, Madhukar. As always, very sharp questions. Thank you for asking the very important ones. Let me first answer the Axis Bank question. Yes, it is a fact that last year, we grew 9%. This year, we have grown 10%. Our growth pretty much mirrors the growth at the bank level and this is not only for Axis Bank, overall Banca as a channel has not been growing significantly faster and most of the players have had faster growth coming from their Prop Channels. And the reason for that is quite evident to everybody. Over the last couple of years, banks have focused on building their deposits, which were under stress and that has been the reason why some of the effect on Life Insurance sales has come up. Axis Bank is a very large bank partner, so they do close to about Rs. 4,000 crore of sales for us. So there is a large base effect also that we need to be aware of. If I were to look at last 5 years growth number from Axis Bank, it is there in our presentation, it is about 12%. So as we move forward, we have had series of discussions

with the bank, senior officials as

well as people who handle this area of business and we are very optimistic that we will be able to pick up from here, very aware that the Axis Bank growth is going to be instrumental in realizing the overall potential that Max Life Insurance has and the aspirations that we want to achieve. However, we will not really guide you to a 20% kind of growth number, but definitely more closer to the range of 13% -14% which is our expectation. If anything extra comes, we will be quite delighted with that. So in our plan, whenever we talk about guidance of numbers etc., there is no discontinuous assumption on Axis Bank sales from where we have been in the last 5 years on a CAGR basis. But I am going to just invite Sumit Madan who leads entire distribution to talk about some of the initiatives that we have taken in Axis Bank which gives us confidence that we will be more towards 14% -15% than 10% -11%.

Sumit Madan: Sure, thank you, Prashant. Madhukar, I think just to add to what Prashant said, there is an increased focus across all channels of Axis now in this financial year. There is a specific layer laid out strategy in some of the other businesses like assets, emerging verticals, so on and so forth. I think that should add some kind of fill -up to

this greater than 10% of a number that Prashant highlighted. There is also realization from a customer need analysis, insurance and specifically we spoke about Protection
Page 11 of 14

also is becoming a key part of their portfolio. I think it is a combination of these strategies which should give us a further push as far as the growth of 10% for the last 2 years is concerned.

Prashant Tripathy: Thank you, Sumit. Talking about the surrender value question that you asked, the issue impact of whatever I spoke less than 50 basis points, I am going to invite Amrit Singh to give us, maybe the item, but I must call out that H2 generally does about 60%-65% of the sales. So it is not equal, and I wish I knew the number. In my business, I don't even look at what is the net impact of surrender value. Generally, the way management works is if you have a negative impact, you deploy mechanisms to actually course correct and in our mind that is to grow faster, to have the leverage, advantage, to drive product mixes which are of a superior category, to look at variants in the products which deliver higher margin. So when I say the impact is less than 50 basis points, it was on a net basis. That is the number I know. I don't know the gross number which is coming from if you know

Amrit Singh: Yes, Madhukar, I just want to confirm to you that sequentially, Quarter 3 to Quarter 4 movements in this particular Financial Year. We were impacted in Quarter 3, but a series of actions were taken in Quarter 4, which included changing variants, some tactics around riders, some pricing actions, some design constructs being tweaked and being changed actually, and we have almost neutralized the entire effect actually in Quarter 4 as what you witnessed in Quarter 3. So as in the run rates of products and their margin profiles, as we move forward, we don't really see anything coming in FY '26 for us.

Madhukar Ladha: Understood. That helps a lot. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Nidhesh Jain with Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity and congratulations for the good set of numbers. Sir, firstly, if you look at the growth in this year, we have done extremely well in the e-commerce channel. So what is driving the growth in that channel and how sustainable do you think that growth rate that we are putting out in that channel is there?

Prashant Tripathy: Yes, we feel very proud of our achievement in the e-commerce channel and for last many years, the growth will be more than 50% CAGR. Before FY '24 or around FY '24, we were the largest

player in the Protection area and we have been no. 1 in

Protection on e-commerce for many years, actually. However, we realized that just being Protection, we are not playing in a very quickly rising Savings area and we started to participate in the Savings area and some of the new things that you saw around in dex-linked fund designs, etc., have been instrumental. But for more details, I am just going to invite my colleague, Sumit Madan to talk about.

Sumit Madan: Yes. I think specifically on the e-com channel, 1) we are very it is a crowning glory for us; we have been very proud of the channel. The way we work on both, data and the integration, I think those have been the key differentiators for us. The way data drives numbers for us in the e-com channel, I think we are slightly superior from that perspective. 2) I think there is a lot of segment focus that we have been able to bring in as far as the e-com channel is concerned. So there are the specific strategies as far as self-employed or let us say the HNIs or the Gen Z or the younger population is concerned. Similarly, for example, like Prashant earlier also highlighted, products are also being designed and the offtake of these products, especially the segmented products have been exceptionally good for us. I think the organization is very nimble, very agile as far as some of the thinking around e-com is concerned and I think that
Page 12 of 14

has kept us in the leading spot in this business, which I am sure will continue to be the case.

Prashant Tripathy: Yes, but just to summarize, I think presence in a very innovative way in the Savings area, especially ULIP and index-linked, which we were the innovators and first ones to come up with has been the core reason of our growth. Of course, the base effect is going to kick in, which we are hugely aware of. So I wouldn't quite guide that next year also, we are going to grow like 60% but yes that has been a big driver, of course.

Nidhesh Jain: And sir, what percentage of e-commerce business is coming from our own website, of the Rs. 1,000 crore premium?

Amrit Singh: Yes. So I think from customers that have kind of come to us, around 40% of those customers have come from our own efforts and 60% from aggregators. But when you kind of break it into sales, the number kind of comes down to 30-70 kind of a

ratio. And again, we are over indexing Protection there and under-indexed in Savings from a direct perspective in that channel.

Nidhesh Jain: Secondly, in the other Bancassurance partnership also we have done reasonably well. So earlier, we were largely dependent on Yes bank, so how is the diversification in the other Bancassurance partnership, what is the share of largest bank in this Rs. 54 crores of premium for FY '25?

Sumit Madan: Yes, I think the other bank story has been exceptionally good for us. So in some of the new partnership that we have been able to be a part of one, it is important to be present across some various banks. But I think the tougher task obviously is to make your presence felt in most of the new bank partnerships, whether it is TMB, SIB, DCB, so on and so forth. We are actually among the top 2, top 3 players in terms of our counter share. And again, I think this has mainly been led by some excellent team we have on the ground coupled with some of the great product innovation we have been able to have. One of the things which actually make a difference on the ground is actually a very strong distribution capability center, which is the entire training hub. We have been doing a lot of training, not only for the internal teams, so that many of the banks, given our strength around DCC has also invited us to arrange some training program for their SP's. So I think it is a combination of all and like you rightly mentioned, the new banks, the contribution for us is actually on an upward swing.

Prashant Tripathy: One

of the ways I measure our performance also, Nidhesh, is of the new initiatives that we have taken in Prop channel or building new businesses or acquiring new banks, etc., how much of that as a percentage of total sales is. And I am very happy to share that we generally shoot for about 10% number and we were actually 11% last year. So, everything that we have done in building new channels, Prop, within Prop, within DSF, within new banks, GCL all put together, they are around 10% -11% of last year, number one. Number two, the business development engine has been working really well, like we highlighted to you, we acquired 44 new partners, three of them are banks. So I am very hopeful that as we go long, we will not be impacted by the base effect of same banks. We will have new banks to work on and hence this will continue to remain a growth area for us for multiple years to come.

Nidhesh Jain: And lastly, if you can break the non-operating variants in terms of equity and debt?

Prashant Tripathy: Yes, I am asking Amrit actually to share those numbers.

Page 13 of 14

Amrit Singh: So in the non-operating variants, there is a negative of around Rs. 41 crore because of the brand, onetime brand change that we did. There is a positive of Rs. 219 crore around equities and debt around Rs. 170 crores.

Nidhesh Jain: That is it from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Shreya Shivani with CLSA. Please go ahead.

Shreya Shivani: Hi, thank you for the follow up question. Sir, just wanted to clarify, on your dividend strategy, you had mentioned 1 or 2 years back that you will not be paying out dividends. So this strategy does not change till Axis Max Life gets listed. Is that a correct understanding? And second is on the persistency, so I know Y-o-Y trend, you have shown us whatever trends have been there. However the formula for calculating the persistency seems to have changed, it changes from the regulator. Just for my understanding how regularly does this happen? And I believe this will be for the entire industry, right?

Prashant Tripathy: So maybe, I will take the first one and Amrit could take the second. Our dividend strategy will remain firm; we actually need a lot of capital. So as we go along, we will need capital for growth and hence paying out dividend at this point of time is not recommended because the business is actually going to ask shareholders to give capital. The other one is, you might know that for many years, actually we declared dividend for the purpose which is quite well known to all of you. So we like to preserve it and have the positive impact on our embedded value as we go along. On persistency formula, Amrit, do you want to just?

Amrit Singh: Yes, so this does not happen very frequently actually. In FY '24, there was a specific guidance which the regulator kind of provided around full year persistency disclosures to be undertaken. And if I see in the last 10 years, it has happened in FY '10, FY '14 and FY '24, I think 3 times, so it is not like a periodic phenomena, but they did change it in this financial year and to that effect we have restated both the current year and the previous numbers to make it comparable and in line with what the regulation now ask us to do.

Shreya Shivani: Yes. Great. That answers. Thank you so much.

Moderator: Thank you. Next question comes from the line of Mohit Mangal with Centrum. Please

go ahead.

Mohit Mangal: Thanks for the opportunity. I was looking at slide 39 of your presentation deck and basically, I was looking at the case size. So what was a little surprising is that ULIP has actually declined and so is Annuity. Can you just specify the reasons for that?

Amrit Singh: So Annuity is a bit of a shift from single premium business to regular premium business and that also is an underlying reason why you see a weak Annuity numbers that you have reported.

Though on regular premium, actually the growth has been very robust. On ULIP, it is a bit of a choice of customer segments and where you are kind of going and you would have also noticed that in proprietary channels and especially in e-commerce and we spoke of the focus towards Savings products in e-commerce, the ticket size typically which is originated on ULIP is actually much lower than what the offline channels typically originated.

Mohit Mangal: Fine, that is helpful. Second is, in terms of number of policies, while I understand the non-PAR was not kind of a flavor in Financial Year '25 and we saw decline from 1,97,000 -1,80,000 odd. But going forward, now that maybe ULIP may not grow as

Page 14 of 14

fast as maybe other segments, so can we assume that the number of policies in the non-PAR Savings should increase?

Prashant Tripathy: Yes, that will be a good assumption to make.

Mohit Mangal: Thanks and wish you all the best.

Prashant Tripathy: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of the question-and-answer session. I would now like to hand the conference over to Nishant Kumar for closing comments.

Nishant Kumar: Thank you everyone for being part of Max Financial Earning Call. We look forward to more such interactions in the future. Thank you once again. Have a good day.

Prashant Tripathy: Thank you.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Disclaimer: This is a transcription and may contain errors. While the transcript has been edited for clarity and efforts have been made to ensure a high level of accuracy, the Company assumes no responsibility for any errors.

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August 14, 2025

BSE Limited

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Dalal Street

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Bandra (East)

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Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on August 8, 2025, post declaration of unaudited Financial Results of the Company for the quarter ended June 30, 2025, is enclosed.

The same has also been uploaded on the website of the Company at <https://maxfinancialservices.com/static/uploads/financials/earnings-call-transcript-q1fy26.pdf>.

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

For Max Financial Services Limited

Piyush Soni

Company Secretary & Compliance Officer

Encl: as above

Page 1 of 12

Max Financial Services Limited

Q1 FY '26 Earnings Conference Call

August 08, 2025

Moderator: Ladies and gentlemen, good day, and welcome to Max Financial Services Limited Q1 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone

phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amrit Singh from Max Financial Services Limited. Thank you, and over to you, sir.

Amrit Singh: Good morning, everyone. Thank you for joining our call today morning for the results of June 2025. We had provided our presentations on the website and also on the exchange last evening. As always, joining me today are Mr. Prashant Tripathy, Managing Director and CEO of Axis Max Life Insurance; Sumit Madan, Chief Distribution Officer of Axis Max Life Insurance; and Nishant Kumar, CFO of MFSL.

I would first invite Prashant to just walk us through the developments of the quarter.

Prashant Tripathy: Thank you, Amrit. Good morning, everyone. I'm very happy to share that following a remarkable FY'25, we have carried forward our strong growth momentum into quarter 1 of FY'26 also delivering healthy growth while balancing the needs of our customers, partners, shareholders, and employees. Let me first begin by sharing a great news that we at Axis Max Life Insurance are very proud of. And that is our ranking in the Great Place to Work Institute rating methodology that happened for 2025. There were several accolades that came our way, number one and most importantly, ranked number 28 among the top 100 best companies to work for, and about 2,400 companies of India participated in that survey.

We also featured in the top 50 India's Best Workplaces, building a culture of innovation by all, and ranked among the top 25 best workplaces in BFSI 2025. I am very happy to share that for all the last 6 or 7 years that we have participated in that survey, we have ranked amongst the top 50, and we are also a laureate, which means more than 10 years being amongst the top 100 Great Places to Work. Our people continue to be at the heart of everything that we do, and these recognitions are a testament to the culture we have built together, a culture of trust, innovation, and commitment.

nt. With that, let me

walk you through the key developments across all our strategic focus areas during the quarter.

Sustainable and Predictable Growth:

In Q1FY26, our individual adjusted first-year premium grew by 23%, which is nearly 3x of the private sector growth of 8% and more than 4x of the overall industry growth of 5%. Additionally, on a Page 2 of 12

2-year CAGR basis, we delivered a robust 25% growth, significantly ahead of the 16% CAGR for the private sector and more than twice the industry growth rate of 12%.

In terms of APE, which is annualized premium equivalent, we grew at 15% in Q1FY26, driven by both Prop as well as Banca channels. Our Prop channels have consistently served as the pillar of our strong growth over an extended period.

On a 3-year basis, these channels have demonstrated APE growth of 32%, with the online channel putting a 3-year CAGR of 63% and offline channels at 24%. Continuing this trajectory in the quarter as well, our offline proprietary channels delivered a strong 18% APE. We continue to maintain leadership in the online space despite online APE remaining flat.

And that's the reason you see a delta between 23% and 15%. This is owing to a large base of ULIP sales in the last year, which also caused divergence in growth rates of APE and adjusted FYP. We have done a review of how this delta will be for the coming quarters, and I must state that it's going to plateau, and I don't expect a delta of more than 2% to 4% between the adjusted FYP and APE numbers going forward.

Our bancassurance channels APE also grew by a strong 16% in quarter 1, driven by consistent performance across partner banks and supported by the ramp-up of new relationships established over the last 2 years. The Axis Bank grew at 11%. Other banca partners collectively grew by a massive 54%. This was a result of new bank relationships that we signed up for over the last couple of years. Continuing this journey, we have added 15 new partners across retail and group channels during Q1FY26 to further strengthen our distribution network.

Product Innovation to Drive Margins:

Coming to the products, where innovation is our endeavor all the time to drive margins, Axis Max Life remains deeply committed to leading in product innovation with a clear focus on creating value for all stakeholders, including customers, employees, partners, investors, and communities. In this quarter, we have launched another innovative flagship product called Smart VIBE, offering instant income in the first-year policy, the first policy year. Key features include enhanced protection through riders and policy continuance benefit, accumulation of survival benefit and premium offsets.

This launch has helped us rebalance our product mix, reducing the share of ULIPs from 43% in quarter 1 last year to 36% this quarter. Additionally, our rider APE has surged by over 300%, contributing positively to a 36% growth in the protection segment. Our pure protection portfolio also recorded a healthy growth of 26%. Annuities and other strategic focus area grew by 40%, further strengthening our diversified product portfolio.

These developments have not only aligned with our stated strategy of maintaining a balanced product mix but have also led to a margin expansion from -17.5% margin in Q1FY25 to 20.1% in Q1FY26, resulting in an impressive 32% growth in the value of new business. Thus, our quarter 1 performance gives us good confidence, to maintain our margin guidance of 24% to 25% for FY'26 as we continue to invest in our distribution channels.

Customer -Centric Approach :

Focusing on some of the customer outcomes. We are pleased to share that Axis Max Life achieved its highest -ever individual death claim paid ratio of 99.7% in FY'25, a powerful testament to the deep trust our customers place in us and our unwavering commitment to honoring that trust when it matters.

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Page 3 of 12

the most. We continue to lead the industry in 13th -month persistency on several policy bases as per FY'25 rankings and hold the second position both 25th -month and 37th -month persistency on the same basis.

In terms of premium, 13th month persistency stood at 86% compared to 87% in quarter 1 last year, while 25th month persistency has achieved or reached its all -time high at 75%, reflecting a year -on-year improvement of close to 500 basis points. Our Net Promoter Score (NPS) , where we just transitioned from a manual means to a digital means, remained strong at 54%, up from a baseline of 52% on an apples -to-apples basis at FY'25 exit.

Touchpoint NPS improved by 2 points from 55 to 57, and relationship NPS remained at par, indicating strong customer sentiments and effectiveness of our engagement strategies. We've also made notable progress in grievance resolution with Grievance Incidence Rates (GIR) improving to 44% in Q1FY26 , down from 55% in Q1FY25 . These consistent improvements across customer trust, retention, and service excellence reinforce our strategic focus on long -term value creation and sustainable growth.

In addition, I'm very happy to share with you that, consistent with the hypothesis that we had made while rebranding ourselves from Max Life to Axis Max Life, we have seen significant improvement in our scores on consideration. Before this exercise was undertaken last year, we had a consideration score of 78, which jumped up to 83. And we are also witnessing very good momentum, especially in Tier 2, Tier 3 cities. And I'm very happy to share that we are able to sustain those scores.

So, with respect to competition, I think our overall positioning has strengthened as a result of the rebranding exercise that we undertook end of last year.

Digitization for Operational Efficiency:

Digitization is another focus area for us, and our ongoing digital journey continues to drive operational excellence, customer satisfaction, and scalable innovation across the enterprise. We recently launched the Axis Max Life app, a fully in -house developed digital platform that integrates life insurance servicing with wellness benefits, an industry first in the life insurance space.

Available on Android and iOS, the app offers seamless policy management, premium payments, online purchases, and AI -powered chatbots for both insurance and wellness support. Built on a modern tech stack, the app is deeply embedded in our ecosystem to enable real -time engagement and analytics.

We also expect app -engaged customers to show higher relationship NPS and persistency, while increased DIY servicing will drive meaningful long-term cost savings. So, to all the people who are on the call and happen to be our customers, I'll sincerely urge that you download our app and be our app engaged customers.

In Q1, we successfully completed an enterprise -wide brand refresh, aligning all digital assets, including B2B platforms, HR systems, and communication tools, and our renewed brand identity. This includes a domain and e -mail overhaul, reinforcing consistency and trust across stakeholders' touchpoints. We also implemented several key interventions to streamline policy issuance and strengthen risk management during onboarding.

Notably, eKYC adoption increased from 35% to 70%, significantly reducing manual efforts and improving turnaround times. Additionally, we enabled the final payment journey with VASBA,

Page 4 of 12

ensuring full compliance with PPHI guidelines. On the servicing front, we have launched a Gen AI -powered e -mail bot, which is expected to automate 30% of the customer service volumes and enable 20% headcount optimization, enhancing both efficiency and scalability.

Collectively, these initiatives have significantly strengthened Axis Max Life's digital backbone, enhancing

operational efficiency, elevating customer and employee satisfaction, and reinforcing our competitive advantage in the market. To summarize, we have had a strong start to the year with solid performance across all key metrics. While global geopolitical developments continue to shape market dynamics, we remain confident in our ability to deliver on our guidance and drive sustained value to all our stakeholders.

On a separate note, as you may be aware, I'm going to step down from my current role of Managing Director and CEO on 30th September. And I would like to take this opportunity to thank you for all your support, all your engagement, friendship with most of you, and communication during my career here as CFO and CEO.

Axis Max Life Insurance has always believed in distributed leadership, which is a unique thing about our organization. And as I hand over the baton to Sumit Madan, our Chief Distribution Officer, who takes over as MD and CEO of this company from 1st October, and he's also there on the call, I am

very confident that the momentum that we have built, the strength that we have shown, the remarkable progress that we have made across all the strategic vectors highlighted and our ability to meet quarter -on-quarter, month -on-month commitments will only get enhanced.

So, I will look forward to your support, and let's give our best wishes to Sumit in his new role. You will hear from him as we go along. But let me pass it back to you, Amrit, for the financial numbers.

Amrit Singh: Thank you, Prashant. Just quick hygiene financial metrics. MFSL revenue, excluding investment income, stands at INR6,194 crore , which is a growth of 18% in the first quarter. Consolidated profit after tax stands at INR86 crore , largely impacted due to strains because of strong new business sales momentum. Gross written premium for Axis Max Life grew by 18%.

And more importantly, the renewal premium also demonstrated a healthy growth of 17%, standing at INR3,873 crore . As Prashant mentioned, VNB, which is a measure of profitability for our industry, stands at INR335 crore for the first quarter of FY'26, a growth of 32%.

NBM expanded from 17.5% in Q1FY25 to 20.1% quartering Q1FY26 . Embedded value at the end of June stands at INR 26,478 crore , a growth of 20%. Annualized operating ROEV, a measure of performance, stands at 14.3%, again, an expansion from 14.2% demonstrated last year. Policyholder opex to GWP is 17.8%. Policyholder opex has grown by 18%. Overall, assets under management for Axis Max Life now stand at INR1.83 lakh crore , which is a growth of 14%.

With that, we'll open the floor for questions, and I o'll request the moderator to open it.

Moderator: The first question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on a great set of numbers. I have three questions. My first question is just for clarity for the coming months, can you also explain why the monthly numbers are distorted? I know that you have sold a lot of these monthly model products. So, which of the line items were the numbers in our monthly Life Insurance Council data? The number is getting wrongly represented, and that's why we guys, when we calculate the APE, it comes out much higher at 20%, 25%, whatever.

Page 5 of 12

And how long will this continue? Or should we expect a 2 to 4 percentage point difference, as you had mentioned, for the rest of the months for this year? That's my first question. My second question is on the agency channel. So, you've done a great job in the last 2 years with the agent addition.

Though with the new agents coming on board, the agent productivity for your entire book had sort of declined. So, what is usually the time frame in which your agent productivity can recover because you've always had one of the best agent productivity on the street.

And my last question is, again, this is a very medi

a article, media speculation -based, but any update

on the insurance bill? Are you hearing anything negative about the clause which allows for a merger between an insurance and a non-insurance company? There was even media speculation that Axis Bank wants to raise its stake. I mean, any clarification over there would be quite useful. Those are my 3 questions.

Amrit Singh: So, Shreya, thanks for these questions. I'll take the first one, which is the AF YP and AP E numbers.

And firstly, let me just correct you that the monthly numbers published are not wrong. Those monthly numbers that are published are accurate. It is just that those monthly numbers are on AF YP basis, whereas the overall financials reporting in addition to A PE basis, we do also share APE basis, annualized premium equivalents.

The difference between the methods is in the annualized premium equivalent. You recognize the entire premium of a policy for the first 12 months in the first instance itself, whereas in the A FYP, it is actually basis the collection that is received on a month -to-month basis.

Now, the Market Intelligence number, the Life consol number that you see, is based on monthly collections. AP E is an additional measure that companies disclose quarterly, which is what we have also disclosed.

Where is it coming from , this gap in this difference? It will always come from a channel that is heavy on monthly modes and no prices for guessing that actually is an e -commerce channel, where the consumers prefer to pay on a monthly basis. So, the gap has come because of the fact that overall, the online business, especially on the savings side, has seen a moderation in momentum, largely due to the volatility in markets, which has impacted a little bit of ULIP demand during the quarter. And that's why the mobilization of AP E in e-commerce is slower.

But beyond this there is hardly any difference in any of the channels between these numbers. Going forward, as Prashant mentioned, we do expect this gap to narrow. We are looking more at a 2% or 3% kind of gap still existing, but the gap will definitely narrow.

Sumit Madan: I'll take the second question on your point around agent productivity. I think one, our proprietorship business, largely led by agency, remains very strong, and the same has been disclosed as part of the numbers also. There have been a number of measures taken into account. But to answer your specific question, Shreya, in fact, our overall productivity has gone up by 4% over quarter 1 of last year.

The difference is that normally when we track the productivity, it's tracked basis the MTD active numbers rather than the total numbers, which is more of a base impact. So, if you look at the productivity of the active agents over the last quarter to this quarter, it's an increase of almost 4%.

Prashant Tripathy: Shreya, coming to your question, this is Prashant. On the insurance bill, yes, I also read some of these media articles. And of course, one got one engaged with stakeholders in this space to figure out what

is going to change in the insurance bills. The latest update, as far as we know, is that the bill is ready
Page 6 of 12

to be presented in parliament. We just need to wait until it goes through. In all likelihood, it will be picked up in the forthcoming parliament session, may not happen this time around.

But there is no change as far as the Section 35 provision is concerned. I think it will be allowed for a non-life insurance company might merge or may be allowed to merge with a life insurance company with prior approval from IR DAI. In our case, as you know, the company that we want to merge with is not an operating company. It is just a holding company. It has no operating balance sheet.

So, we don't foresee any problems. So, as far as the insurance bill is concerned, our information suggests that we are awaiting the approval of the b

ill. And after that, we will be okay. As far as your

other point around raising the equity by the bank, etcetera, I think we are here to hear anything on that ground. So, it may be just market speculation, and there is no point in talking about that.

Moderator: The next question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: In terms of the margin, I wanted to understand whether there is any impact of the surrender value regulation?

Amrit Singh : You had a second question as well. So why don't you complete the second, and then I'll answer both.

Swarnabh Mukherjee: So, I was saying, sir, that there is a 260 basis point of expansion in the margin profile vis -a-vis from last year to this year. I just wanted to understand that are we being conservative in terms of maintaining our guidance? Or do we expect that going forward, given that this has come from good product mix alterations, do we expect that the upcoming quantum of expansion cannot be at this level. I just wanted to understand that on the margins part.

And if I can squeeze in a little bit on the product side. I think we have done very well over the last 3 years. But right now, I think at least on the basis, we are the largest in the private, at least among the listed players. So, what is the headroom there in the near term? If you could highlight that? These are my questions.

Amrit Singh : So I didn't get your third question very clearly, but let me answer the first 2 that you asked. So, as we have been kind of highlighting subsequent to surrender actions, we took actions on multiple fronts.

And now it is almost impossible at our attempt to kind of just segregate the surrender impact and try to indicate. We have mitigated most of the surrender impact. And this is in the additional categories, and also leveraging other categories with respect to getting the pricing actions taken on those categories as well.

For this particular quarter, the product mix has aided. As you can see, this was the quarter we launched a very strong nonparticipating savings product, which saw strong acceptance that aided. In addition to it, all the actions taken post 1st October, which in the run rate have continued, which are around pricing actions and rider contributions, et cetera, continues to aid the margin expansion process.

With respect to full year guidance, I mean, we have been reiterating. I think we would like to remain in this healthy range of margins, which is between 24 %-25%. If we see margins actually running up ahead of that, we will be very keen on ploughing that back into the business for growth purposes and building distribution. And that's the mindset with which we are approaching this business.

So, I would advise that we stick to the same guidance that we have indicated, rather than building further expansion there. The last question, unfortunately, I couldn't hear. So, I'm unable to answer it.

Page 7 of 12

If it is around protection that we have been doing well in protection and how do we see it going forward?

We continue to be very excited about the protection opportunity. India, as you are all aware, with respect to sum assured penetrations, is severely underpenetrated. We definitely do expect, given our focus in this category, not just in sourcing, but also overall underwriting price, et c. we would like to continue to remain engaged in this category and do better than the market. We see no reasons any of that actually altering at this point in time.

Moderator: The next question is from the line of Avinash Singh from Emkay Global.

Avinash Singh: Congratulations to Sumit. You have resolved most of the issues related particularly the non -operating issues at the company. So, of course, expectations are going to be high for Sumit as well. Two questions. The first one is going to be in terms of your product mix, not so much margin.

I mean,

you are back to kind of where typically you want it to be, ULIP and non -ULIP mix. Is this trend going to continue for the rest of the year? Or I mean, if at all, the market environment turns conducive, you would be okay to increase ULIP. So that's first on product mix. The second one, more again a bit, I would say, fundamentally, I can see, yet I want to answer. Again, time and again, sometimes media news comes around some of your promoter s are increasing or infusing capital. But when I see, I mean, your solvency is now even close to 200 odd percent and reasonable, I would say, back book profit generation. In that case, I mean, given that typically your 180% is the comfortable solvency than you would like to be, do you really see any need for external capital for the next 2 -3 years, even if assuming the growth accelerates?

Amrit Singh : First question on product mix, I think, yes, the product mix is very balanced. But having said, if the market opportunity presents us to drive higher momentum leveraging ULIP, which is actually a great product from a consumer perspective as well. And now with the design variance enhancements, where even a unit-linked design is actually offering healthy protection components.

We will, in a calibrated manner, always keep looking at these opportunities. But overall, again, reiterating, I think we'd like to keep the product mix balanced between and very carefully balancing that between proprietary and non-proprietary, with an overall objective, our margins remain range bound. I think on the second one, yes, your observation is right. Our solvency at the end of this quarter stands at 199%. But given this business consumes capital due to the products that we are selling and the growth momentum that we are demonstrating.

We do expect, over a medium-long horizon, some capital emergence to happen. Some part of that we will fulfill through the debt capacity that we have at our end. But I think we will never starve the business from a growth capital requirement perspective, and we are quite confident that our shareholders also will be more than happy to kind of contribute if required to provide and need the growth capital in the business.

Moderator: The next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: My first question is on the product and banca channel. So, could you help us understand how much Smart Vibe has contributed to non-par savings APE this quarter? And when I look at the banca channel, similar to the overall group level, there has been a shift towards protection and non-par.

Page 8 of 12

But given this channel has typically shown a greater proclivity towards selling ULIP, I just wanted to understand, is there a strategic shift that has happened as well here towards selling more non-par and protection, along with the new product? And finally, my last question is on the back book surplus and new business strain. The new business strain versus last quarter has grown fairly significantly. Is this only driven by product-level changes? Or is there something else there as well, if you could help us understand that?

Amrit Singh : Thanks, Supratim. I will not specifically comment on a specific product number, but needless to say, whenever a new product is launched, it does end up being over 50% of the category contribution, given the excitement that it provides to the field and the distribution teams, and that's the kind of success that we are seeing even in Smart Vibe . Specifically, coming to your comments around the overall ULIP mix within our banks. Some parts are market-driven, and some parts are also intentional. As we have been mentioning that we would definitely be working along with banks and especially our promoter bank, try to balance the product mix towards more optimal levels, and that is what I think efforts have been. And very interestingly, - at Axis Ban

k, the number of policy growth has been very robust. We have grown by over 20% at the bank. So, a shift away from ULIPs, which can sometimes affect the overall top line growth because of the case size being higher, those have been compensated by an overall higher degree of activity within the bank.

So, just a short answer, I think it's a mix of both, the market, plus also some conscious efforts of balancing the overall mix within the channel. Lastly, your observation on the new business strain is correct. It is product-driven. It is the higher proportion of non-par, and especially in a quarter where we don't necessarily get this equivalent operating leverage advantage because it's a smaller quarter from a sales perspective, the strain has been higher because of this particular product category becoming larger in the mix for the quarter.

Supratim Datta: Just one question, if I could squeeze in. The other banca channel, which is now close to around 20% of your overall banca contribution, how much further room is there for this channel to expand? It has been growing fairly at a fast clip. So just wanted to understand how we should think about this channel?

Sumit Madan: I think Supratim, it's Sumit, this side. We are actually very excited about the other banks because some of the recent growth we've seen in recent acquisitions, also, very fast, we've been able to get the counter share that we really desire. In some of the newer acquisitions, for example, we've become a number one player in terms of counter share also. So , I think our growth progress and the entire opportunity it provides, we are very bullish about some of the other banks.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: The first question is on the product level margins, whether they have improved with rider attachments or with respect to even ULIPs, whether the sum assured has been going up. So, whether the product level margin has improved ? And your product-mix movement towards non-par the rates in the industry, have these been aggressive?

And are we getting some impact of being aggressive and margins being lower on non-par relatively? So that's my first question. The second question is on the persistency of the near-month 13-month persistency; there's some marginal weakness. Is there anything to read into it? Yes, those are my two questions.

Page 9 of 12

Amrit Singh x: So, Prayesh, thanks for these questions. If you compare it with the previous year's same quarter, in certain categories, there is an improvement in margins and in certain categories, there has been a subsequent weakness in margins because of the overall design structure changing in certain product

forms.

But I will not get into the specifics of each of the segments, but I think all the elements that you spoke of, whether it is ride attachment, whether it is repricing of certain products, has definitely aided the margin expansions - for us.

In non-participating, we have always been indicating, yes, it was impacted by the change in design structure post the surrender regulations. That impact, obviously, you will see in this particular quarter. It is not there sequentially, but if you compare this quarter with last year's quarter, you will see that impact.

But overall, I think it's a situation of you've gained some places, and you lost some places. But overall, we have been able to enhance the margin profiles. In 13 months, we have also experienced some bit of weakness, though with the collection efforts as the year has kind of progressed, and we have been into 3, 4 months of the financial year, we have also seen an improvement happening, but there is some bit of pressure, which is evident on the 13 months.

Though we have continued to do well with respect to our improvements in the later cohorts where you can see other cohorts, there has been an

improvement coming through. But we are also closely

observing this trend and making all efforts to ensure that the persistency outcome remains strong.

Some bit of it could be an overall economic effect on the Indian consumer. Some bit of it is also the proportion of high-ticket sizes has reduced as time has kind of gone by. These have had also had bearing on the persistency numbers.

Prayesh Jain: Sir, do we expect some persistency variance coming in terms of EV walk or negative variance coming in the EV walk towards the end of the year?

Amrit Singh : As we stand today and as we have reported our numbers, we have not seen anything like that because, again, there have been positives and negatives which have come in both in later cohorts. But we're keeping a close eye. There are adequate buffers or conservatism, which is built into some of the new designs that we have rolled out ever since the change of regulations.

Prayesh Jain: And all the best, Sumit, for your future role, and Prashant sir, all the best to you for your future endeavors as well.

Moderator: The next question is from the line of Madhukar Ladha from Nuvama Wealth Management.

Madhukar Ladha: First, congratulations, Sumit, and all the best to Prashant, sir, for your future endeavors. So, most of my questions have been answered, but just a couple of things. Number one, on EV, what is the extent of positive economic variance? And number two, on the Axis Bank buying the additional 1% in Max Life. So, where are we in that process? Yes, those are my 2 questions.

Sumit Madan: On non-operating variance, we have had a positive number of around INR431 crore. This is aided because of interest rate softening, which has led to positives on the debt side and certain positives on the equity side. On the second question? On the 1%, yes, there are discussions. I mean, that's something Axis Bank is pursuing with the RBI. And as soon as that approval comes through, Axis Bank will be doing either a primary or secondary investment. We are awaiting an approval.

Page 10 of 12

Moderator: The next question is from the line of Dipanjan Ghosh from Citigroup.

Dipanjan Ghosh: So, just a few questions from my side. First, if I look at the protection number and you mentioned that your pure protection has grown by 26%. So, if you assume like 10% of riders in the base of your overall protection, and that has also grown at like 300% plus. I just wanted to get, is it some degrowth in the health segment? I mean just wanted to triangulate the numbers within the protection segment. Second, your protection growth for the banca has been quite strong for the last 2 or 3 quarters. So, I just want to get some sense or color in terms of what the strategies are on that channel. And the last question is in terms of the EV walk, it seems there has been a decent operating release during the quarter. So, what would be the drivers for that?

Amrit Singh : So let me take some of these questions. So, your observation is correct with respect to protection. As Prashant mentioned, the core protection growth has been 26%. And as you're kind of recalibrating or regulating the numbers, there has been a de-growth in health products, largely actually post the changes to product regulations on 1st October.

Because of the regulatory changes, there were certain weaknesses that came in the overall construct from a consumer perspective in this product, and that's led to some bit of a weakness in this health fixed benefit plan that we had launched. We continue to keep looking for innovative ways and mechanisms of improving the health product. But as things stand today, there has been a small degrowth in this particular segment.

Whereas on riders, I think it's not just riders on protection, but it is riders on unit-linked designs, rider on non-par saving designs, even rider on par. These are all ingrained as part of our conversat

ion

because, effectively, this helps enhance the sum assured of the product, which continues to be an important need from a consumer's perspective. And that journey will continue.

And it's an evolution. Industry is evolving to some of these trends that are very well-known trends, at least in the Southeast Asian market. But for at least for our country, rider, which is augmenting sum assured, is becoming a very critical conversation and is being accepted by the consumers as well.

On banks, it's an overall, I think if you really look at all the segments of choices, whether it is protection, annuity, traditional products, there has been a positive lift. It's an element of focus, which actually we have also brought along in very close alignment with our bank partners. And we do expect that we will continue holding on to this momentum.

On operating variance, I think you must have used some computations around assumptions around unwind and VNB growth to come to the largest operating variance number. But I'll just correct you that the unwind from 8.4% has come off to 8.3%. So, there is a positive operating variance, but it is not of a very large quantum. It's more like a double-digit number.

Dipankar Ghosh: And just one data keeping question. If you can split your offline APE breakup between direct and agency?

Amrit Singh: Sorry, what was that question?

Dipankar Ghosh: I have asked that if you can split your offline APE?

Amrit Singh: I will provide that to you separately. I just don't have it handy right now.

Page 11 of 12

Moderator: The next question is from the line of Mohit Mangal from Centrum.

Mohit Mangal: First of all, congratulations to Sumit for the new role and Prashant Sir for the future endeavors. So, I got 2 questions. First is that have we done any repricing in the protection segment? Also wanted to understand what is the proportion of ROP in the protection. Secondly, we have seen that the proprietary channel growth has been low if I compare it with, say, '25 annual numbers. So, two things in this. What do you think the proportion of the app that you launch will help in the growth, as well as what are the strategies for growing this proprietary space? If you could just elaborate, that would be.

Amrit Singh: So firstly, on protection repricing, the answer is yes, and protection repricing at various segment cohorts, wherever the opportunity allows you to do it in a calibrated manner, keeping competition and demand in play, we keep doing it. And we have done so even this quarter as well, and this is nothing new. Even in the previous quarters, I can say quarter 3, quarter 4, and quarter 1, each of these quarters. Wherever the opportunity in the segment opens up, we continue to keep repricing it.

On ROP, there is a big opportunity to improve here. Our return on premium has come down to more like 10% levels. So, we do expect, as we focus in our own channels, that this mix should improve.

Quarter 1 is a small quarter. So, I guess it's not like a big trend that you should see. It is just that there is some opportunity available for us to expand in this particular thing.

Amrit Singh: On proprietary, it's going on the APE side, I think I will request and I indicated at the start of the call, as a response to one of the participants, that it is largely concentrated in a specific channel, which is e-commerce, and also on one particular line of business, the savings business.

Otherwise, the offline proprietary channel momentum has been quite robust, growing at 18% levels.

And we expect that to remain in this range-bound, even going forward as well. With respect to e-commerce, we are quite confident that as the year progresses through various innovative ways and strategies of product and kind of combining features of both market opportunities, plus guarantees and protection component, we will come back to our growth

trends in that particular segment as well.

The app at this point is more of an app for engagement with the consumers and kind of building the consumer. Right now, our use case thinking and thought process there is more around enabling strong customer service. And if you take a life cycle view of it or a better engaged consumer, will definitely provide us opportunity for new sales also going forward, so as to drive our policy density and penetration. But these are just early days.

I think right now, we are only focused on ensuring that the app is meaningful to the consumer and the consumer continues to engage in multiple aspects to that. The app, as Prashant mentioned, has fairly feature-rich features, actually provides a lot of health and associated services, which have been made enabled to all our consumers at no charge to them.

And we are hoping that this engagement will develop and build further, which initially should see better outcomes on both persistency and the customer service cost that the organization incurs. Upsell, definitely a use case, but I think you have to be patient and take very long-horizon views of the overall lifetime value of consumers. We do expect that to pan out, but nothing that I cannot comment on the near term on that.

Moderator: The next question is from the line of Neeraj Toshniwal from UBS.

Page 12 of 12

Neeraj Toshniwal: My question is again on persistency. I wanted to check which particular channel has seen a slip in terms of lower persistency? And has there been any impact of higher ticket sales, which were done in March 2023, as other competition highlighted that because of that has also been lower. So, are we also seeing partial impact coming from that, or it's only on new impact we are seeing? Just wanted to get more quality.

Amrit Singh: Yes. Thanks, Neeraj, for that question. This is a bit secular kind of impact across channels. So, there is no specific channel that I can point out and say that sharp drop or anything like that. And we've also seen this more on the traditional side of policy, where some bit of collection has been a little slow to start with. But having said that, as every month is progressing, we are also seeing improvements in collection trends overall.

With respect to your comment around the March '23 base, I think I did answer that question more possibly indirectly, that the proportion of greater than INR5 lakh ticket size has reduced in the business. And those greater than INR5 lakh always used to be a higher persistency policy. So, some bit of effect is also because of that.

Neeraj Toshniwal: And if you can refer to some memory on where the wallet share is in Axis Bank right now? And I just wanted some color on that.

Amrit Singh : It continues to be in that range, bound of 65% to 70% level.

Moderator: Ladies and gentlemen, that was the last question for the day. And I would now like to hand the conference over to the management for closing comments.

Amrit Singh: Thank you, everyone, for being on our call, and we look forward to more such interactions. Have a good day and a nice weekend as well. Bye.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

MAX FINANCIAL SERVICES LIMITED

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November 18, 2025

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 021 National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex,

Bandra (East)

Mumbai – 400 051

Scrip Code: 500271 Scrip Code: MFSL

Sub: Transcript of Investors & Analysts Conference Call

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Transcript of Investors & Analysts Conference Call held on November 12, 2025 , post declaration of unaudited Financial Results of the Company for the quarter and half year ended September 30, 2025 , is enclosed.

The same has also been uploaded on the website of the Company at <https://maxfinancialservices.com/static/uploads/financials/mfsl -q2fy26 -earnings -call-transcript.pdf> .

You are requested to kindly take the aforesaid on record.

Thanking you,

Yours faithfully

For Max Financial Services Limited

Siddhi Suneja

Company Secretary & Compliance Officer

Encl: as above

Page 1 of 17

Max Financial Services Limited

Q2 & H1 FY 26 Earnings Conference Call

November 12, 2025

Moderator: Ladies and gentlemen, good morning, and welcome to the Max Financial Services Limited Q2 and H1 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nishant Kumar, Chief Financial Officer of Max Financial Services Limited. Thank you, and over to you, sir.

Nishant Kumar: Good morning, everyone. Thank you for joining Max Financial's earnings call for the quarter ended September 30, 2025. We are pleased to present our quarter 2 financial year 26 results, which are now available on our website as well as on the stock exchanges. Joining me today are Mr. Sumit Madan, Managing Director and CEO and Mr. Amrit Singh, Chief Financial Officer of Axis Max Life Insurance.

With that, I would like to invite Sumit to share the key developments and performance highlights from the second quarter of financial year 26. Over to you, Sumit.

Sumit Madan: Thank you, Nishant, and good morning, everyone. At the onset, I really want to thank all of you for taking the time out for this call. In my new capacity as the MD and CEO, I am genuinely honored to take on this role and very excited about the opportunities ahead. Axis Max Life, as you all know, has always been built on strong fundamentals and a clear sense of purpose, and that gives me utmost confidence as we look to the future.

My focus will be on amplifying our core priorities, namely strengthening our customer -first approach, accelerating digital and data -led growth, deepening our partnerships and driving sustainable long -term value for all the stakeholders. We have, in fact, made some very strong progress on these fronts, and my goal is to build on that momentum, including execution with discipline while nurturing the culture and purpose that always defines us.

Before I get into the progress achieved on strategic areas, I would like to mention that on the regulatory front, the recent GST changes have further improved the affordability of insurance products, and we have passed on the full benefit to all our customers

. We believe this will support

stronger demand over the medium to long term. In fact, early signs of increased traction, particularly in the protection segment are already visible.

While the non -availability of the input tax credit may have a short -term impact on annualized margin, we remain very confident in our ability to offset this through focused initiatives. These include distributor renegotiations, cost optimization and operational efficiencies. As a result, we are maintaining our earlier sales and margin guidance.

Page 2 of 17

Let me now take you through the key developments across our strategic focus areas for the first half of FY 26.

Sustainable and predictable growth :

Continuing our strong performance, our individual adjusted first year premium grew by 18% in H1 FY26, which, in fact, is more than twice that of the private sector growth at 8%, while the overall industry expanded by just 2%.

Consequently, our private market share improved by 83 basis points, reaching 10.1%. Even on a 2 - year CAGR, we delivered 24% growth, well ahead of the private sector, 16%, and in fact, more than double the industry's growth rate of 11%, a clear reflection of the strength and resilience of our franchise.

In quarter two FY26, individual adjusted FYP grew by 14%, again, outperforming both the private sector, which stood at 8%, and the overall industry at 1%. On an APE basis, we recorded 15% growth driven from both our proprietary and the bancassurance channel. Our proprietary channels continue to be a cornerstone of growth for Axis Max Life Insurance.

Last 3 -year CAGR from these channels stand at a very impressive 39%. In fact, our online business delivered a remarkable 68% CAGR and is supported by the sustained growth, sustained strength of our offline distribution network. Within offline proprietary, our agency channel has seen significant expansion with the agent force growing from around 61,000 in FY22 to now almost 1.42 lakhs, alongside the addition of, of course, 150 new branch units over the past 3 years.

Additionally, our service to sales approach, supported by continued investments in digitizing the sales management process, has been instrumental in driving growth across our cross -sell vertical. On this strong foundation, our offline proprietary channels recorded 26% APE growth in Q2 FY 26, while the online business grew 14%, resulting in an overall 22% growth from the proprietary channels during this quarter.

Our partnership business also continues to gain traction, growing at 10% in Q2 in APE terms, supported by the scaling up of the partnerships we have built over the past 2 years. These new partnerships in banking and the broking space now collectively contribute around 5% of the individual APE. Driven by strong execution, product suite and technological prowess , we have been able to ensure that our counter share in all new banca partnerships is now well over 25%.

Another one of our key strategic growth area has been the NRI segment, which continues to deliver strong consistent performance with about 13% of total sales coming from this segment. To further strengthen our presence in this space, we have received the SEZ approval and NOC from IRDAI and provisional approval from IFSCA to establish an office in GIFT City.

This office will serve as a strategic hub, enabling us to expand access, improve service delivery and capture the increasing opportunities within this growing market. To further enhance our reach and diversify our distribution footprint, we added 31 new partners across the retail and group segments

during the first half of FY 26, further strengthening our multichannel presence and setting a solid foundation for future growth.

Page 3 of 17

Product innovation to drive margins :

At Axis Max Life, we remain deeply focused on driving product innovation to deliver sustainable value for all our customers, employees, partner

s, investors and the broader community. Our non -

participating savings products continue to perform strongly following the Q1 launch of Smart VIBE, helping us maintain a well -balanced product mix. Protection remains a preferred segment for us. Our award -winning retail protection products have led us to attain the highest market share during H1 FY26 with a 34% growth rate in pure protection category. Consequently, the total retail protection and health segment contributed to 13% of overall sales with 36% growth, supported by 37% rider attachment rate. In addition, group credit protection business is also growing steadily with a 24% growth in Q2, well ahead of the industry average.

Our annuity business grew by 85% in H1 FY 26 and 122% in quarter 2 FY 26, driven by overall, a very strong execution on the retail and the corporate annuity pool. We recently launched our annual retirement study, well known as IRIS, India Retirement Index Survey with the fifth edition, covering more than 2,200 households across 28 cities.

IRIS measures how prepared Indians feel for retirement on a scale of 0 to 100. We are happy to note that the index has improved from 44 to 48 in led by higher health preparedness, while financial and emotional readiness remains stable. These findings do highlight the growing need for retirement planning, reaffirming the strategic importance of our annuity offerings in securing long -term financial well-being for our customers.

Customer Centric Approach

As we move ahead, the third important piece to highlight is our approach towards being a very customer -centric organization. At Axis Max Life, our customers always remain at the heart of everything we do. We are deeply committed to building relationships founded on trust, transparency and service excellence.

Our focus on delivering superior customer experiences continues to set us apart and is reflected in our market -leading retention and satisfaction metrics. We continue to lead the industry in 13 -month persistency by number of policies as per Q1 FY 26 rankings and hold the second position for both 25 and 37 -month persistency on the same metric.

In quarter 2 of FY 26, our 13 -month persistency stood at 83% while the 25 -month persistency reached an all -time high of 76%, up nearly 500 basis points year -on-year. Our Net Promoter Score improved to 57, up from a baseline of 52 at FY 25 exit. Touch point NPS improved to 59 from 55 earlier and relationship NPS improved from 50 to 54, demonstrating strong, robust customer engagement and satisfaction.

We have also made strong progress in grievance resolution with a grievance incidence rate improving to 38 in quarter 2 FY26 from 45 in quarter 2 FY 25. Together, all these outcomes reaffirm our unwavering commitment to customer centricity, which remains at the foundation of our sustainable long-term growth and the trust that defines Axis Max Life brand.

Page 4 of 17

Digitization for our operational efficiency

Another important area where the organization has really focused is around digitization for our operational efficiency. Our digital transformation journey continues to deliver tangible and measurable gains across customer experience, sales enablement and operational efficiency, strengthening Axis Max Life position as a digitally led insurer of the future.

Our mobile app continues to scale rapidly with over 4 lakh installation within 100 days and 21% new to digital users, supported by some very strong user feedback reflected in our ratings, which is 4.7 on iOS and 4.8, Android. We continue to create seamless journey for our customers, leveraging digital ecosystem, data and analytics and a very superior user experience. This has led to industry -leading NPS score for our digital platforms.

Our customer service website NPS is now at 71 and e -commerce buying stands at 77. Also important to note, we ensured the full GST compliance across all dig

ital journeys and core insurance platform

within just 2 days, enabling the timely issuance of over 15,000 policies while maintaining a seamless customer experience.

Our digital distribution platform, mSpace, as we call it, is now scaled to all proprietary channels and to Axis Bank partnership with a very high adoption rate of almost 90%, leading to higher productivity in our cross -sell channel. Even on the sales enablement front, the Sales Navigator platform, a real -time analytics and incentive management tool, is now adopted by over 75% of our sales force across agency, DSF and Axis channels, further enhancing the productivity and the performance visibility. We continue to leverage AI cross -sell engine for our proprietary and partnership business to generate personalized offers. Each offer includes the best product, the next best product, preapproved sum

assured and a conversational pitch for the sellers.

In fact, even in risk and underwriting, we are leveraging automation to enhance both precision and scale. A comprehensive suite of risk models are fully integrated into our onboarding journey, ensuring meticulous due diligence based on the risk category.

Additionally, our AI-driven income estimation model, utilizing alternative data sources such as CIBIL, PAYU, Account Aggregator have all revolutionized the financial underwriting. This innovation has, in fact, allowed 30% of our term portfolio to undergo financial underwriting without the need for any physical documentation, resulting in faster in-journey decisions.

Our GenAI initiatives continue to scale across the enterprise. Ely, our virtual HR business partner, now engages approximately 17,000 front-line sales employees with a 51% engagement rate. Ely supports continuous listening, personalized communication and assists managers and HR in resolving employee concerns, which contributes to lower attrition levels.

Converse Pro, our AI-based e-mail resolution engine, efficiently handles up to 30% of customer e-mail volume. This automation leads to a faster resolution and has resulted in a 20% reduction in support head count. Additionally, our GenAI immersion program for senior leadership has identified 30-plus high-impact enterprise use cases to be deployed over the next 2 years, further embedding AI-driven innovation across all aspects of business.

To summarize FY 26, it has been an exciting year. FY 26 continues to demonstrate strong momentum with robust growth across key markets driven by our focus on innovation, customer centricity and

operational excellence. Even as global developments continue to influence the market dynamics, we remain confident in our ability to meet our guidance and deliver sustained value creation for all stakeholders.

With that, let me now hand over to Amrit, who will take you through the financial performance for the quarter.

Amrit Singh: Thank you, Sumit, and good morning, everyone. We had made our presentations live last evening. I will just kind of speak about few financial highlights.

- At MFSL level, the revenue, excluding investment now stands at INR15,090 crore, a growth of 18% in the first half. MFSL's consolidated profit after tax is at INR92 crore. It is lower than last year, primarily due to the fair value change account that Ind AS accounting has been taken. And also, the GST expense underlying Axis Max Life franchise has kind of been taken on its profit.
- Axis Max Life gross written premium and renewal premium both have grown healthy at 18%, touching INR15,490 crore and INR9,503 crore, respectively.
- Individual new business sum assured continues to grow at a healthy pace of 25% and has touched INR2.16 lakh crore and we are the number three player with respect to total individuals sum assured in the market.
- Embedded value ending 30th September 2025 is now INR26,895 crore, a year-on-year growth of 15%. The embedded value carries a

nettime GST impact, which is on the back book of INR268 crore.

Annualized operating RO EV is 16.3%. This includes a positive operating variance of INR13 crore.

There is a marginal negative non-operating variance of INR9 crore largely due to yield curve movements and which were offset by some gains in the equity.

- Policyholder opex to GWP is at 15.5%. Policyholder opex has grown by 11%.
- During the quarter, we raised additional INR800 crore of sub-debt with IFC as a strategic partner to this particular round. This has helped strengthen our solvency, which now stands at 208%.
- AUM are at INR1.85 lakh crore, a growth of 9%.
- In H1 FY 26, the retail product mix is very well balanced, participating products at 13%, annuities at 8%, non-par saving at 28%, protection and health at 13% and ULIP at 37%. Each of these categories have delivered healthy growth with the exception of ULIPs.
- The overall balancing of product mix has helped us expand our margins from 23.6% in quarter 2 FY25 to 25.5% in quarter 2 FY26. And for H1, the margins were expanded from 20.2% last year to 23.3% in this current year, which has led to a VNB growth of 27%.
- In the month of September, approximately 75% of sales were impacted due to GST credit disallowances, which contributes to around 0.6% of margin impact in first half.
- Thereby, the GST impact is close to 300 to 350 basis points on a run rate basis. However, despite this impact through a series of actions on costs, product mix, execution, we are confident that we will maintain the margin guidance that we had given earlier of improving the margins from the previous year and be in the range of 24% to 25%.

Page 6 of 17

This will be along with the higher than market growth that we have been delivering so far. So in conclusion, our agility in navigating regulatory shifts and market dynamics has been able to deliver a healthy operating performance. And with that, we will be happy to take over questions. I will hand it over to moderator for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask a question may press star and one on the ir touchstone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while

asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Shreya Shivani from Nomura. Please go ahead. Shreya Shivani: Yes, thank you for the opportunity. Congratulations on a great set of numbers. I have three questions. First is, as you highlighted the impact of GST, if you do nothing, would be a 300, 350 basis points annual Y-o-Y impact that we are talking about. So I just wanted to understand that when it comes to cost, what kind of negotiations are we doing with our distributors or what kind of timelines do we have when it takes us 1 quarter, 2 quarters, et cetera? That is my first question. My second question is again on the GST cut, if you can help us understand in your product suite, which product gets impacted the most, which product gets impacted the least. And how would you manage the impact across the product category? Or some understanding of how each product responds to what has happened on the GST bit. My third question is on the channel and I wanted to understand on the channel strategy. So your partnership channel, obviously, your proprietary channel has been running faster than the partnership channel. Within the partnership channel, what has been the trends with the banca partners and particularly with Axis Bank? And yes, that would be my third question? Thank you. Amrit Singh: Hi, Shreya. Thank you for those questions. I will take the first two and I will request Sumit to speak about the third one. Firstly, you are right. If you do nothing, that is the impact, 300

to 350 basis points. But there are series of things that we are trying to do at our end, which beyond distribution negotiation is also cost controls, product tweaks, product mix, renegotiations across our vendor partner, looking at our outsourcing and sourcing decisions as well. With respect to specific negotiations with the distributor, we will not like to kind of comment because these are individual conversations that we will do with our distributors, and some of these conversations are underway and will require couple of months before some closure kind of comes through.

I think the way we are approaching this problem is and I think this is also an answer to your second question, that which product gets impacted the most. There are products which are impacted structurally, and there are products which are more tactical impact. I think the ones which are structurally impacted, which are more in the lines of ULIP and participating design, we are working with the distributors to see how the same can be tweaked. On other product categories, there are more tactical, and we will leverage tactical mechanics to solve for those.

Sumit Madan: Yes. Shreya, on the channel strategy, you will be happy to note, and you must have seen the progress over the last few quarters, there is a very good mix between the partnership and the proprietary channel now. Proprietary channel now constitutes almost 46% of the total business and the remaining 54%, of course, coming from the partnership channel.

Page 7 of 17

Our new banks, and we have acquired almost across various financial players, 31, like we mentioned in H1, around almost 90 plus odd over the last financial year. These new partnerships have now started adding quite a significant revenue to us. On the new bank side, if I look at the last 6 banks as an example, out of these in 3 banks, our counter share is actually already more than, we are the number 1 player as far as the counter share in three out of those 6 banks are concerned.

So I think in terms of growth, it is a very healthy growth as far as various partnership channels also are concerned. Axis Bank, since you specifically asked, we have seen a growth of almost around 7% as far as Axis Bank is concerned. And in the remaining partnership channels, our growth, in fact, has been much faster.

Our growth, if you look at the overall story as well as the partnership channels are concerned, we have seen a growth of around 14% coming from YES Bank, and some of the other players, we have seen a growth of 100% plus coming between H1FY25 and H1FY26. There is a growth of 111% in the new acquisitions that we have done over the last 2 years.

Shreya Shivani: Got it. Just a follow-up on, because the channel strategy, I wanted to understand it better. There has been some media, I mean, the Chairman of Redeye in some media reports has been talking about how insurance is a high-cost industry, and he would want to bring it to medium cost. I understand some of the team may be referring towards the health insurance product specifically. But just wanted to understand your perspective on how to deal with such, I mean how are you thinking about the entire distribution strategy, along with the cost structure in mind because the Chairman of Redeye is making, is speaking in these terms currently?

Amrit Singh: Shreya, as things kind of stand today, there is an expenses of management, which is defined by the regulator. And Axis Max Life actually operates well below the threshold. And all efforts on a progressive year are actually to optimize for that expenses of management at an overall level. Given the nature of the product and I think the regulator understands that as well, it does require a strong distribution footprint to carry this product category, and that enablement needs to be provided. But as time goes by, I think efficiency always comes through, and that is how we think about it.

Shreya Shivani: All right. This is very useful. Thank you and all the best.

Amrit Singh: Thank you, Shreya.

Moderator: Thank you. The next question is from the line of Avinash from Emkay Global. Please go ahead.

Avinash Singh: Yes. Hi, good morning. Thanks for the opportunity. A few questions. The first one is more on accounting clarification. So if I see a material divergence this quarter between the accounting profit or PBT of Max Financial, Max Life, is it just that IndAS and Indian GAAP divergence? Or is there something more? And if that divergence hits broadly, you can sort of explain what are the key factor here in the divergence.

And related to accounting, another question. If I see your EV walk, where you have explained this GST impact around INR260-odd crore, that I see you take it out of NAV. I mean, a simple understanding would suggest that, okay, if the future years GST ITC losses. So it should be ideally part of VIF adjustments. Is there something, I mean, here again my understanding incorrect? So these are on accounting.

And the second question more from a strategy. I mean, you have rightly highlighted that over the last 5 years versus in the backdrop of industry growth at 10%, you have grown at 15 -odd percent. Now if I

were to ask, I mean, Sumit, now because you have just taken over, over the next 5 years now because you have kind of your strategy and particular product and channel strategy in place and also you know the industry dynamics, do you have that kind of a same kind of confidence or kind of aspirations to repeat that last 5 years in the backdrop? If the industry were to grow at 10%, can you grow at 15% even from this list?

Amrit Singh: So I will take the first two and I guess I will request Sumit to come in for the third one. So Avinash ji, your observation is actually correct with respect to the accounting profit in MFSL, which is an Ind AS mechanics. The difference between Axis Max Life IGAAP profit, and Ind AS profit is that in addition to the profit dip, which has happened in Axis Max Life due to GST impact, where from INR231 crore of profit after tax that we had got last year.

We are right now reporting INR149 crore. That is an INR82 crore drop. The residual drop is just because of the Ind AS accounting standard, which actually measures mark -to-market movements all through to the P&L. And there is nothing else beyond that particular element on this particular one.

On the GST impact, it is just a representation to just show what the GST impact is. It should be from VIF only. It is not out of the net worth. And that is how you should kind of read it.

Sumit Madan: I think on your next question as far as the next few years are concerned, coming from a different industry now into insurance, I look at it as a huge opportunity as well as what the industry offers to us. And I am not new to Axis Max any longer. I have been here for almost 2 years, so very much involved as part of the strategy.

Like I said in the opening address also, there are some key parameters we are focusing on. We have looked at segments very closely. We spoke about NRI as a case in point. But I think most importantly, what stands out is the continuity factor for us. And I spoke about that in the initial speech also. There is a very sustainable and predictable growth, which is there.

In terms of some of the other focus areas, like I alluded, the entire digitization for operational efficiency is something that we have taken up with a lot of zeal in the organization. Customers always have remained at the center of Axis Max Life, and the same trend again continues. And even in terms of the product innovation, the idea is to give the best product to the customer but at the same time, driving margins as well.

So over the next 5 years, to answer it specifically, I am very optimistic as far as the industry is concerned

. I am both optimistic and very excited about the future that works for us. We have always maintained that we will be able to deliver better than what the industry is doing by almost around 300 to 500 bps, and I feel very confident about this.

Avinash Singh: Perfect. Thanks. All the best.

Amrit Singh: Thank you, Avinash. Thank you.

Moderator: Thank you. The next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity and congrats on a good set of numbers. So first question, sir, just wanted to understand the VNB development for the quarter. I think year -on-year, it is 190 bps.

Now you said 60 bps coming due to the GST impact. So adjusting for that, that 250 -odd bps, if you can break it down between how much has come from the product mix, how much may be product

Page 9 of 17

level improvements and if there has been any operating leverage that has played out during this quarter. If you could give that color, it would be very helpful?

Second is in terms of growth. As you had mentioned that you are maintaining the growth guidance but if I look at your base in second half, it is slightly more benign than what we had in the first half. So are we being conservative in kind of maintaining and not upgrading our growth guidance? Just wanted to understand, particularly given the fact that we have a leadership position on the online channel.

And given that the outlook for protection -oriented products improved meaningfully because of the GST changes, can we not see a better growth and better margin outcome also coming out from that?

And third, again, on the product mix, I just wanted to understand that are we like comfortable with the

current product mix or can the ULIP mix be reduced further? Because I can see that in the banca channel, it has come down meaningfully. So is there any further headroom to reduce ULIP? And lastly, on operating RO EV, sir, so if I were to think about over the next couple of years and given that there might be some impact coming from the interest rate side on the unwind factor, how should we think about our operating RO EV going forward? These will be my questions.

Amrit Singh: Thanks, Swarnabh. I think I will take most of these questions. Firstly, on the VNB, I think your question is where is the improvement in margins coming through. A large part of this answer is product mix led, Swarnabh, some bit of support also coming in certain categories like protection and annuity, but large part of this is coming out of product mix.

On the growth guidance, look, I mean, on an AP E basis, we are growing 15%. We had given for the full year good guidance between 15%, 17%. So I think we are holding on to that number. Your observation is right that on a very tough base, and that is what we said that a 2-year CAGR is right now touching, 24% kind of level, on a very strong base, we have done well. So we are hopeful that on the second half, we will be better, but right now, just holding on to the guidance.

If we have a positive surprise to deliver, I am sure that we will delight you as well. Product mix, I think we are balanced and one of the things around that and largely, this has come because certain discrete steps and actions have been taken in our partnership channels, especially Axis Bank, which you will recall last year was running at a higher ULIP mix of 60% plus.

That has been brought in line at around 50%. We do not see a need to go beyond it. It is important to understand that each category has a consumer and a consumer segment to it. Each of them is VNB additive and hence, kind of helps the organization at an overall level. But we feel that the mix is fairly balanced. We do have certain designs being launched on the participating side, which could see some variances happening through the quarter.

But generally, unit linked in

the last quarter does see a little bit of increase as the momentum of the sales also picks up. So I would not kind of indicate that there is more headroom to reduce ULIP. That is not how we think about it. Operating RO EV, look, it is a mathematical number, Swarnabh. You understand that as EV kind of builds up, there will always be VNB as a portion of opening EV will start becoming smaller and smaller. Over the next 2, 3 years, we are comfortable remaining in the range of 18%, 19%, and that is what we will try to do and target.

Swarnabh Mukherjee: Very helpful, Amrit. Just a quick clarification on the first response. So you were saying it is largely coming out of the product mix. So I just wanted to understand that is there any operating leverage also
Page 10 of 17

component playing out to this because our growth has been fairly strong. And I am just wondering if maybe our cost base would be kind of geared towards this growth.

But we are getting something over and above that cost base and in a hypothetical scenario where in the future, if there is some at least transient impact on growth, can there be a deleverage? So that is the reason why I asked the question.

Amrit Singh: No, I think on operating leverage, Swarnabh, you are aware and Sumit spoke about in his opening remarks that we have added offices and we are trying to augment a proprietary channel. So there is an investment strategy, which has also been in play for the last couple of years. So the sales and opex growth, our total expense growth have been in line with each other. I would not say that there is a big operating leverage, which has kind of come through. But as time progresses, especially in proprietary channels, we do see significant bit of operating leverage helping us as times unfold going forward.

Swarnabh Mukherjee: Okay. Got it. Very helpful. Thank you and all the very best for the second half.

Moderator: Thank you. The next question is from the line of Kushagra Goel from CLSA. Please go ahead.

Kushagra Goel: Hi, thank you for taking my question. Most of my questions are answered. Just one, first question on the protection side. So you are delivering quite strong growth on the total retail and health protection and you share that 34% is the pure protection. I just wanted to know what was the pure protection growth this quarter last year. And similarly, for the rider attachment rate, that is around 37% right now. What was that, let us say, for the full year FY 25 and this quarter last year?

Sumit Madan: Yes. Thank you, Kushagra. Very relevant one, Kushagra. In fact, we have been seeing protection growth across channels for the last year or so. To answer specifically, we have seen a 34% growth as far as pure protection is concerned. And this growth has come across Axis Bank. This growth has come across banca channel. This growth has come across all our proprietary verticals as well. So we see a very strong momentum now.

In fact, post GST, the momentum has only improved as far as protection is concerned. And we have been looking at the numbers post 22nd September week by week. Across industry and all the more so with AMLI, we have seen strong traction being built up on protection week on week post 22nd September as well. On riders, it is 37% versus a 45% attachment last year, and those are the kind of numbers that we are looking at.

Amrit Singh: And protection was around 30% growth the year prior on which we are right now doing 34%, 36% kind of growth rate until end of September. Post that, there is some acceleration that we are seeing in the protection business.

Kushagra Goel: Perfect, sir. That is very good. Secondly, sort of you answered on the opex side. But this time, our opex to GWP was quite low. So just wanted to understand like how should we see this going forward.

Was this just a timing thing or for the full year, we can see some improvement in our o

pex versus last

year. I just wanted to get more color on that.

Amrit Singh: So opex, the growth has been around 11%. And as I told you that the GWP has grown at around 18%.

So mathematically, if you keep growing your GWP faster than the opex ratio, you will continue getting an improvement in opex-to-GWP ratios. We do expect this trend to stay for full year as well.

Kushagra Goel: Okay, sir. Got it. That is all. Thank you and best of luck.

Page 11 of 17

Amrit Singh: Thank you.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. Hi, team congratulations on a great set of numbers. First question is on the GST hit. I think, Amrit, you mentioned 200 to 250 or 300 to 350?

Amrit Singh: 300 to 350 on a run rate basis.

Prayesh Jain: On run rate basis if nothing is done. So in that light, you had earlier guided for a VNB margin expansion of about 100 basis points for FY 26. Now how would you kind of guide for the margins for FY26? Would you change that 100 bps expansion or you would want to increase or cut it? How should we look at it for the full year?

Amrit Singh: Yes. Prayesh, I did speak in the opening remarks. I think we are holding on to the guidances. So we had indicated that we will improve margin profiles, and it will be between 24%, 25%. We are holding on to that guidance.

Prayesh Jain: Okay. Got it. And second is on the question -- second question is on the Axis Bank channel, right? Do you think that we have a lot of headroom here to kind of take advantage of the brand that has been built now and especially in lower-tier cities? And the growth that we have been reporting on the Axis Bank channel is quite muted right now. Do you think that this can be another driver for you going ahead? Or do you think that a 7% to 10% kind of growth is something which is more doable at Axis Bank channel?

Sumit Madan: I think Axis is a very strong brand, Prayesh. And addition of Axis, like you rightfully said, specifically in Tier 2, Tier 3 locations have further up the momentum of sales for us. It is a very well-recognized, very respected brand, and obviously, we are getting a lot of benefit out of it. What we have done specifically, while you see the growth number at 7%.

What we have done is also a lot of changes as far as the product mix is concerned, and that is something we were very conscious about as far as change in the last quarter is concerned. Along with Axis, we are also focusing on some verticals within the bank where probably we can do more. Some of the cross-sell around assets, emerging channel, cards, those are the ones where we need to make use of the entire opportunity.

So as we get into H2, I am actually very optimistic as far as the numbers coming from Axis from a growth rate perspective are concerned. They have done very well in terms of the laid down strategy for quarter 2, and growth numbers at 7% have been pretty strong. And I am looking forward to a far better number in H2.

Prayesh Jain: Great. And just about this 300 to 350 basis points, how much of this you can offset by the product mix in the second half where protection has grown, protection is improving? And even I would assume non-par can have some more legs given the interest rate trajectory. How much of it can be offset by product mix? And how much would you kind of need commission support to completely offset the impact?

Amrit Singh: I think, Prayesh, rather than getting into the specifics, let us just hold to the guidance that we have indicated that for when we started the year, we guided for 24%, 25%. Obviously, we were not aware the GST will come our way. We will navigate some of these things to ensure that we hold on to the

Page 12 of 17

guidance number. And I will leave it at that rather than kind of give a specific detail around percentage is here.

Prayesh Jain: Got it. Wish you

all the best. Thank you so much.

Amrit Singh: Thank you, Prayesh.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: Hi, congratulations on a great set of numbers and very strong performance. Two questions. See, Axis channel at 6%, 7% sort of a growth number is still a little bit probably lower in my expectation. And I was wondering like what is happening over there in the sense that I know that, okay, you have done some work on the product mix side, etcetera, but still the premium offtake, I would believe would have should have been higher.

We also know some also comment on the counter share and strategy and what should be the number that one should look at in terms of Axis growing year-over-year in the medium term? Some commentary around that will be helpful. Second, I am seeing that Group Credit Life now has started picking up a little bit for us. It is doing about we have got about a 14% growth year-over-year in the first half. So I wanted to get a better sense of what channels are driving this business. How much is it

from Axis? And how much of it is from outside Axis, if you could help with that?

Sumit Madan: Sure. I think the first one first, Madhukar, as far as Axis Bank is concerned. See, I think we need to understand there are a lot of things that we are focusing on as far as Axis is concerned. Like I said earlier, emerging and you really have to look at the picture going function by function. So for example, emerging channel is an area, like I mentioned earlier, which is growing steadily for us. Similarly, for example, we have looked at cards database. We have looked at assets database in terms of further penetrate from an insurance perspective. While the growth is at 7% for H1, we have also taken up an Axis transformation project to further up as far as productivity and efficiency at Axis is concerned. Most importantly for us, like we mentioned, this brand is so strong, and all of us expect better numbers across all our channels, including Axis.

Given the momentum right now, we are actually on the right track, and there was a very conscious intent around correcting some of the product mix at Axis. Even with the changed product mix, a growth of 7%, Madhukar, is actually a very healthy growth. H2 last year, for example, was around 8% for us.

I am actually very confident of doing much more in H2 coming from Axis Bank compared to what we did last year because all the ingredients are right now in place. And with the momentum across all channels behind us, I think Axis should not be an exception. We should do exceptionally well.

There has been a lot of groundwork that we have done, Madhukar, even in terms of some of the digital initiatives that we have taken at Axis just to further strengthen both the teams at Axis Bank and of course at Axis Max Life Insurance. In terms of digital efforts also that we have done, you will see the growth coming at a much faster pace in H2 from Axis Bank. On the second question, as far as GCL is concerned, do you want to comment?

Amrit Singh: Yes. So Madhukar, on GCL actually, our dependence on Axis is around 40%, and the rest comes from other channels. And as we have been updating, we have been augmenting many partners in the last 18

Page 13 of 17
to 24 months. And even in the first half also, we added partners. Some of those additional partners is actually driving some bit of the growth. Also as the disbursement cycles are kicking off, we will -- we are quite confident that this will build up as the year kind of progressed further.

Madhukar Ladha: Just, Amrit, just a follow-up. In GCL, what is our counter share at Axis? And with the 7% order growth, my guess is that on individual AP E basis, our counter share would have sort of come off a little bit. Is that correct or -- so yes?

Amrit Singh: So on Axis on individual

side, counter share hovers between 65% to 70% kind of ranges. I think we are holding on to 65%, 66% for the first half. No material deterioration in that space as we see it. And we are quite confident that it will remain in that range. Credit Life counter share is slightly lower, more in the likes of 60% kind of levels. But again, there also, we are hopeful that we will be able to enter into new spaces and augment that as well to more like a 65%, 70% over the years.

Madhukar Ladha: Got it. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thanks for the opportunity. Amrit, the 60 basis point in the current half margin impact, how do you break it, whether it is only related to new business or the renewal from 1st April to 21st September is also there in 60? If that is the case, can you break it down, that 60 into renewal part and the new part from September 22 onwards?

Amrit Singh: Hi, Sanketh. So 60 bps, as I said, is only for the sale that has been post the GST period, which is 22nd September onwards, which I mentioned in the opening remark is 75% of the sale of the September month. The rest of the impact is something that has got carried in the other number that you saw, the INR268 crore that we showed on the EV walk.

Sanketh Godha: Understood. Sorry, maybe I missed that point. And see, on the INR268 crore also, Amrit, I mean, obviously as a percentage of opening EV, if I do that number, it comes closer to 110 basis points, while most of the other names reported somewhere between 40 to 50. So just wondering why we are almost at 2x compared to what others are reporting. Anything to read there just to have an understanding better why there is a divergence?

Amrit Singh: So actually, Sanketh, I am aware that some of our competitors have reported a lower number. It predominantly is to do with the product mix that is sold and what is as part of our, the VIF in the book. If you have more traditional, which actually intrinsically has more renewal commissions, then the impact on us would always be higher. It is not much of an opex play on the renewal side, on the maintenance side. It is more the renewal commission play, which actually creates this difference between us and anyone else.

Sanketh Godha: So is it fair to say that you have been largely very retail heavy compared to others being grouped? And maybe your conservation ratio being a little superior compared to others is getting reflected in that divergence?

Amrit Singh: It is quite possible. Also, we have not made any assumptions when we have kind of computed this amount with respect to any improvement in persistency or attachments of riders going forward, etcetera. So it is a more conservative estimate of as is where is basis. Because the premium rates have come off, maybe there could be positive elements around persistency, which could flow through,

etcetera. But this is as is where is kind of an estimate of INR268 crore, largely coming out of renewal commissions, the way they are structured in our books.

Sanketh Godha: Understood. And second question, Amrit, is that you are still maintaining your VNB guidance of 24 to 25 -odd percentage. If I gross add back your GST impact, maybe you will be around 28-ish. See, that is a meaningful improvement. Assuming GST would have not happened, then your margins were going from 24 to 28.

I mean that bump-up is predominantly to say that, that happened because at product level, especially in non-par or annuity, product level margins have meaningfully improved because of the shape of the curve, and therefore, it is more tactical or more cyclical benefit, what you are getting today to navigate the problem of GST.

Amrit Singh: So you are partly correct. There are 2, 3 elements. I think if you see in our numbers strong growth in protection, strong growth in annuities and now from quarter 2 onwards, even the credit life business is

picking up. So intrinsically, mix is supporting us. And this is a tailwind that we had not necessarily baked in the time of margin guidance at the start of the year.

So that is something that we are seeing as a strong trend. And additionally, your observations around yield curve, enabling some of the categories that you mentioned is also true. So it is a mix of both the things, which are helping us navigate this particular financial year.

Sanketh Godha: Sir, what is the reason why I am asking this question is that 24 assume going to 28 if GST would have not happened, then product mix would have contributed how much and maybe this product-related tailwind, which is more cyclical in nature compared to the macro environment, how much it has contributed to the margin, if you can give a bit of color there, it will be useful to understand how much is structural and how much is cycle favour?

Amrit Singh: So I think product mix, the contribution would be in the range of 60%, 70% and the rest around 30 - odd percent is coming out of some of those intrinsic category margins improving.

Sanketh Godha: Okay, perfect. Thanks for the answers. That is it from my side.

Moderator: Thank you. The next question is from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please go ahead.

Sucrit D Patil: Good morning to the team and best wishes to Mr. Sumit on joining and taking on the reins of the company. I just want to understand a personal outlook from your side. I want to understand the bigger picture. What is the long-term plan for Max Financial beyond quarterly number or distribution expansion?

Is there a deeper tactic that you are building that gives the company a lasting edge over the time? For example, are you thinking about new ways of working or introduction of any digital platforms or customer engagement models, something that makes the company stronger and hard for your competitors to copy the model? That is my first question. I will ask the second question later.

Sumit Madan: Sorry Sucrit are you there?

Amrit Singh: He said he will ask the second question later.

Sumit Madan: Okay. Sorry. You want me to answer the first one first. I think personal outlook, Sucrit, I have said it time and again in various forums. I come from banking. And when I look at insurance as a market, I just look at a huge landscape, whichever number you want to believe 3.8, 4, 4.2 as far as penetration is concerned, there is just so much opportunity as far as India is concerned. And at least in the last 2 years with my experience at Axis Max Life, we have just further up the momentum as far as the numbers, penetration and growth is concerned.

I think from a perspective, Sucrit, first and foremost, we need to just focus on some of the right areas. So whether it is sum assured, whether it is protection, the growth in some of these key areas, along with number of policies as a case in point is something which is very close to us. If you look at the industry numbers also, Sucrit, over H1, our growth as far as number of policies is also concerned is actually pretty high compared to the rest of the players in the market.

Similarly, when you look at the protection of the sum assured numbers, we, again, have a very strong script there. So I think those are some of the focus areas. In terms of the vision, the way I see it and internally, we have divided into two parts, from a short-term perspective, Sucrit, we are looking at ourselves being a breakout number 3 player as far as the market is concerned from a short-term perspective. And I personally want to take a significant lead as far as number three in the market is concerned over some other players. That is the immediate vision.

In terms of data and digital and I think we have, as a company,

done a lot of work both on data and

digital over the last 2 years. In my opening address also, we spoke about Sales Navigator. We spoke about mSpace. We spoke about mPro. Some of those initiatives that we have taken are far better than -- far faster than what we have done in the past.

There have been some very specific strategies, Sucrit. I will give you a small example. Just the content of the training video, whether for our sales teams on the ground or even for our very respected advisers on the ground, we made them much more digitally savvy, made it much more sharper. So it

is a combination of small and big steps that we are doing in terms of looking at the way the future is. In terms of way of working, Sucrit, I think Max has always been a very strong entity. And I think only it is just a little bit tweak of, around execution has helped us reach these kind of numbers. The best part is the consistency is the key. I feel very strongly that these numbers, this momentum is not only sustainable but also further scalable for us.

Sucrit D Patil: My second question is on margin, again, a forward-looking one. When costs rise, whether it is distribution and compliance or tech, how do you make sure the margins stay steady without the growth slowing? Is there any system you have built or you will be putting into place like smarter sourcing, pricing discipline or any digital efficiencies that will help you quietly keep the profits in line even when things are getting -- even when you cannot foresee any unpredictable things or something down the line?

Amrit Singh: So I think on margins, the way we think about margins is we feel 25% is a good steady number. If the number kind of increases beyond that particular range, we were very keen in throwing that back as investment so as to augment and build distribution. But at the same time, we like to remain, keep it range bound.

We do not want it to kind of fall also sharply and hence, pricing discipline, execution, identifying those pockets of opportunities at all points in time is a very, very active element of play in our

Page 16 of 17

distribution machinery. Our distribution machinery almost kind of runs through a daily VNB rhythm as well. So there is that kind of granularity in the system, which we have built over time.

But just zooming out and stepping back, I think if you really see, there are 3 categories, which as a license we are permitted to play in. There is a disciplined savings category. There is the mortality, morbidity category, and then there is a longevity. The later two categories are fairly underpenetrated, and India continues to provide significant opportunities in that space.

Those also, with respect to competitive dynamics, is less competed from other product forms and hence, continue to remain a good source of margin profile for the company. And building and augmenting some of those mixes will help us stay steadfast on it. The remaining category of savings, I think scale solves and creates an operating leverage play and especially in our own channels, where we see this pan out quite significantly is something that we closely watch and ensure that the productivity outcomes of our sales force year-on-year actually improves. So that is largely around margins, especially how we think about it.

Sucrit D Patil: Thank you for the guidance and I wish the entire team and you personally best of luck for Q3.

Amrit Singh: Thank you, Sucrit.

Moderator: Thank you. The next question is from the line of Sneha Ganatra from SUD Life. Please go ahead. Sneha Ganatra please proceed with your question. Sneha Ganatra please proceed with your question. Due to no response, we will take the next participant. The next question is from the line of Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe: Hi, Nischint here. Just one question, and this is actually on product mix. If I kind of try to break this

is between proprietary and partnerships, I mean, one common thing that we see is that on a year-on-year basis, ULIP has gone down. But within the proprietary channel, what we can see is that there has been some meaningful improvement in protection and health and par book. But when I look at partnerships, there is bigger increase in the non-par savings book.

So is it something by design? And I think if I look at structurally as well, the share of protection and health and proprietary is much higher than that of partnerships. So is this something which is there by design, by strategy or is it something that you would want to kind of equalize at some point of time? How should one think about it?

Amrit Singh: Nischint, your observation is correct actually. And it is some bit of it is by design. Protection selling, by nature, is a bit of a long selling because it kind of entails medicals, collecting financial documents, and the time that it takes to close the protection sale is always longer. And we have seen the ability to navigate and leverage this in proprietary channels to be higher. Then partnership channels where savings and instant product, which actually can be issued quickly find more popularity.

So at least in the near future, I think our focus of driving protection, health in the proprietary channels will continue to remain. We have a special emphasis and special focus on driving that. Whereas in partnership channels, we do try, but you need to understand that there are multiple SKUs that they are selling, and time is a bit of an essence for them. So there is always a prioritization that will keep happening at their end.

Nischint Chawathe: And partnerships, if I try to break between online and offline, the breakup would be different? Or would it be similar?

Page 17 of 17

Amrit Singh: So in our proprietary, we actually have 3 channels as part of the proprietary. We have our own agency network, our cross-selling engine and our e-commerce channel, which also includes partners in the e-commerce channel, largely because it is a marketplace and the brand is what gets sold versus partnership, which are pure play more banks and brokers actually.

Nischint Chawathe: Got it. So the question is that the offline proprietary looks similar to partnership or does it...

Amrit Singh: No, even offline proprietary also has higher proportion of protection.

Nischint Chawathe: Got it. Thank you very much.

Amrit Singh: I think your question is agency and direct selling teams, do they sell more protection. Answer is yes.

Nischint Chawathe : Got it. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Nishant Kumar for closing comments.

Nishant Kumar: Thank you, everyone, for being part of Max Financial's earning call. We look forward to more such interactions in the future. Have a good day. Goodbye.

Moderator: Thank you. On behalf of Max Financial Services Limited, that concludes our conference. Thank you for joining us today and you may now disconnect your lines.

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